GLOBAL FORUM ON
**TRANSPARENCY AND EXCHANGE OF INFORMATION FOR TAX PURPOSES**

## Peer Review on Transparency and Exchange of Information on Request

# TANZANIA

**2026** (Second Round)

OECD

# Global Forum on Transparency and Exchange of Information for Tax Purposes: Tanzania 2026 (Second Round)

Peer Review on Transparency and Exchange of Information on Request

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# Abbreviations and acronyms

| Abbreviation | Definition |
|---|---|
| 2016 Terms of Reference | Terms of Reference related to EOIR, as approved by the Global Forum on 29-30 October 2015 |
| AML | Anti-Money Laundering |
| AML/CFT | Anti-Money Laundering / Countering the Financing of Terrorism |
| AMLPOCA | Anti-Money Laundering and Proceeds of Crime Act |
| BFIA | Banking and Financial Institutions Act |
| BOT | Bank of Tanzania |
| BPRA | Business and Property Registration Agency (Zanzibar) |
| BRELA | Business Registration and Licensing Agency (Tanzania Mainland) |
| CDD | Customer Due Diligence |
| CIN | Company Identification Number |
| DTC | Double Taxation Convention |
| EOI | Exchange of Information |
| EOIR | Exchange of Information on Request |
| EUR | Currency of the European Union |
| FATF | Financial Action Task Force |
| FIU | Financial Intelligence Unit |
| Global Forum | Global Forum on Transparency and Exchange of Information for Tax Purposes |
| IFRS | International Financial Reporting Standard |
| ITA | Income Tax Act |
| KYC | Know Your Customer |
| Multilateral Convention | Convention on Mutual Administrative Assistance in Tax Matters, as amended in 2010 |
| NGO | Non-Governmental Organisation |
| ORS | Online Registration System |
| RITA | Registration, Insolvency and Trusteeship Agency |
| SADC | South African Development Community |
| TAA | Tax Administration Act (as revised in 2023) |
| TAPA | Tax Administration and Procedures Act (Zanzibar) |
| TIA | Trustees' Incorporation Act |
| TIEA | Tax Information Exchange Agreement |
| TIN | Taxpayer Identification Number |
| TRA | Tanzania Revenue Authority |
| TZS | Tanzanian Shilling |
| VAT | Value Added Tax |
| ZanID | Zanzibar Identification Number |
| ZRA | Zanzibar Revenue Authority |

# Executive summary

1. This report analyses the implementation of the standard on transparency and exchange of information on request in the United Republic of Tanzania (Tanzania) in the second round of reviews conducted by the Global Forum. This review was carried out in two phases, with the adoption in 2021 of a report evaluating Tanzania's legal and regulatory framework (Phase 1). This report supplements the Phase 1 report with an evaluation of the legal and regulatory framework in force as of 13 May 2026, including changes since 2021, and the implementation of the standard in practice, particularly in respect of exchange of information (EOI) requests received and sent during the review period from 1 April 2022 to 31 March 2025 (see Annex 3).

2. This report concludes that Tanzania is rated overall **Largely Compliant** with the standard.

## Summary table of determinations and ratings

| Element | | Determinations | Ratings |
|---|---|---|---|
| A.1 | Availability of ownership and identity information | Needs improvement | Partially Compliant |
| A.2 | Availability of accounting information | Needs improvement | Largely Compliant |
| A.3 | Availability of banking information | Needs improvement | Largely Compliant |
| B.1 | Access to information | In place | Compliant |
| B.2 | Notification and appeals | In place | Compliant |
| C.1 | EOIR instruments | Needs improvement | Largely Compliant |
| C.2 | Network of EOIR relationships | In place | Compliant |
| C.3 | Confidentiality | In place | Compliant |
| C.4 | Rights and safeguards | In place | Compliant |
| C.5 | Effective exchange of information | Not applicable | Largely Compliant |
| | **Overall rating** | **Largely Compliant** | |

Note: The three-scale determinations for the legal and regulatory framework are In place, In place but needs improvement, Not in place. The four-scale ratings for the legal and regulatory framework and its implementation in practice are Compliant, Largely Compliant, Partially Compliant and Non-Compliant.

## Transparency framework

3. Tanzania joined the Global Forum in 2015 and since then has taken steps to comply with the standard. The company laws of Tanzania Mainland and Zanzibar provide for the availability of up-to-date and accurate legal ownership information and require its submission to the respective Registrars. Similarly, the respective business registration acts and the tax law obligations ensure availability of identity information on partnerships. Trusts are recognised only in Tanzania Mainland and the availability of identity information on trusts is provided through obligations in the Trustees' Incorporation Act.

4. For the availability of beneficial ownership information, Tanzania has improved its AML framework for Tanzania Mainland and Zanzibar and has introduced updated AML Regulations. In 2021, Tanzania

introduced requirements under the Companies Act of Tanzania Mainland requiring companies to maintain beneficial ownership information and submit it to the Registrar. Tanzania has operationalised a new centralised beneficial ownership register for Tanzania Mainland maintained with the Registrar. Beneficial Ownership Regulations have been issued. The Companies Act of Zanzibar has been similarly amended and regulations for beneficial ownership issued, and a beneficial ownership register is being operationalised. Changes have also been introduced to the Business Names (Registration) Act and the Trustees' Incorporation Act to include obligations for availability of beneficial ownership information.

5. The availability of accounting information is ensured through the tax law obligations, and is further supported by relevant provisions in the respective governing laws of companies, partnerships and trusts. The tax administration's oversight is instrumental in effective implementation of the requirements in this regard.

6. Banking information is available primarily through the requirements under the anti-money laundering framework which requires identity, beneficial ownership and transactional information for all bank accounts. The Bank of Tanzania oversees these obligations.

## Key recommendations

7. The main recommendations pertain to the availability of legal and beneficial ownership information and the implementation and enforcement of the legal framework. Tanzania's legal framework permits nominee shareholdings in companies but does not have obligations for disclosing the nominee status to the company or any public authority. Additionally, Zanzibar's legal framework permits issuance of bearer share warrants by public companies. While Zanzibar amended its laws to address this issue, the amendments only allow the Registrar some oversight over issuance of bearer share warrants but will not ensure the availability of information on identity of holders of such warrants. Tanzania is recommended to address these issues.

8. While the definition of beneficial ownership was recently improved through amendments in the AML framework, some aspects of the definition should be clarified further to ensure identification of beneficial owners in line with the standard. Further, while the AML framework plays a central role in availability of beneficial ownership information in Tanzania for relevant entities and arrangements, there is no specified frequency for updating beneficial ownership information, which could result in beneficial ownership being out of date in some cases. This issue affects the availability of ownership information under Element A.1 and of banking information under Element A.3.

9. The centralised beneficial ownership register is still being populated in Tanzania Mainland and is yet to be operationalised in Zanzibar. There has been limited oversight on the availability of beneficial ownership by the Registrars in the two parts of Tanzania. Further, the supervision and oversight by AML authorities is uneven and needs to be strengthened.

10. The existence of companies that are non-compliant with various registration and filing requirements poses risks to the availability of legal, beneficial and accounting information (Elements A.1 and A.2) and Tanzania is recommended to take suitable supervisory steps to reduce their number and associated risks.

11. Until recently, Tanzania's legal framework did not provide clear retention requirements in respect of accounting records (including identifying a responsible person) when companies cease to exist. While Tanzania Mainland's laws were amended on this aspect, Zanzibar's legal framework continues to present this legal gap, and Tanzania is recommended to address it.

## Exchange of information

12. Tanzania's EOI network is small, with 13 Double Taxation Conventions (DTCs) of which 11 are in force. Five treaties are not in line with the standard, which could result in limiting the information that Tanzania can exchange. Tanzania also signed the Agreement on Assistance in Tax Matters of the Southern African Development Community in 2012. Tanzania has not taken steps to complete its ratification and notification process. Inordinate delay is noted in this regard, as several other parties to the agreement have already completed the steps needed at their end. Tanzania is therefore recommended to bring its EOI network to the standard.

13. During the review period, Tanzania received two EOI requests and sent four requests. Tanzania increased the resources available for EOI and put in place an updated EOI manual, but the effect of these improvements could not be fully assessed in practice and hence, Tanzania is recommended to monitor the implementation of its EOI function to ensure its effectiveness.

14. The two requests pertaining to the review period had to be resent by the treaty partner because the contact details available on the Competent Authority website were incorrect during the last six months of the review period due to the change in the Competent Authority official. Tanzania has been recommended to ensure that treaty partners always remain aware of the correct contact details of the Competent Authority.

## Overall rating

15. Tanzania is rated Compliant on Elements B.1, B.2, C.2, C.3 and C.4, Largely Compliant on Elements A.2, A.3, C.1 and C.5 and Partially Compliant on Element A.1. Tanzania is therefore rated overall Largely Compliant with the EOIR standard on a global consideration of its compliance with the individual Elements.

16. This report was approved at the Peer Review and Monitoring Group of the Global Forum on 23 June 2026 and was adopted by the Global Forum on 23 July 2026. A self-assessment report on the steps undertaken by Tanzania to address the recommendations made in this report should be provided to the Peer Review and Monitoring Group in accordance with the methodology for enhanced monitoring.

# Summary of determinations, ratings and recommendations

| Determinations and ratings | Factors underlying Recommendations | Recommendations |
|---|---|---|
| Jurisdictions should ensure that ownership and identity information, including information on legal and beneficial owners, for all relevant entities and arrangements is available to their competent authorities (Element A.1) | | |
| The legal and regulatory framework is in place but needs improvement | Nominee shareholding is possible under Tanzania's company laws in Tanzania Mainland and Zanzibar. The Anti-Money Laundering legal framework requires identification of persons acting on behalf of another person while entering into business relationships and identification of beneficial ownership. However, there is no requirement on nominees to disclose their nominee status to the companies or to any public authorities. | Tanzania is recommended to ensure that in all cases where nominee shareholding exists in companies, such nominee arrangements are known to the companies or to the authorities and identity information on the nominator is available in line with the standard. |
| | In 2022, Tanzania updated its Anti-Money Laundering laws applicable to Tanzania Mainland and Zanzibar to provide a definition of beneficial owner generally in line with the standard. This same definition applies in the context of the governing laws for companies, partnerships and trusts, requiring them to keep information on their beneficial owners. However, for legal persons like companies, guidance is missing on the concept of "control by means other than ownership". Similarly, guidance is missing on the "look through approach" where any of the partners of a partnership or parties to a trust are themselves legal persons or arrangements. | Tanzania is recommended to ensure that the definition of beneficial owner as it applies to companies, partnerships and trusts is sufficiently clear to ensure the identification of beneficial owners of these relevant legal entities and arrangements in line with the standard. |
| | In 2022 and 2023, Tanzania introduced requirements under the Companies Act, the Business Names (Registration) Act and the Trustees' Incorporation Act for Tanzania Mainland and in Zanzibar's Companies Act to keep beneficial ownership information up to date. These amendments are yet to be fully implemented.<br>Hence, the AML legal framework has been the main source of beneficial ownership information for companies, partnerships and trusts during the review period and is likely to remain an important source until the centralised beneficial ownership registers are fully operationalised in Tanzania Mainland and in Zanzibar. The AML legal framework does not provide a specified frequency for updating beneficial ownership information and may result in such information not always being up to date. | Tanzania is recommended to ensure that up-to-date beneficial ownership information on all relevant entities and arrangements is available in line with the standard. |
| | Zanzibar's Companies Act permits the issuance of bearer share warrants by public companies limited by shares and does not provide for any requirements to identify the owners of such bearer share warrants. There are ten public companies in Zanzibar. In 2023, Zanzibar amended its law to require that any issuance or transfer of bearer share warrants is approved by the Registrar. No such approvals have been sought so far. However, it is not known how many companies have issued bearer share warrants in the past and the amount of capital associated with such warrants | Tanzania is recommended to ensure that the owners of bearer share warrants issued by Zanzibar public companies limited by shares are always identified in line with the standard. |

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| EOIR Rating Partially Compliant | The Business Registration and Licensing Agency (BRELA) commenced implementing the beneficial ownership register in Tanzania Mainland from 2022, but the filing rate for the register is around 12%. The Business and Property Registration Agency (BPRA) in Zanzibar is still working to introduce a beneficial ownership register. The Companies Laws of Tanzania Mainland and Zanzibar were amended in 2020 and 2023 respectively to include beneficial ownership obligations on companies. No enforcement action has taken place as yet. In respect of trusts, the Registration, Insolvency and Trusteeship Agency has not supervised new requirements under the Trustees' Incorporation Act to maintain beneficial ownership information.<br>The AML framework was improved in 2022 with a new definition of beneficial ownership, although it still needs further clarifications. AML-obliged persons are yet to fully understand and implement the new definition. Bank of Tanzania has taken some actions to ensure banks comply with the new definition; however, more actions are needed. Other AML supervisors are yet to take sufficient supervisory and enforcement actions to ensure compliance. | Tanzania is recommended to effectively implement, supervise and enforce the legal and regulatory framework for the availability of adequate, accurate and up-to-date beneficial ownership information on all relevant entities and arrangements in Tanzania Mainland and Zanzibar in line with the standard. |
| | Many companies in Tanzania are non-compliant with their obligations to file their annual returns with the Registrars. There are more than 70 000 companies that are not reflected in the tax database but that are registered on the company registers (that together have more than 250 000 companies. Moreover, many companies are non-compliant with their obligations to file annual tax returns with the tax authorities. This raises concerns about the availability of legal and beneficial ownership information on such companies in line with the standard. | Tanzania is recommended to take necessary supervisory and enforcement actions to ensure that legal and beneficial ownership information on all companies is available in line with the standard. |
| Jurisdictions should ensure that reliable accounting records are kept for all relevant entities and arrangements (Element A.2) | | |
| The legal and regulatory framework is in place but needs improvement | Zanzibar's Companies Act does not provide any retention requirements for accounting records. While this issue is mitigated by record retention requirements under the tax law, the issue remains where companies cease to exist. In such cases, it remains unclear who will be responsible for maintaining these accounting records and whether such records will be available for at least five years after dissolution. | Tanzania is recommended to ensure that in respect of Zanzibar companies that cease to exist, all accounting records are maintained in line with the standard for a period of at least five years from the date when the company ceases to exist and the responsibility for holding such records is clearly established. |
| EOIR Rating: Largely Compliant | Since 2022, the Tanzania Mainland Companies Act requires liquidators of companies that cease to exist to maintain accounting information for a period of at least ten years. For companies that cease to exist without liquidation through Registrar initiated strike-off, accounting information previously submitted to the Business Registration and Licensing Agency is expected to remain available. However, Tanzania has not sufficiently demonstrated that the new legal provisions have been implemented fully and that accounting information on all companies in Tanzania Mainland that cease to exist is available for at least five years in line with the standard. | Tanzania is recommended to monitor that under the provisions of Tanzania Mainland's Companies Act; liquidators maintain all accounting records that come into their possession during winding up and after dissolution of companies in line with the standard and past submitted accounting information continues to remain available with the Registrar. |
| | Tanzania has in place an organised tax administration with an active enforcement and supervisory system. However, there are more than 70 000 companies that have a legal personality but are not registered with the tax authorities. In addition, a significant number of non-compliant entities have not been filing their tax returns. Tanzania has taken some steps to widen its oversight. Nevertheless, the risks to availability of accounting information from such entities and arrangements remain, especially if they hold assets outside of Tanzania or carry on activities overseas. | Tanzania is recommended to continue its oversight and supervision in respect of availability of accounting information to ensure that such information is available for all entities and arrangements in line with the standard. |
| Banking information and beneficial ownership information should be available for all account-holders (Element A.3) | | |
| The legal and regulatory framework is in place but needs improvement | In 2022, Tanzania updated its Anti-Money Laundering (AML) laws applicable to Tanzania Mainland and Zanzibar to provide a definition of beneficial owner generally in line with the standard. However, for legal persons like companies, guidance is required | Tanzania is recommended to ensure that the definition of beneficial owner as it applies to companies is sufficiently clear such that beneficial owners of all bank |

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| | on the concept of "control by means other than ownership". | accounts are identified in line with the standard. |
| | Tanzania's anti-money laundering framework permits banks to undertake simplified customer due diligence measures when dealing with low-risk customers. While these measures require identification of the customer, they do not explicitly require identifying the beneficial owners of the customers where such customers are legal persons or legal arrangements prior to establishing a business relationship. | Tanzania is recommended to ensure that while banks conduct simplified customer due diligence, the identity of the beneficial owners of the customer is always established. |
| | There is no specified frequency for updating beneficial ownership information as part of customer due diligence measures. This could lead to situations where beneficial ownership information on all customers is not up to date. | Tanzania is recommended to ensure that up-to-date beneficial ownership information on all account holders is available in line with the standard. |
| EOIR Rating: Largely Compliant | | |
| Competent authorities should have the power to obtain and provide information that is the subject of a request under an exchange of information arrangement from any person within their territorial jurisdiction who is in possession or control of such information (irrespective of any legal obligation on such person to maintain the secrecy of the information) (Element B.1) | | |
| The legal and regulatory framework is in place | | |
| EOIR Rating: Compliant | | |
| The rights and safeguards (e.g. notification, appeal rights) that apply to persons in the requested jurisdiction should be compatible with effective exchange of information (Element B.2) | | |
| The legal and regulatory framework is in place | | |
| EOIR Rating: Compliant | | |
| Exchange of information mechanisms should provide for effective exchange of information (Element C.1) | | |
| The legal and regulatory framework is in place but needs improvement | Tanzania's Double Taxation Conventions (DTCs) with Sweden, Finland, Italy, Norway and Zambia restrict exchange of information to persons covered by the relevant conventions, i.e. Article 1 of all these treaties makes their provisions only applicable to the residents of the respective states.<br>Tanzania's position is that it will exchange information only on residents of either of the Contracting States in respect of these DTCs. | Tanzania is recommended to ensure that all its EOI relationships provide for exchange of information in line with the standard. |
| | Tanzania has not ratified the Southern African Development Community's Agreement on Assistance in Tax Matters signed on 18 August 2012, which provides for exchange of information with 11 jurisdictions, 9 of which are not covered by other EOI instruments signed and ratified by Tanzania. | Tanzania is recommended to work towards ratifying the regional EOI agreement that has been signed but has not yet been ratified so that the associated EOI relationships can come into effect at the earliest. |
| EOIR Rating: Largely Compliant | | |
| The jurisdictions' network of information exchange mechanisms should cover all relevant partners (Element C.2) | | |
| The legal and regulatory framework is in place | | |
| EOIR Rating Compliant | | |
| The jurisdictions' mechanisms for exchange of information should have adequate provisions to ensure the confidentiality of information received (Element C.3) | | |
| The legal and regulatory framework is in place | | |
| EOIR Rating Compliant | | |
| The exchange of information mechanisms should respect the rights and safeguards of taxpayers and third parties (Element C.4) | | |
| The legal and regulatory framework is in place | | |
| EOIR Rating Compliant | | |
| The jurisdiction should request and provide information under its network of agreements in an effective manner (Element C.5) | | |
| Legal and regulatory framework: | This element involves issues of practice. Accordingly, no determination on the legal and regulatory framework has been made. | |
| EOIR Rating: Largely | It has happened several times that the EOI request of a partner does not reach the competent authority of Tanzania because the | Tanzania is recommended to ensure that appropriate measures are timely and |

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|---|---|---|
| Compliant | contact details available to partners were outdated.<br>The delays in ensuring contact information of the Competent Authority for EOIR purposes is up to date and treaty partners are aware of any changes to the same, impeded communication and effective exchange of information.<br>In January 2026, Tanzania included on the Global Forum's secure database for competent authorities a generic email address for sending and receiving EOI requests and related correspondence, which will remain valid independent of a change of personnel. | effectively taken for enabling smooth communication with treaty partners, including ensuring that treaty partners are always kept duly informed about any updates to the contact details of the Competent Authority. |
| | Tanzania initially experienced some delays in responding to requests. Drawing from that experience, during the current review period Tanzania has enhanced its organisation and resources, put in place an updated EOI Manual and organised trainings for the EOI officers. However, the experience of Tanzania during the review period has been limited and, therefore, its EOI organisation and process could not be fully tested. | Tanzania is recommended to monitor the implementation of its EOI organisational processes and resources to ensure their effectiveness at all times. |

# Overview of Tanzania

17. This overview provides some basic information about Tanzania that serves as context for understanding the analysis in the main body of the report.

18. The United Republic of Tanzania (Tanzania) consists of Tanzania Mainland and Zanzibar. In 2025, Tanzania's population was around 68.6 million with the majority of about 66 million (97%) residing in Tanzania Mainland and just about 2.6 million (2.8%) in Zanzibar. The official languages used for communication are Swahili and English. The currency used in Tanzania is the Tanzanian Shillings (TZS).[1] Dodoma is the capital city whereas Dar es Salaam is the commercial hub. In 2024, the estimated income per capita stood at TZS 3 652 460 (EUR 1 217). Tanzania is a lower middle income developing country.[2]

19. Tanzania's economy is dominated by agriculture, which contributes to more than a quarter of Tanzania's gross domestic product. Other important sectors are construction, trade, manufacturing, transport and mining (each contributes between 6-15% of the gross domestic product).

## Legal system

20. There are two parallel legal systems governing Tanzania Mainland and Zanzibar. Although the two legal and regulatory frameworks are similar, there are some differences that affect the assessment of the availability of ownership and accounting information (Elements A.1 and A.2). As for the availability of banking information (Element A.3) and for access to and exchange of information (Elements B and C), the legal and regulatory framework applicable to Tanzania Mainland and Zanzibar is the same.

21. The President of Tanzania is the Head of State and the Head of Union Government. In addition, for Zanzibar there is a President who is the Head of Revolutionary Government of Zanzibar and Chairman of the Revolutionary Council. All state authority in Tanzania is exercised and controlled by the respective executive, legislature and judiciary of Tanzania and of the Revolutionary Government of Zanzibar (Article 4 of the Constitution of Tanzania, 1977). The Revolutionary Government of Zanzibar is autonomous in specific areas of governance (Article 5A(1) of the Constitution of Zanzibar, 1984).[3]

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[1] Exchange rate – approx. EUR 1 = TZS 3 000

[2] Sources: World Bank Overview of Tanzania https://www.worldbank.org/en/country/tanzania/overview accessed on 13 May 2026.

[3] The list of union matters as provided by the Constitution comprises 22 identified areas which *inter-alia* include foreign affairs, defence and security, police, citizenship, immigration, income tax payable by individuals and by corporations, customs duty and excise duty on goods manufactured in Tanzania collected by the Customs Department, harbours, matters relating to air transport, posts and telecommunications, all matters concerning coinage and currency for the purposes of legal tender (including notes), banks (including savings banks) and all banking business, foreign exchange and exchange control. The Revolutionary Government of Zanzibar is autonomous on all matters other than those specified as Union matters and the same are commonly referred to as Non-Union matters. For example, the Non-

22. Tanzania was formerly a British protectorate and inherited the common law system.[4] All common law doctrines of equity and statutes of general application operating in England as of 1922 that were applicable in Tanganyika, are now applicable to Tanzania Mainland. In addition, Zanzibar operates two systems; the first under British legal system (which arose from a contract between the United Kingdom and the Sultanate of Oman) and the second system which emerged from Islamic jurisprudence.

23. The supreme law of the country is the Constitution of Tanzania. Tanzania's laws are categorised as applicable to (1) both Tanzania Mainland and Zanzibar, (2) only Tanzania Mainland and (3) only Zanzibar. Under the Constitution, there are Union matters and Non-Union matters.[5] On "Union" matters, the Parliament of Tanzania passes laws applicable to both Tanzania Mainland and Zanzibar. On "Non-Union" matters, the Parliament passes laws applicable only to Tanzania Mainland while the House of Representatives of Zanzibar passes laws applicable only to Zanzibar.

24. The judiciary in Tanzania has a five-tier system: i) The Court of Appeal of Tanzania, which is the highest court of appeal in Tanzania (for both – Tanzania Mainland and Zanzibar), ii) the High Courts for Tanzania Mainland and Zanzibar, iii) the Magistrates' Courts, iv) the District Courts and Kadhis' Courts of Appeal (Zanzibar) that have concurrent jurisdiction, as well as v) the Primary Courts (Tanzania Mainland) and Kadhis' Courts (Zanzibar).

25. In addition, there are specialized tribunals, which form part of the administration of justice in the country. These include the District Land and Housing Tribunals, Tax Revenues Appeals Board and the Tax Revenue Appeals Tribunal. Appeal against the decisions of the Tax Revenue Appeals Tribunal lies to the Court of Appeal of Tanzania.

## Tax system

26. There are Union and Non-Union taxes in Tanzania. The Union taxes are applicable and administered jointly in both Tanzania Mainland and Zanzibar. These include taxes on income, customs duty, and excise duty on locally manufactured goods. The Non-Union taxes are applicable and administered separately in each part of the Union and include value added tax (VAT), property taxes and hotel levy.

27. The Union taxes and the Non-Union taxes applicable to Tanzania Mainland are assessed, collected and accounted for by the Tanzania Revenue Authority (TRA) while Non-Union taxes in respect of Zanzibar are assessed, collected and accounted for by the Zanzibar Revenue Authority (ZRA).

28. The TRA administers the Tax Administration Act (TAA) across Tanzania Mainland and Zanzibar for implementing direct tax laws. The TAA is the source of access powers of the TRA. Tanzania's EOI instruments are part of the international agreements recognised under section 7 of the TAA, which provides that the provisions of an international agreement take precedence over Tanzania's domestic laws.

29. Tax on income is based on both residence and source rules where residents are taxed on their worldwide income. Non-residents are taxed on their income sourced in Tanzania (territorial basis). The term residence is defined under section 86 of the Income Tax Act (ITA). This section stipulates different criteria for determination of residence for individuals, partnerships, trusts and corporations. An individual is a resident for a year of income if the individual has a permanent home in Tanzania and has been present in Tanzania at any time during the year, or if an individual stays in Tanzania for a period exceeding

Union matters include local government matters; road maintenance and travel; agriculture, livestock, fisheries and other means of livelihood; trade and small scale industries; and prison services.

[4] Section 2 of the Judicature and Application of Laws Act, Cap. 358 (R.E. 2002)

[5] see the list as stipulated in the First Schedule to the Constitution of Tanzania

183 days, or if the individual has stayed on average for more than 120 days in each of the preceding two years, or if the individual is an employee or official of the Government of Tanzania who is posted overseas.

30. A partnership is considered resident in Tanzania if any partner of the partnership is resident in Tanzania. A trust is resident in Tanzania if it is established in Tanzania, or at any time during the year, a trustee of the trust is resident in Tanzania, or at any time during the year a resident person directs or may direct senior managerial decisions of the trust, whether the direction is or may be made alone or jointly with other persons or directly or through one or more interposed entities.

31. A corporation is resident in Tanzania for a year of income if it is incorporated or formed under the laws of Tanzania, or at any time during the year of income the management and control of the affairs of the corporation are exercised in Tanzania.

32. Entities in Tanzania are subject to direct taxes such as corporate income tax, withholding tax, employment taxes, as well as indirect taxes such as VAT, excise duty and stamp duty. Individuals are subject to presumptive income tax (taxed based on their annual income threshold), stamp duty, employment taxes (imposed on individual salaries) as well as VAT depending on the threshold for registration purposes.

33. Direct tax rates are provided under the first schedule of the ITA. Tax rates range from 8% to 30% depending on the income of individuals. Corporate tax rate is ordinarily 30% except for public listed companies that are taxed at 25%.

34. The Minister of Finance for Tanzania is the Competent Authority for all exchange of information. However, the powers have been delegated to the Commissioner General of the Tanzanian Revenue Authority (TRA) who is the Competent Authority for all EOI matters for both Tanzania Mainland and Zanzibar. Tanzania engages in exchange of information on request based on 11 double taxation conventions (DTCs) that are in force. Tanzania counts the number of requests based on the number of persons covered by the request.

## Financial services sector

35. Tanzania's financial sector comprises banks, insurance, social security and collective investment schemes. The financial sector assets represent 44% of the gross domestic product. The banking sector's total assets make up 70.2% of the financial sector. As of September 2025, the total assets of the banking sector stood at TZS 72 trillion (EUR 24 billion). There are 42 banking institutions: 35 commercial banks, 3 microfinance banks, 2 community banks and 2 development banks. The total number of bank branches is 1 032 with most concentration in the urban areas of Dar-es-Salaam, Mwanza and Arusha.

36. Three regulatory authorities supervise the financial sector in Tanzania – Bank of Tanzania (BOT) for the banking and pension sector,[6] Capital Market and Securities Authority for the capital market and Tanzania Insurance Regulatory Authority for the insurance sector.

## Anti-money laundering framework

37. Tanzania's anti-money laundering framework is built on its Anti-Money Laundering (AML) Act (originally enacted in 2006, amended regularly and last revised in 2023) applicable to Tanzania Mainland and the Anti-Money Laundering and Proceeds of Crime Act (AMLPOCA) (originally enacted in 2009, amended regularly including in 2022 and last revised in 2023) applicable to Zanzibar. These acts are

[6] The Ministry of Labour and Employment also has oversight over the pension sector from the perspective of labour and employees' rights associated with pensions.

supported by AML Regulations. Although two AML legislations exist for Tanzania Mainland and Zanzibar, there are mechanisms to apply a consistent and harmonised approach towards AML in the two parts. The AML Act of Tanzania Mainland established a common Financial Intelligence Unit (FIU) and a common National Multi-Disciplinary Committee on Anti-Money Laundering for both parts of Tanzania.

38. The FIU receives, analyses and disseminates suspicious transaction reports, currency transaction reports, cross border currency reports, electronic funds transfer reports and other information regarding actual or potential money laundering, terrorist financing or proliferation financing received from the reporting persons and other sources from within and outside Tanzania. In addition, it works with other supervisory and regulatory authorities in both parts of Tanzania to develop AML-related regulations and guidance. It also has supervisory authority over AML-obliged persons that do not have a dedicated supervisor.

39. The National Multi-Disciplinary Committee on Anti-Money Laundering comprises representatives from more than 20 public authorities and agencies from Tanzania Mainland and Zanzibar. For instance, among others, it has a representative each from the BOT, the FIU, and the respective ministries of finance, commercial registrars and tax authorities of the two parts of Tanzania. The Committee is responsible for policy formulation, coordination, collaboration and international engagement on anti-money laundering for Tanzania.

40. The AMLA and AMLPOCA identify various supervisors with oversight over AML compliance. The three financial sector regulators – the BOT, the Capital Market and Securities Authority and the Tanzania Insurance Regulatory Authority – oversee AML compliance of their respective sectors. For non-financial AML-obliged persons, Tanganyika Law Society and Zanzibar Law Society are supervisors for lawyers, notaries and other independent legal professionals in Tanzania mainland and Zanzibar. The National Board of Accountants and Auditors in Tanzania Mainland and Zanzibar Institute of Accountants, Auditors and Tax Consultants are the respective supervisors for accountants and auditors. The supervisors oversee AML compliance following a risk-based supervisory approach and have dedicated enforcement frameworks to check non-compliance.

41. In its 2021 mutual evaluation report,[7] the Eastern and Southern Africa Anti-Money Laundering Group rated Tanzania Partially Compliant on Recommendations 10 (customer due diligence) and 24 (transparency and beneficial ownership of legal entities) and Non-compliant on Recommendation 25 (transparency and beneficial ownership of legal arrangements). The effectiveness of Immediate Outcomes 3 (Supervision) and 5 (Legal persons and arrangements) was rated “low”. Since then, Tanzania took steps to address the identified gaps. Based on its follow-up reports, Tanzania’s rating for Recommendation 10 (customer due diligence) improved to Largely Compliant, while the ratings for Recommendations 24 and 25 and Immediate Outcomes 3 and 5 remained unchanged. In 2025, Tanzania was removed from the FATF’s list of jurisdictions under increased monitoring.

## Recent developments

42. The AML Acts of Tanzania Mainland and Zanzibar were amended in 2022 to provide for improved definition of beneficial ownership as it applies for different types of entities and arrangements. The Finance Act 2022 amended multiple commercial laws that govern different types of entities and arrangements in Tanzania to include requirements around beneficial ownership. A central beneficial ownership register has been operationalised in Tanzania Mainland by the Business Registration and Licensing Agency (BRELA) from 2022 and is currently being populated. Access to the register is limited to identified public authorities,

[7] Accessible at https://www.esaamlg.org/reports/MER%20of%20Tanzania-June%202021.pdf

including the TRA. Zanzibar also put in place the legal framework for operationalising a centralised beneficial ownership register in 2023.

43. In 2023, revised editions consolidating all the amendments since the last editions were put together in Tanzania Mainland for the AML Act, the Companies Act, the Business Names Registration Act, the Trustees Incorporation Act, the ITA and the TAA.

44. Tanzania's request to become a party to the Multilateral Convention was accepted by the Coordinating Body in May 2026 and Tanzania was formally invited to sign the Multilateral Convention.

# A Availability of information

45. Sections A.1, A.2 and A.3 evaluate the availability of ownership and identity information for relevant entities and arrangements, the availability of accounting information and the availability of banking information.

## A.1 Legal and beneficial ownership and identity information

Jurisdictions should ensure that legal and beneficial ownership and identity information for all relevant entities and arrangements is available to their competent authorities.

46. Legal ownership information in Tanzania is generally available through a combination of laws but some improvements are needed. Tanzania Mainland and Zanzibar have their respective companies acts that provide requirements on legal ownership. In respect of partnerships, registration requirements with the respective business registration authorities of Tanzania Mainland and Zanzibar, coupled with the tax law obligations, are the source of identity information. The requirements for registering and obtaining a Tax Identification Number (TIN) and annual filing of tax returns provide for important sources of legal ownership information. The provisions of the tax laws apply uniformly across Tanzania in respect of Union taxes, which include direct taxes. Furthermore, the requirements of the respective VAT Acts applicable to Tanzania Mainland and Zanzibar also require provision of identity information in respect of partnerships where they have VAT obligations.

47. The deficiency pertaining to the existence of bearer share warrants in Zanzibar identified in the 2021 Report persists, although provisions have been introduced to have some oversight of their issuance and transfers. However, these provisions do not prevent transfer of bearer share warrants and the identity of holders may not always be known.

48. In respect of trusts in Tanzania Mainland and wakfs (or waqfs) in Zanzibar, the respective governing acts are the primary sources of identity information although tax law obligations remain a supplementary source.

49. Nominee shareholding can exist in Tanzania Mainland and Zanzibar but there are no obligations on nominees to disclose their nominee status to the company or any public authority. This may lead to situations where identity of nominators in nominee relationships is not available, in contravention with the standard.

50. The 2021 Report identified some deficiencies in respect of companies and trusts. The low quantum of monetary sanctions provided for under the relevant laws posed some concerns about their efficacy and dissuasiveness in the context of availability of legal ownership and identity information. To address this issue, Tanzania has introduced higher levels of sanctions in the Companies Act and Trustees' Incorporation Act for Tanzania Mainland. In addition, practical measures like denying access to online services until companies comply with their filing obligations, have been implemented by the Registrars in Tanzania Mainland and Zanzibar. The Zanzibar Registrar has also issued advisory to public authorities

and financial institutions against dealing with non-compliant companies. These measures mitigate the concerns associated with low quantum of sanctions noted previously.

51. In respect of availability of beneficial ownership information, Tanzania relies on both the AML framework, the company approach and a developing registry approach. The 2021 report identified deficiencies in the definition of beneficial owner in the legal framework and inadequate provisions for ensuring that the information was up to date. Tanzania Mainland has amended the applicable Companies Act, the AML Act, the Business Names (Registration) Act and the Trustees Incorporation Act to include an improved definition and the requirements for maintaining beneficial ownership information. Zanzibar has not done the same, but some of the above-mentioned changes apply to Zanzibar in situations where relevant entities and arrangements have bank accounts, although this is not sufficient to meet the standard.

52. Some further clarity on certain aspects of the definition of beneficial owners as it applies to companies, partnerships and trusts is needed. Further, considering the continued importance of the AML framework for availability of beneficial ownership information in Tanzania Mainland and Zanzibar, the absence of a specified frequency for updating such information may result in the available information not being up to date.

53. In terms of practical implementation, Tanzania needs to effectively implement and supervise its legal and regulatory framework for ensuring the availability of beneficial ownership information. Finally, the existence of inactive companies poses risks to the availability of legal and beneficial ownership information and Tanzania should take steps to oversee the availability of information for such companies.

54. The conclusions are as follows:

## Legal and regulatory framework: In place, but certain aspects of the legal implementation of the element need improvement

| Deficiencies identified/ Underlying Factor | Recommendations |
|---|---|
| **Nominee** shareholding is possible under Tanzania's company laws in Tanzania Mainland and Zanzibar. The Anti-Money Laundering legal framework requires identification of persons acting on behalf of another person while entering into business relationships and identification of beneficial ownership. However, there is no requirement on nominees to disclose their nominee status to the companies or to any public authorities. | Tanzania is recommended to ensure that in all cases where nominee shareholding exists in companies, such nominee arrangements are known to the companies or to the authorities and identity information on the nominator is available in line with the standard. |
| In 2022, Tanzania updated its Anti-Money Laundering laws applicable to Tanzania Mainland and Zanzibar to provide a **definition of beneficial owner** generally in line with the standard. This same definition applies in the context of the governing laws for companies, partnerships and trusts, requiring them to keep information on their beneficial owners. However, for legal persons like companies, guidance is missing on the concept of "control by means other than ownership". Similarly, guidance is missing on the "look through approach" where any of the partners of a partnership or parties to a trust are themselves legal persons or arrangements. | Tanzania is recommended to ensure that the definition of beneficial owner as it applies to companies, partnerships and trusts is sufficiently clear to ensure the identification of beneficial owners of these relevant legal entities and arrangements in line with the standard. |
| In 2022 and 2023, Tanzania introduced requirements under the Companies Act, the Business Names (Registration) Act and the Trustees' Incorporation Act for Tanzania Mainland and in Zanzibar's Companies Act to keep **beneficial ownership** information up to date. These amendments are yet to be fully implemented.<br>Hence, the AML legal framework has been the main source of beneficial ownership information for companies, partnerships and trusts during the review period and is likely to remain an important source until the centralised beneficial ownership registers are fully operationalised in Tanzania Mainland and in Zanzibar. The AML legal framework does not provide a specified frequency for updating beneficial ownership information and may result in such information not always being up to date. | Tanzania is recommended to ensure that up-to-date beneficial ownership information on all relevant entities and arrangements is available in line with the standard. |
| Zanzibar's Companies Act permits the issuance of **bearer share** warrants by public companies limited by shares and does not provide for any requirements to identify the owners of such bearer share warrants. There are ten public companies | Tanzania is recommended to ensure that the owners of bearer share warrants issued by Zanzibar public companies limited by shares are always identified in |

| | |
|---|---|
| in Zanzibar. In 2023, Zanzibar amended its law to require that any issuance or transfer of bearer share warrants is approved by the Registrar. No such approvals have been sought so far. However, it is not known how many companies have issued bearer share warrants in the past and the amount of capital associated with such warrants. | line with the standard. |

## Practical implementation of the standard: Partially Compliant

| Deficiencies identified/ Underlying Factor | Recommendations |
|---|---|
| The Business Registration and Licensing Agency (BRELA) commenced implementing the beneficial ownership register in Tanzania Mainland from 2022, but the filing rate for the register is around 12%. The Business and Property Registration Agency (BPRA) in Zanzibar is still working to introduce a beneficial ownership register. The Companies Laws of Tanzania Mainland and Zanzibar were amended in 2020 and 2023 respectively to include beneficial ownership obligations on companies. No enforcement action has taken place as yet.<br>In respect of trusts, the Registration, Insolvency and Trusteeship Agency has not supervised new requirements under the Trustees' Incorporation Act to maintain beneficial ownership information.<br>The AML framework was improved in 2022 with a new definition of beneficial ownership, although it still needs further clarifications. AML-obliged persons are yet to fully understand and implement the new definition. Bank of Tanzania has taken some actions to ensure banks comply with the new definition; however, more actions are needed. Other AML supervisors are yet to take sufficient supervisory and enforcement actions to ensure compliance. | Tanzania is recommended to effectively implement, supervise and enforce the legal and regulatory framework for the availability of adequate, accurate and up-to-date beneficial ownership information on all relevant entities and arrangements in Tanzania Mainland and Zanzibar in line with the standard |
| Many companies in Tanzania are non-compliant with their obligations to file their annual returns with the Registrars. There are more than 70 000 companies that are not reflected in the tax database but that are registered on the company registers (that together have more than 250 000 companies). Moreover, many companies are non-compliant with their obligations to file annual tax returns with the tax authorities. This raises concerns about the availability of legal and beneficial ownership information on such companies in line with the standard. | Tanzania is recommended to take necessary supervisory and enforcement actions to ensure that legal and beneficial ownership information on all companies is available in line with the standard. |

### *A.1.1 Availability of legal and beneficial ownership information for companies*

55. The 2021 Report noted that legal and beneficial ownership information on companies was generally available although some gaps were identified. Since then, Tanzania has improved its legal framework to address some aspects.

#### *Legal ownership and identity information requirements*

56. The legal ownership and identity requirements for companies are found under the requirements of the respective company laws of Tanzania Mainland and Zanzibar. They are supplemented by the requirements under the tax law. The AML law also requires the availability of such information[8] to the extent that the company is engaged with an AML-obliged person, which is not mandatory. The following table shows a summary of the legal requirements to maintain legal ownership information in respect of companies:

8 AML law provisions require knowledge of ownership structure of an entity or arrangement, which is not always equivalent to complete ownership information.

### Companies covered by legislation regulating legal ownership information[9]

| Type | Company Law | Tax Law | AML Law |
|---|---|---|---|
| **Tanzania Mainland** | | | |
| Private company limited by shares | All | All | Some |
| Private company limited by guarantee | All | All | Some |
| Private unlimited company | All | All | Some |
| Public company | All | All | Some |
| Foreign company (tax resident) | All | All | Some |
| **Zanzibar** | | | |
| Private company limited by shares | All | All | Some |
| Private company limited by guarantee | All | All | Some |
| Private unlimited company | All | All | Some |
| Public company | All | All | Some |
| Foreign company (tax resident) | Some | All | Some |

#### Companies law requirements – Tanzania Mainland

57. **Types of companies in Tanzania Mainland** – Until 2023, the Companies Act of 2002 governed the establishment and regulatory arrangements of companies in Tanzania Mainland. In 2023, a revised and consolidated Companies Act 2023 came into force. The new act continues to provide for incorporation of the same types of companies as was the case under the previous act. Section 3 of the act provides for the formation of:

- **Companies limited by shares**, where the memorandum of association limits the liability of the members to the amount if any, unpaid on the shares held by them.
- **Companies limited by guarantee**, where the memorandum of association limits the liability of members to such amount as the members may respectively thereby undertake to contribute to the assets of the company in the event of it being wound up.
- **Unlimited companies**, where there is no limit on the liability of the members.

58. Besides this general distinction between limited liability companies and unlimited liability companies, section 3(5) of the Companies Act 2023 provides for the establishment of **public companies** and **private companies**. A public company is a company limited by shares or limited by guarantee and having share capital that can have an unlimited number of shareholders. Such companies must be declared as “public” in their memoranda of association. Private companies can be limited companies or unlimited liability companies. Under their articles of association, they must restrict the right to transfer shares, must not have more than 50 members, and prohibit any invitation to the public to subscribe for any shares or debentures of the company (s. 29).

59. Foreign companies incorporated outside of Tanzania are permitted to carry on business in Tanzania through a place of business like a branch office.

[9] The table shows each type of entity and whether the various rules applicable require availability of information for “all” such entities, “some” or “none”. “All” means that the legislation, whether or not it meets the standard, contains requirements on the availability of ownership information for every entity of this type. “Some” means that an entity will be covered by these requirements if certain conditions are met.

60. Tanzanian authorities have indicated that there are 389 public companies (of which 28 are listed on the Dar es Salaam Stock Exchange) and 230 552 private companies registered in Tanzania Mainland as of February 2026. Further, 1 245 foreign companies[10] have branch offices in Tanzania Mainland.

61. **Registration of companies in Tanzania Mainland** – All companies incorporated in Tanzania Mainland are required to register with the **Business Registration and Licensing Agency (BRELA)**. BRELA is headed by a Chief Executive Officer who is also the Registrar of Companies. The Registrar is required to maintain a Register of Companies to enter all matters pertaining to companies as prescribed under the Companies Act (s. 455).

62. All companies are allocated a unique Company Identification Number (CIN) by the Registrar. BRELA has implemented a fully **Online Registration System** (ORS) since 2018 for company registration and subsequent compliance. A user is required to register and open an account on the ORS. For registering a company, a user is required to provide all information about the company in the form, including the registered office address, names of directors, company secretary, share capital, number of shares and value of each share, personal information of shareholders - names, date of birth, nationality, residential address, mobile number and email address. A Tanzanian individual subscriber is required to submit the National Identification Number and Tax Identification Number (TIN), a foreigner is required to submit passport details, while a legal entity like a company is required to submit its CIN and certificate of incorporation. Once all required information is filled in, the details are automatically populated in an online consolidated form which is downloaded and signed by all directors and a company secretary. For companies that may not issue shares or have shareholders (like companies limited by guarantee), details of all members are similarly provided. Documents to ensure identification of members like a passport for foreigners must be attached, including the consolidated form uploaded with other attachments such as memorandum and articles of association and an integrity pledge form. The ORS is linked to the tax database of the TRA (which issues Tax Identification Numbers (TIN)) as well as that of the National Identification Authority (which issues national identification numbers to Tanzanian residents). In practice, either the TIN or the National Identification Number must be provided for successful registration of Tanzanian directors and shareholders and passport details for foreigners.

63. **Registered office and register of members** – All companies are required to have a registered office (s. 15 and s. 113). The ORS does not allow entry of an address outside of Tanzania Mainland for the registered office. It has internal automated linkages to the database of all addresses in Tanzania Mainland and rejects any address outside of Tanzania Mainland.

64. All incorporated companies must keep a register of their shareholders/members in Tanzania Mainland (s. 118), either at the registered office of the company or at another office of the company if it is prepared at such other office, or at the office of another person that is engaged by the company for preparing and maintaining the register.[11] If the register is not kept at the registered office or if there is any change of place of maintaining such a register, the Registrar must be notified. The members' register must contain the names and addresses of all members. In practice, Tanzania has indicated that companies maintain further identification details, like date of birth/incorporation and identification numbers issued by public authorities on the members because such details must be submitted on the ORS.

65. In the case of a company having share capital, a statement of the shares held by each member, and the amount paid or agreed to be considered as paid on the shares must be maintained by the company. Section 119 further stipulates that in the case of companies having more than 50 members (public

[10] Companies incorporated in Zanzibar and having branches in Tanzania Mainland are considered foreign companies in Tanzania Mainland.

[11] Such a person could be a lawyer or an accountant. Alternatively, in the case of publicly traded companies, the stock exchange could hold the shares in a share depository (as provided for under s. 77 of the Companies Act 2023).

companies), the register of members should be supplemented with an index of names of members with sufficient details to enable ready identification of each member's account in the register.

66. **Updating of legal ownership** – The transfer of shares or membership interest of a private company or an unlisted public company takes effect once recorded in the register of members held by the company and then submitted to BRELA for registration. The register of members must be updated with the dates on which each member was entered into the register and ceased to be a member. The transferor or the transferee must deliver a duly stamped instrument of transfer to the company for recording the transfer (s. 79). Once registered, the company issues share/membership certificates to the new shareholder/member within 60 days of the transfer. A company must **notify the Registrar** (i.e. BRELA) about any share transfer within 28 days of such transfer. A **tax clearance certificate** issued by the TRA must be submitted along with the notification (s. 86).[12] Legal rights accrue to the new shareholder upon transfer of shares only when the Registrar has been duly notified about the transfer. For listed public companies, transfer of shares is through the stock exchange.

67. Besides changes in membership, any changes to the directors and secretaries of the company must be indicated to the Registrar (s. 213(4) and (5)). Similarly, the Registrar must be notified about the allotment of shares under section 57(1),[13] an increase in members of company limited by guarantee (s. 11(3)) or ceasing to be a private company (s. 31).

68. **Annual returns** are an important means of ensuring legal ownership is up to date with the Registrar. Section 131 requires every company incorporated in Tanzania Mainland to file an annual return with the Registrar.[14] The annual return must indicate the name and address of each person who is a member of the company at the date of preparing the annual return, as well as every member who has ceased to be a member since the last return. In their annual returns, companies with share capital are required to state the total number of issued shares of the company at the date to which the annual return is prepared, the aggregate nominal value of those shares, the different classes of shares and the associated nominal value with each class of shares. The annual return must also indicate the number of shares of each class held by each member at the date of preparing the annual return, as well as the number of shares of each class transferred since the date to which the last return was made up (or, in the case of the first return, since the incorporation of the company) by each member or person who has ceased to be a member, and the dates of registration of the transfers. In cases where the preceding two annual returns have provided full details of all members, the subsequent annual return may indicate only the changes in respect of members who have ceased to be members or who have become new members and in case of companies with share capital, the details of shares transferred since the previous return.

69. In practice, annual returns are filed online through the ORS. BRELA monitors compliance with the obligation to file annual returns. Failure to file annual returns leads to automatic denial of online services for companies (see paragraph 118).

[12] Section 115(4) of the ITA (as revised in 2023) specifically requires that in the absence of a tax clearance certificate from the Commissioner of the TRA, no transfer of interest should be registered by the relevant authorities.

[13] Whenever a company limited by shares or a company limited by guarantee and having a share capital makes any allotment of its shares, such company is required to submit a return of the allotments to the Registrar clearly indicating the names, addresses and description of the allottees (s. 57).

[14] An annual return requires submission or reconfirmation of previously submitted information including the address of the registered office, the type of company and its business activity, name and address of the company secretary, and name and address of each of the directors. Sufficient details to identify individual and corporate directors are required to be submitted (s. 132).

### Foreign companies in Tanzania Mainland

70. Foreign companies incorporated outside Tanzania can carry on business operations in Tanzania after registering with the Registrar of Companies (s. 438). A foreign company must submit the statutory form for registration, a certified copy of its original certificate of incorporation, certified copies of the memorandum and articles of association, its statute or charter, or whatever document that is used in the country of origin as the constitution of the incorporated company, a copy of the most recent accounts and related reports of the company, and, if the documents are not in English, a certified translation. Furthermore, the company's shareholders' and directors' names are to be stipulated in the certified memorandum and the statutory form for registration.

71. The procedure for registration of foreign companies is also done online through the ORS. Any changes to the particulars of directors or company secretary, or other documents submitted at the time of registration are required to be updated by filing such changes with the Registrar within 60 days of the change. Further, foreign companies registered in Tanzania Mainland are obliged to file their annual returns like domestic companies. Tanzanian authorities have advised that since foreign companies are required to submit the same forms as other companies while filing their annual returns, the same information is required to be submitted by them (see paragraph 68).

72. These requirements are supplemented by the requirements under the direct tax laws (see paragraphs 92 to 96). Hence, the legislation requires the availability of legal ownership information on foreign companies with sufficient nexus to Tanzania Mainland.

### Companies law requirements – Zanzibar

73. **Types of companies in Zanzibar** – In Zanzibar, companies are formed under the Companies Act 2013 which governs registration and administration of the companies operating in Zanzibar. Similar to the situation in Tanzania Mainland, section 3(3) of the act provides for three types of companies – **companies limited by shares** (where the liability of the members is limited by the memorandum to the amount if any, unpaid on the shares held by them); **companies limited by guarantee** (where the liability of the members is limited by the memorandum to such amount as the members may respectively undertake to contribute to the assets of the company in case of it being wound up); and **unlimited companies** (where there is no limit on the liability of members). These companies may be public or private. A public company must have at least seven members, while a private company should have between 2 and 50 members. A private company has limitations in its articles of association on the right to transfer shares, and must not invite the public to subscribe to its shares.

74. In addition, unlike Tanzania Mainland, Zanzibar's Companies Act 2013 provides for a **single member private company** where a sole individual member may form a company and he/she is personally liable under section 33(2) where he/she contravenes the act. Joint shareholding for such a single member company is not allowed (s. 30(3)). Further, a single member must always be a director of the company and may appoint additional directors as stipulated under section 189(2) of the Act. In addition, a single member must appoint nominee director and alternate nominee director in a form no. 8.[15] Corporate directors are not permitted for companies incorporated in Zanzibar.

[15] Nominee director is appointed by a single member/sole director for the purpose of administering shares of single shareholder for welfare of his/her heirs in case of death. The alternative nominee director performs the same functions as a further back-up in case of death.

75. As of February 2026, there were 10 public companies, 19 987 private companies and 582 single member companies registered in Zanzibar. There were 1 114 foreign companies operating through their branches in Zanzibar.[16]

76. **Registration of companies in Zanzibar** – All companies incorporated in Zanzibar are required to register with the **Business and Property Registration Agency (BPRA)**. The BPRA is headed by the Executive Director who is the Registrar of Companies in Zanzibar.

77. Since July 2018, similar to the ORS in Tanzania Mainland, an **ORS system** has been implemented in Zanzibar for the purposes of registration and compliance in respect of companies in Zanzibar. This system is maintained by the BPRA. Users are required to register on the ORS. Tanzania individuals must submit their Zanzibar Identification Number (ZanID) or the National Identification Number, while non-Tanzanians are required to submit their passport details. An email address is also required. The ORS is integrated with the National Identification Authority and ZanID systems for cross-verification of submitted information.

78. **Register of members** – The requirements to maintain legal ownership and identity information by companies themselves exist in section 116 of the Companies Act 2013 (and are identical to the provisions in section 118 of Tanzania Mainland's Companies Act 2023). The information to be maintained in the **register of members** includes: the names and addresses of the members, and in the case of a company having a share capital a statement of the shares held by each member, distinguishing each share by its number (so long as the share has a number), and where appropriate, by its class, and the amount paid or agreed to be considered as paid on the shares of each member; the date at which each person was entered in the register as a member; the date at which any person ceased to be a member. The register of members must ordinarily be maintained at the registered office of the company and in all cases must be kept in Zanzibar[17] (s. 116(2)(b)). The register may be kept at another place in Zanzibar instead of the registered office, if it is prepared at another office, or if some other person is engaged for maintaining such register. The Registrar must be informed about such change in place of maintenance of the register. Further, in the event of any changes in particulars, section 117 of the Act requires companies to update their records.

79. **Updating of legal ownership information** – Transfer of shares / membership interests under Zanzibar's Companies Act 2013 is effected through an instrument of transfer that should be submitted to the company for registration in its register and issuance of a share certificate (s. 79 to 88 of the Companies Act 2013). However, there is no explicit requirement for ownership changes to be notified to the BPRA. Hence, ownership rights accrue once the ownership transfer has been suitably registered by the company and a share certificate has been issued.

80. Zanzibar companies are required to file **annual returns** every year with the BPRA. These annual returns must indicate all changes in legal ownership during the year and also contain up-to-date information. Hence, companies are required to update legal ownership information with the Registrar while filing annual returns (sections 129, 130 and 131 of the Companies Act 2013).

81. In addition, Zanzibar companies are required to comply with the Income Tax Act (ITA) and the Tax Administration Act (TAA), which require submission of legal ownership information at the time of registration with the TRA and to keep it updated (see paragraphs 92 to 96).

[16] Tanzania Mainland companies carrying out business in Zanzibar are also considered foreign companies in Zanzibar.

[17] For companies incorporated in Zanzibar, the register of members must be in Zanzibar and cannot be located in Tanzania Mainland.

### Foreign companies in Zanzibar

82. Every foreign company which establishes a place of business in Zanzibar or which has a place of business in Zanzibar must within one month of the establishment of the place of business or within six months from the appointed day (that is the day from which it seeks to commence business in Zanzibar), deliver to the Registrar for registration – (a) a certified copy of the charter, statutes or memorandum and articles of the company or other instrument constituting or defining the constitution of the company, and, if the instrument is not written in the English or Swahili language, a certified translation thereof; (b) a list of the directors and secretary of the company; (c) the names and addresses of one or more persons resident in Zanzibar authorised to accept on behalf of the company service of process and any notice required to be served on the company (s. 239 of Zanzibar's Companies Act 2013).

83. Thus, legal ownership information on foreign companies registered in Zanzibar is available only to the extent up-to-date membership is part of the memorandum of the company in application of the foreign law. Foreign companies are not subject to the requirement to keep a register of shareholders in Zanzibar. Foreign companies are, however, required to comply with the ITA and the TAA, which require submission of legal ownership information at the time of registration with the TRA and to keep it updated (see paragraphs 92 to 96).

#### *Retention obligations and companies that cease to exist in Tanzania Mainland and Zanzibar*

84. **Record retention requirements** – In Tanzania Mainland, section 462(2) of the Companies Act 2023 requires the original documents delivered to the Registrar in a paper form to be kept for 10 years by the Registrar. Tanzanian authorities have indicated that since the law is silent on when to start counting the ten-year period, in practice, company formation documents are kept all through the life of a company. In addition, Tanzanian authorities have advised that since the introduction of the ORS, in practice, all electronically filed information is intended to be kept in perpetuity and will not be destroyed or deleted. Any manually submitted documents are also being digitised and should be available in perpetuity too.

85. In Zanzibar, there are no explicit record retention requirements, although the register of members is expected to be maintained by the company all through its lifetime. Further, information submitted to BPRA would remain available.

86. Tax law obligations under the TAA provide for retention of all documents required to be maintained or filed with the Commissioner General under the tax laws governing Union taxes in Tanzania and Non-Union taxes in Tanzania Mainland. All documents must be maintained for at least five years from the relevant date to which they pertain (s. 43 of TAA). Since legal ownership information is submitted as part of tax returns, the retention requirements apply to such information as well.

87. In **Tanzania Mainland**, companies can cease to exist by being wound up, liquidated and dissolved either through a court monitored liquidation process or through a voluntary winding up procedure (s. 270 onwards under Part VIII of the Companies Act 2023). The High Court of Tanzania is the designated court to oversee the court procedure for winding up but can delegate the process to any Resident Magistrate's Court through an order. A company may be wound up by the court if the company itself seeks such process, does not commence business within a year from its incorporation or suspends business for a year; or the number of its members fall below two; or it is unable to pay its debts; or the court itself is of the view that it is just and equitable to wind up the company. In the case of voluntary winding up, a company may pass a special resolution to the effect of voluntary winding up to commence the procedure. During the pendency of the winding up procedures once the court has ordered so, the official liquidator takes charge of accounts of the company under liquidation and must maintain all accounting records (s. 306 of the Companies Act 2023).

88. Besides the winding up procedure, the Registrar can strike-off and dissolve a company where it has reasonable cause to believe that the company is not carrying on business or in operation (s. 403 of the Companies Act 2023). A company can be struck-off if no evidence of its operation or business is presented despite giving it opportunity to demonstrate business activities. Such a company loses its legal personality when struck off. The property of the dissolved company is *bona vacantia* and transfers to the Government (s. 405). In such cases, there is no engagement of a liquidator. Tanzania has indicated that during the review period, 5 410 companies were struck-off (i.e. less than 3% of registered companies).

89. In **Zanzibar**, companies similarly cease to exist through voluntary winding up and subsequent dissolution, through the provisions of Part VII of the Zanzibar Companies Act 2013. Once dissolved after being wound up, the company ceases to exist and loses its legal personality. Further, the Registrar can strike-off and dissolve a company that it identifies as defunct or not carrying out any business (s. 237 of Zanzibar's Companies Act 2013). However, no *bona vacantia* provisions are provided under Zanzibar Companies Act 2013.

90. For **both** – Tanzania Mainland and Zanzibar – the availability of legal ownership information on companies that cease to exist is ensured through the ownership information submitted on the ORS of BRELA and BPRA at the time of registration and through the subsequent annual returns filed by the company. Tanzania has informed that all information submitted on the ORS is intended to remain available in perpetuity. Moreover, with the recent integration of the ORS with the TRA's database, such information will remain available with the tax authorities as well. Companies that were incorporated prior to the implementation of the ORS in 2018 were required to re-register and update their information on the ORS to be able to continue using ORS for all compliance services. For those that have still not re-registered, the information is being held in physical form by BRELA and BPRA.

91. Tanzania has informed that all government authorities in Tanzania Mainland and Zanzibar are required to maintain and preserve all public records for a period of 30 years.[18] In the event of liquidation, the Registrar (BRELA or BPRA) may, after two years of such dissolution, order any document under its custody to be archived. Hence, in the case of companies that are liquidated, all legal ownership information would be archived for a period of at least 30 years as per the archiving policy for public institutions in Tanzania. In practice, the two registrars continue to maintain all past information of liquidated companies in-house and such archiving has not been undertaken.

### *Tax law requirements and implementation in practice*

92. All companies are required by the TAA to be registered with the TRA and to provide **legal ownership information upon registration** (s. 22 of TAA), **update records upon changes** (s. 26(2) of TAA read with regulation 59 of the Tax Administration (General Regulations) 2016) and provide legal ownership information as part of the **annual tax returns**.

93. Every person (individual, legal entity or legal arrangements) who becomes potentially liable to tax by reason of carrying on a business or investment must apply for a TIN within 15 days from the date of commencing activities. For obtaining a TIN, a company should fill in a prescribed form (Form ITX100.01.B) in which all relevant details about the company, such as the name of the company, name of the shareholders/members, principal activities, business premises and physical, address are filled. In practice, for companies in Tanzania Mainland, due to the integration of BRELA and TRA registration systems, a common registration number is issued instantaneously to BRELA and TRA during the registration process, which serve as both an incorporation number and TIN.

[18] Section 16(1) of the Records and Archives Management Act of 2002 for Tanzania Mainland and section 20(1) of the Zanzibar Institute of Archives and Records Act No. 3 of 2008

94. The annual tax returns require companies (other than those listed on Dar-es-Salaam stock exchange) to provide details of all their shareholders, indicating the TIN, name, number of shares and residential status.

95. In Zanzibar, since the TAA applies the requirements are similar in terms of submission of legal ownership information to the TRA upon registration, updating records upon changes and filing of annual tax returns to update legal ownership information. In practice, unlike BRELA, the BPRA is not yet integrated with the TRA database although this has been planned under a comprehensive integration plan of the TRA. Hence, in Zanzibar companies must first register with the BPRA. For union taxes, including direct taxes, the TRA remains the common tax administration in Zanzibar. After obtaining a certificate of registration from the BPRA, companies must register for tax purposes by filling in the prescribed form ITX100.01.B (TRA– Zanzibar) and form TRF101 (ZRA). All relevant details, such as the name of the entity, name of the shareholders, name of the directors, principal activities, business premises and physical address are provided. For Non-Union taxes (like VAT), registration with the ZRA is required. ZRA number/TIN certificate is issued to the entity upon satisfactory filing of all required details.

96. The provisions of the tax laws apply equally to foreign companies seeking to do business in Tanzania or invest in Tanzania. Since they would be potentially liable to tax in Tanzania in respect of their activities there, they are required to register with the TRA and obtain a TIN. As noted earlier, the registration process requires the submission of legal ownership information and to keep it updated. Furthermore, where a foreign company's management and control is exercised in Tanzania in any year (which means that the place of effective management is Tanzania), it is considered as tax resident (see paragraph 31) and is required to comply with all tax law obligations as applicable to domestic resident companies.

### *Nominees*

97. Nominee shareholding is not prohibited under Tanzania Mainland's Companies Act 2023 as well as under Zanzibar's Companies Act 2013. Certain provisions in the two acts explicitly recognise that nominee shareholding is possible. The definition of wholly owned subsidiaries includes situations where shareholding may be through nominees, and a subsidiary can hold shares in its own holding company through nominee arrangements.

98. However, section 125 of Companies Act 2023 (Tanzania Mainland) and section 123 of the Companies Act 2013 (Zanzibar) do explicitly prohibit any notice of trust, expressed, implied or constructive, to be entered into the register of members or shareholders or to be accepted by the Registrar. While Tanzanian authorities interpret this provision to imply that shareholding in a company is not permissible on behalf of another person, their interpretation does not rule out existence of nominee shareholding which would remain undisclosed to the authorities as well as to the company. Although the shareholder entered into the register of members or shareholders of a company would be considered the legal owner to the extent of shareholding or membership and all shareholder rights and duties apply in respect of such person, nominee arrangements can be entered into privately, which can be enforced independently by the nominator. There are no explicit obligations on nominees to disclose their nominee status either to the company or to the Registrars under either law. During the on-site visit, discussions with representatives from the private sector suggested that although not very common in Tanzania, some legal professionals may be providing nominee services as there is no explicit prohibition in this regard.

99. The recent requirements on beneficial ownership introduced in Tanzania Mainland under the amended Companies Act 2023 and in Zanzibar under the amendments to the Companies Act 2013 and the Beneficial Ownership Regulations 2025, provide for requirements on companies to maintain beneficial ownership information and also to submit such information to the registrars. The identification of beneficial owners could allow identification of nominee relationships to an extent. However, these requirements on beneficial ownership do not fully compensate for the legal gap of either explicitly prohibiting nominee

shareholding or disclosing nominee relationships to companies or authorities where such nominee shareholding exists.

100. Hence, **Tanzania is recommended to ensure that in all cases where nominee shareholding exists in companies, such nominee arrangements are known to the companies or to the authorities and identity information on the nominator is available in line with the standard**.

### *Legal ownership information – enforcement measures and oversight*

#### Level of available sanctions

101. There are sanctions and enforcement provisions under the Companies Act for Tanzania Mainland and under the Companies Act 2013 for Zanzibar. The TAA also provides for sanctions for non-compliance.

102. The 2021 Report concluded that the level of sanctions available in respect of non-compliance with the obligations to maintain updated legal ownership information may not be dissuasive and Tanzania was recommended to ensure that compliance provisions for companies under the respective companies acts of Tanzania Mainland and Zanzibar were adequate for maintaining and submitting all legal ownership information on companies. The applicable sanction under the Tanzania Mainland's Companies Act was TZS 22 000 (EUR 7) on the company and every officer of the company for failure to maintain an up-to-date register of members.

103. **Tanzania Mainland**'s revised Companies Act now provides for higher sanctions. Section 118(5) provides for a fine ranging between TZS 100 000 (EUR 33) and TZS 1 000 000 (EUR 330) on a company and every officer of the company for failure to comply with the requirement of maintaining an up-to-date register of members.

104. In addition, section 483 provides that the Minister will make provisions in regulations for the maximum penalties by way of fines or terms of imprisonment for any offences under the Companies Act 2023. Such regulations are yet to be issued. Thus, while failure to notify the Registrar of changes in legal ownership under section 86 and failure to file annual returns under section 131 are offences, associated sanctions for non-compliance are yet to be provided. Nevertheless, under the Companies (Fees payable to Registrar) Regulations 2014, late filing of annual returns under section 131 beyond 28 days of the return date results in an additional fee on every officer of the company of TZS 22 000 (EUR 7). The Registrar may strike such a company off the register in cases where such failure is noted over a long period (see paragraph 129).

105. Further, the authorities confirmed that in Tanzania Mainland, a self-enforcing mechanism is in place in respect of up-to-date legal ownership information as shareholder rights accrue upon notification of the shareholders to the Registrar. In addition, non-filing of annual returns leads to automatic denial of services provided under the ORS. Companies routinely require access to the ORS for obtaining certifications from BRELA for carrying out business and banking operations. Such services are denied to non-filers. Tanzania also submitted details of its enforcement efforts to reflect the efficacy of its compliance mechanism (see paragraphs 113 to 120).

106. In light of the above, the recommendation on the legal and regulatory framework made in respect of companies in Tanzania Mainland in relation to the adequacy of compliance mechanisms for availability of legal ownership information is removed.

107. The situation in respect of **Zanzibar**, nevertheless, persists. The Zanzibar Companies Act 2013 provides for relatively low quantum of sanctions for various infringements. The company and every officer of the company are liable to a default fine of TZS 3 000 (EUR 1) per month (s. 130) for failure to file the annual return, delay in filing the annual return (s. 131(2)), failure to file director's report with annual return (s. 132(3)), where a company defaults in keeping all required records or defaults for 14 days in complying with informing the Registrar of the place where its register of members is kept and of any change in that

place (s. 116(4)), as well as for failure to comply with the requirements to update company records (s. 117(4)).

108. Making a wilful false statement in any return, report, certificate, balance sheet, or other document, required by or for the purposes of any of the provisions of the Companies Act is an offence, and such a person is liable on conviction to imprisonment for a term not exceeding two years, or to such a fine not exceeding TZS 2 million (EUR 667), or both (s. 267).

109. In addition to these sanctions under the Companies Act, Regulation 55(1) of the Companies Regulation 2017 provides for general penalty of a fine of TZS 25 000 (EUR 8) on a person who contravenes any provision of the Act or the Regulations, especially where there is no punishment prescribed under the Act or the Regulations in relation to such provision.

110. Besides these sanctions stipulated under the Companies Act for Zanzibar, every company carrying out any business in Zanzibar is required to register under the Business Entities Registration Act No. 12 of 2012 and must comply with all the registration provisions. Any business entity which contravenes the provisions to provide correct and complete information in the registration form and attachments submitted to the Registrar within the prescribed time commits an offence and is liable to a default fine of TZS 3 000 (EUR 1) per month (s. 7). Further, section 21 provides the general penalty of a fine of not less than TZS 50 000 (EUR 17) and not exceeding TZS 1 million (EUR 333) or imprisonment for a period of not less than one month and not exceeding three months or both where there is no specific penalty prescribed under this Act or its regulations.

111. Unlike Tanzania Mainland, where the self-enforcing mechanism ensures shareholding rights to be transferred upon registration of share transfers with the BRELA, in Zanzibar shareholder rights arise from being included in the register of members maintained by the companies. Accordingly, the supervisory activities of the BPRA (including the available sanctions for non-compliance) remain important. BPRA has, in practice, taken some measures to ensure compliance (see paragraphs 121 to 128), which give a degree of comfort in respect of oversight. Nevertheless, considering the low quantum of sanctions under Zanzibar's Companies Act 2013 in respect of non-maintenance of adequate, accurate and up-to-date legal ownership information, Tanzania should monitor that the low quantum of applicable sanctions does not affect the availability of legal ownership information on companies in Zanzibar (see Annex 1).

112. Under tax laws, sections 77-80 of the TAA deal with penalties applicable to Tanzania Mainland and Zanzibar companies. There are penalties in place for failure to maintain documents (s. 77), failure to file tax returns (s. 78), making false or misleading statements (s. 79) and abetting tax evasion. Tanzania has a currency point[19] system for imposing penalties. Penalties expressed in currency points are correlated with the actual amounts in TZS through executive regulations which are periodically updated to account for inflation. Failure to maintain documents or to file a tax return leads to imposition of penalty of 15 currency points on a body corporate (TZS 300 000 or EUR 100). These penalties can be supplemented by way of percentage of tax evaded or sought to be evaded. Similarly, the VAT law provides for imposition of penalty of 10 currency points (TZS 200 000 (EUR 67)) to 20 currency points (TZS 400 000 (EUR 133)) on failure on the part of any liable person to register with the tax authority.

[19] A currency point is a unit translated into Tanzanian Shillings with regard to fines or penalties to be imposed against a default person who has failed to honour an obligation imposed under the Tax Administration Act, 2015. Currently, one currency point represents or is equivalent to TZS 20 000 (or approximately EUR 5).

### Oversight and enforcement in practice – Tanzania Mainland

113. In practice, the supervisory authorities have taken an approach of awareness raising and enforcement by relying on automated imposition of sanctions. During the review period, in Tanzania Mainland, BRELA undertook public awareness and outreach activities aimed at informing companies and the general public of statutory obligations under the Companies Act 2023.

114. BRELA conducted 76 public awareness programmes, 47 exhibitions and 16 sensitisation sessions in 2022-2025. These activities covered compliance matters, such as the filing of annual returns, maintenance of accounting records, submission of beneficial ownership information, and notification of changes relating to company names, registered office addresses, directorships, shareholding structures, and authorised share capital. These initiatives were intended to provide information on post-registration requirements and to support understanding of ongoing compliance obligations following incorporation. BRELA also made use of newspapers, television and radio broadcasts, and official social media platforms to communicate information concerning statutory filing requirements and applicable deadlines.

115. During the review period, BRELA conducted 2 142 facilitative inspections and carried out outreach activities across 14 out of the 26 regions in Tanzania Mainland. These activities included business clinics, seminars, workshops, meetings and training sessions involving companies and other stakeholders. The purpose of these engagements was to provide guidance on regulatory requirements and to address compliance-related issues at the regional level.

116. In addition, BRELA implemented an automated system for issuing general reminders to registered companies through push messages regarding submission of annual returns together with financial statements.

117. BRELA issued public notices addressing specific compliance-related matters like reminding stakeholders (including government institutions and regulatory authorities) that they should refrain from engaging with companies that have not updated their statutory information through the Online Registration System (ORS).

118. Administrative measures were also applied in cases of non-compliance. BRELA withheld certain registry services from companies that had not submitted annual returns or beneficial ownership information, as required by law, until the relevant filings were completed under a targeted programme of "*No Annual Returns, No Services*" and "*No BO, No Services*".

119. BRELA monitored the compliance rates in respect of annual return filings. Through its outreach efforts, there has been an increase in the annual return filing rate between 2022 and 2025, although it is not yet satisfactory.

### Annual return filings with BRELA

| | Annual returns filed | Total number of companies in BRELA | Annual return filing rate |
|---|---|---|---|
| 2022-2023 | 113 506 | 196 976 | 58% |
| 2023-2024 | 134 623 | 212 307 | 63% |
| 2024-2025 | 160 204 | 231 317 | 69% |

Note: Companies file annual returns at different points in a year depending on the month in which they were incorporated
Source: BRELA

120. Tanzania has reported that statutory sanctions provided for under the Companies Act 2023 were applied during the review period. Companies that failed to file annual returns within 28 days from the return date were subject to default fines in accordance with section 131 of the Companies Act. During the period

under review, 36 420 companies were sanctioned for late filing, resulting in the collection of penalties amounting to TZS 3.4 billion (EUR 1.13 million) from domestic companies and USD 1 125 (EUR 957) from foreign companies. In addition, sanctions were applied to 12 852 company officers who failed to notify the Registrar of changes in directors or shareholders (under s. 115).

**Oversight and enforcement in practice – Zanzibar**

121. Over the review period, the BPRA implemented similar supervisory measures as BRELA, aimed at supporting compliance with Zanzibar's Companies Act. These measures focused on statutory obligations relating to the filing of annual returns, maintenance of accounting records, submission of beneficial ownership information, and notification of changes in company particulars.

122. The BPRA carried out public awareness and outreach activities to enhance understanding of post-registration requirements (10 television and radio programmes each, 4 workshops and 17 exhibitions). The activities provided information on filing obligations, updating of statutory records, ongoing compliance requirements and reminding companies of their obligations to maintain accurate and up-to-date registration information.

123. The BPRA undertook compliance monitoring activities, including on-site inspections of registered companies by identifying and selecting potentially higher risk companies through desk-based assessments and profiling. In 2024, 220 identified companies were inspected at their registered offices to assess compliance with statutory requirements. As a result of these inspections, 170 companies were identified as being in default for failure to file annual returns, and default fines were imposed on them.

124. In 2024, the Registrar issued circulars to Zanzibar government authorities, public institutions and financial institutions, advising them not to provide services to companies that had not reregistered, filed annual returns, or updated their statutory information. The circular indicated that companies were required to present documents bearing a compliance verification mark ("green stamp") issued by BPRA in order to access services. This measure is applied as a supervisory tool to verify compliance status.

125. The BPRA also applied administrative controls by withholding registry services from companies that are dormant or do not meet statutory filing obligations. Companies registered prior to the introduction of the ORS are required to update their information through the system in order to migrate from manual records to the electronic registry. The ORS does not permit the filing of changes unless company information has been updated. The system also automatically calculates applicable penalties where filing deadlines are not met.

126. While annual return filing rates are not available, the BPRA imposed default fines on companies and officers who failed to file annual returns within the prescribed timelines under sections 129(1), 129(3), 130(1), and 131(2) of the Companies Act 2013. During 2024-2025, 778 companies paid late filing penalties. Sanctions were imposed on 528 companies and officers for failure to notify the Registrar of changes in directors or shareholders, in accordance with sections 70(2) and 116(4) of the Act.

127. As a result of the combination of awareness activities, supervisory measures, and enforcement actions, companies were required to regularise their compliance status in order to access registry and related services. During the period under review, 5 230 companies updated their statutory particulars and records through the ORS.

128. In cases of continued non-compliance, including failure to file annual returns, the Registrar may strike off defunct companies from the register in accordance with the Companies Act.

### Inactive and non-compliant companies

129. Tanzanian authorities have informed that there is no specific legal definition of inactive companies although the authorities recognise that there are companies that may not be carrying out economic activities but continue to retain their legal personality. Many such companies have been non-compliant with their annual return filing obligations over an extended period of time. Tanzania has indicated that, in practice, the Registrar may identify companies that have not filed their annual returns for the last 15 years as being inactive and eligible for striking-off. Upon strike-off, such companies would lose their legal personality unless restored by the Court under section 403(6) of the Companies Act 2023 in Tanzania Mainland. In respect of such companies, the information submitted at the time of registration and at any subsequent annual reports filed by companies limited by shares would be available with BRELA in Tanzania Mainland and with the BPRA in Zanzibar.

130. Tanzania has informed that, between 2022 and 2025, a total of 5 410 defunct companies were de-registered or struck off the company register by BRELA (see paragraph 88). In addition, BRELA has issued a Notice of Intent to strike off 5 676 inactive companies that have not submitted annual returns. Of these, 5 284 are locally registered (s. 403) and 392 are foreign companies (s. 445 of the Companies Act 2023). Similar data from Zanzibar is not available.

131. The proportion of companies that have not been filing annual returns, although declining, has been fairly high (see table below paragraph 119). Approximately 70 000 companies have not filed their annual returns with BRELA in 2024. It is not clear yet how many of such companies are economically inactive or simply non-compliant.

132. The supervisory efforts of the Registrars are supplemented by the oversight of the TRA, which can identify inactivity and non-compliance with tax obligations (see discussion under Element A.2 at paragraphs 314 et seq.). The TRA has increased its surveillance over inactive or otherwise non-compliant entities (see paragraph 331) although such measures are geared towards identifying any signs of domestic activity. Further, as discussed under Element A.2, there are differences in the number of entities reflected in the tax database and those with BRELA and BPRA, requiring further work to align the databases.

133. Hence, companies that are non-compliant (either due to economic inactivity or in general) pose risks to availability of legal ownership information in line with the standard. **Tanzania is recommended to take necessary supervisory and enforcement actions to ensure that legal ownership information on all companies is available in line with the standard.**

### Availability of legal ownership information in EOIR practice

134. During the review period, Tanzania did not receive any request for legal ownership information.

*Availability of beneficial ownership information*

136. The standard requires that beneficial ownership information be available on companies. In Tanzania Mainland and in Zanzibar, requirements relating to the availability of beneficial ownership information are found under the recently amended respective company laws and the AML laws. The AML legal frameworks in Tanzania Mainland and Zanzibar provide for the definitions of beneficial owner, which are the relevant applicable definitions under the respective company laws as well. Each of these legal regimes is analysed below.

## Companies covered by legislation regulating beneficial ownership information

| Type | Company Law | Tax Law | AML Law |
|---|---|---|---|
| **Tanzania Mainland** | | | |
| Private company limited by shares | All | None | Some |
| Private company limited by guarantee | All | None | Some |
| Private unlimited company | All | None | Some |
| Public company | All | None | Some |
| Foreign company (tax resident) | All | None | All [20] |
| **Zanzibar** | | | |
| Private company limited by shares | All | None | Some |
| Private company limited by guarantee | All | None | Some |
| Private unlimited company | All | None | Some |
| Public company | All | None | Some |
| Foreign company (tax resident) | Some | None | All |

### Anti-money laundering law requirements in Tanzania Mainland

137. Tanzania Mainland's Anti-Money Laundering Act (AML Act) requires all reporting persons to carry out the requisite customer due diligence (CDD) measures and among other things duly acquire and maintain beneficial ownership information on their customers.

138. **Definition of beneficial owner** – The 2021 Report had identified gaps in the definition of beneficial owners. Aspects of direct and indirect control, joint control, and control by other means were missing and certain terms like "substantial interest" were not explained.

139. The AML Act was comprehensively revised in 2023. It now provides the following definition for beneficial owners under section 3:

> *Beneficial owner means a natural person who ultimately owns or controls the customer, the natural person on whose behalf a transaction or activity is being conducted, a person who exercises ultimate effective control over a legal person or legal arrangement.*

140. In respect of a legal person (like a company), this definition is elaborated as follows:

> *i) the natural person who ultimately owns or controls the legal person through direct or indirect ownership of a majority shares or voting rights or ownership interest in that legal person and such ownership, ownership interest or control also includes possession of bearer shares, the ability to appoint or remove the majority of board members, the chief executive officer or senior management;*

[20] Where a foreign company has a sufficient nexus, then the availability of beneficial ownership information is required to the extent the company has a relationship with an AML-obligated service provider that is relevant for the purposes of EOIR. (Terms of Reference A.1.1 Footnote 9)

> *ii)* *a shareholding of five percent or more in the legal person or an ownership interest of five percent or more in the legal person held by a natural person shall be an indication of direct ownership or a sufficient percentage of the shares or voting rights or ownership interest in that legal person, or a shareholding of five percent or more or an ownership interest of five percent or more in the legal person held by a legal person, which is under the control of a natural person, or by multiple legal persons, which are under the control of the same natural person, shall be an indication of indirect ownership;*
>
> *iii)* *if, after having exhausted all possible means and provided there are no grounds for suspicion of money laundering, terrorist financing and proliferation financing, no natural person under subparagraph (i) is identified, or if there is any doubt that the natural person identified is the beneficial owner, the natural person who holds the position of senior managing official;*

141. This definition is supplemented by the AML Regulations (issued in 2022 and further amended in 2023) where Regulation 8B provides the following additional guidance:

> *8B (1) …reporting persons shall, when identifying beneficial owner of the legal person or legal arrangements, identify the natural person who ultimately owns or controls the customer or the natural person on whose behalf a transaction or activity is being conducted including a natural person who exercises ultimate effective control over a legal person or legal arrangement.*
>
> *(2) A natural person shall be identified as an ultimate beneficial owner and more than one natural persons can be the ultimate beneficial owners of a legal person or a legal arrangement and the term "ultimate ownership or control" shall include situations in which ownership or control is exercised directly or indirectly, alone or together, including through a chain of legal persons or legal arrangements and in that regard, the reporting person shall, when conducting customer due diligence have regard to –*
>
> *(a) in relation to a legal person –*
>
> > *(i) the natural person who is acting alone or jointly either directly or indirectly;*
> >
> > *(ii) to the extent that there is doubt as to whether the person identified under subparagraph (i) is the beneficial owner or where no natural person is identified, the natural person exercising control of the legal person or legal arrangement through other means;*
> >
> > *(iii) where exceptionally no natural person is identified under subparagraphs (i) and (ii), the natural person who holds position of managing official;*

142. The AML Act suggests a simultaneous approach of identifying beneficial owners based on ownership interests or through certain other types of control identified at point (i) of the definition (although it does not explicitly mention "control by means other than ownership" or exhaustively identify how such control may be exercised). It provides for identification of all natural persons who directly or indirectly hold a majority of shares or voting rights or ownership interest in the company. Besides identifying these majority shareholders, at point (ii) the definition provides a 5% ownership threshold for direct or indirect ownership implying that all natural persons with ownership interests above this threshold must also be identified simultaneously. It then provides for a backstop of identifying a senior managerial person where a natural person is not identified as a beneficial owner at points (i) and (ii) or if there is any doubt that the natural person identified is the beneficial owner. The latter aspect of "doubt" would not be fully in line with the standard, as the standard only foresees the use of the backstop when no natural person fits the criteria in points (i) and (ii) and not because the AML-obliged person has been unable to identify them due to doubts. Tanzanian authorities have clarified the backstop is an exceptional and last resort scenario and cannot be relied upon only because of doubts. In any case, all natural persons with ownership interests and control would have to be identified even if there are doubts. Furthermore, the AML Act (s. 16) notes that an AML-obliged person should not enter into a business relationship or terminate an existing business relationship

as well as submit a suspicious transaction report when customer due diligence cannot be completed. This would include the inability to obtain and verify beneficial ownership information.

143. The AML Regulation proposes a cascade approach of identifying beneficial owners captured by point (i) of the law, through ownership first at point (a)(i), and then considering "control by means other than ownership" at point (a)(ii) if there are doubts about the natural person identified based on ownership interests. There is a backstop option of identifying a senior managing official as a third step in the cascade and the AML Regulations are clearer that such backstop is to be relied upon only if no natural person is identified under points (i) and (ii).

144. Based on the above, the definition is broadly in line with the standard under the AML legal framework. However, neither the AML Act nor the AML Regulations provide sufficient guidance on how to identify "control by means other than ownership". The law provides that this can include "the ability to appoint or remove the majority of board members, the chief executive officer or senior management", but the regulations are silent. The standard also captures other scenarios, like family connections, financial or contractual links, or the individuals who benefit from the assets held by the entity that do not appear in any guidance. **Tanzania is recommended to ensure that the definition of beneficial owner as it applies to companies is sufficiently clear to ensure the identification of beneficial owners of companies in line with the standard** (see also linked recommendations at paragraphs 153, 215 and 241).

145. **Customer due diligence obligations** – In Tanzania Mainland, section 16 of the AML Act requires all reporting persons to conduct CDD on all their clients while establishing a business relationship. They must conduct ongoing monitoring and keep all customer information up to date, including beneficial ownership information throughout the business relationship. Ongoing monitoring requires updating CDD based on monitoring of transactions and sources of funds and ensuring that no previously submitted documents have expired (regulation 8). CDD must be updated where transactions are not considered usual for the customer. They may decide on the frequency on updating CDD based on risk of the customer and no specified frequency is indicated in the legal framework although risk-rerating on customers is expected to be conducted annually. AML-obliged persons are required to carry out CDD measures based on the money-laundering, terrorist financing and proliferation financing risks of the customer. Depending on the assessed risk, CDD measures may be simplified, normal or enhanced and the frequency of updates may vary.

146. CDD measures always require gathering identity documents and establishing the identity of the beneficial owners of the customers and verifying it using reliable, independent source documents, data or information (s. 3 of the AML Act). Basic personal information on natural persons (name, address, date of birth, gender, nationality, identification document) should be gathered during CDD. The CDD process is described in greater detail under Element A.3 (paragraphs 348 et seq.) in the context of banking information for banks as AML-obliged persons, although the obligations and the procedures apply in respect of all AML-obliged persons in Tanzania. The CDD measures, except for simplified CDD, are in line with the standard.

147. **Scope of AML obligations** – Tanzanian authorities informed that although there is no legal requirement on companies to continuously engage with an AML-obliged person, in practice, companies do engage on an on-going basis with AML-obliged persons like lawyers, auditors, accountants and banks. Since 2016, companies are required to have a bank account for registration with the tax authorities and obtain a TIN (through Form ITX100.01.B). Tanzanian authorities therefore consider that all companies with a TIN also have a bank account. There is no requirement that the bank details submitted be those of a Tanzanian bank. However, Tanzanian authorities advised that, in practice, companies almost always provide information on a Tanzanian bank account.

148. **Retention of information** – Section 17 requires all reporting persons to establish and maintain records of transactions, CDD information, including beneficial ownership information, and all business correspondence with their clients. All information must be retained for a period of ten years after the

business relationship has formally ended; or the business relationship has not formally ended, but after the last transaction was carried out. Where an AML-obliged person ceases to operate, it must submit all its records to its designated supervisory authority or the FIU (see also paragraphs 357 to 361). The AML Regulations 2022 (as amended in 2023) provide for more detailed CDD requirements under Part-III (Regulations 7 to 13).

149. In summary, while the AML law requires that beneficial ownership information on companies is available where the company engages with an AML-obliged person, there may be some gaps in certain situations where such engagement is either not there at all or has not been there on a continuous basis. For instance, this could be a concern in respect of inactive companies that have not been liquidated or struck off by the Registrar. The gap in scope is addressed through the requirements under the Tanzania Mainland's Companies Act which requires maintenance of beneficial ownership information by all companies and also submission of this information to the central beneficial ownership register maintained by BRELA (see paragraphs 155 *et seq.*). The other issue is in respect of ensuring the beneficial ownership information held by AML-obliged persons is up to date in the absence of a specified frequency. While there are some mitigating provisions under the Companies Act, the centralised beneficial ownership register is still being populated. Until such time, the AML framework continues as a key source of beneficial ownership information in Tanzania Mainland. During the on-site visit, only the representatives from banks indicated having risk-based internal timelines in their policies for updating information. Such frequencies varied across banks. There is no specific guidance from the BOT in this regard. Only the Capital Market and Securities Authority noted that in practice, they do not accept an updating timeframe for CDD beyond three years. Other AML-supervisors do not have established internal supervisory practices in this regard. Given the absence of a specified frequency in the AML framework, **Tanzania is recommended to ensure that up-to-date beneficial ownership information on companies is available in line with the standard.**

#### Anti-Money laundering law requirements in Zanzibar

150. At the time of the 2021 Report, the Zanzibar Anti-Money Laundering and Prevention of Crime Act (AMLPOCA) did not provide a definition for beneficial ownership. The AMLPOCA Regulations provided the definition of beneficial owner of legal persons in the insurance industry but the definition was not supported by guidance on several aspects. Hence, Tanzania was recommended to address this legal gap in the context of Zanzibar.

151. Zanzibar's AMLPOCA was amended in 2022 to provide for the following definition of beneficial owner under section 2:

> *Beneficial owner means an individual who ultimately owns or control the customer, an individual on whose behalf a transaction or activity is conducted, an individual who exercises ultimate effective control over a body corporate, a beneficiary of an insurance policy or other investment linked insurance policy and includes individuals as may be determined under section 10B.*

152. Section 10B of the AMLPOCA complements the definition of beneficial owner and uses the same definition as provided under the AML Act for Tanzania Mainland (see paragraphs 140 et seq.) and the associated AMLPOCA Regulations rely on the definition provided under the AMLPOCA.

153. Thus, the definition of beneficial owner under the AMLPOCA and the AML Regulations in Zanzibar is now generally in line with the standard except that the aspect of "control by means other than ownership" needs to be clarified. This definition is relied upon for the purposes of obligations on Zanzibar companies to maintain beneficial ownership information under the recently introduced requirements of Companies Act 2013 (see paragraphs 168 et seq.). **The recommendation at paragraph 144 applies**.

154. In respect of performing CDD and retaining records, the requirements under Zanzibar's AMLPOCA and Regulations mirror the provisions under the AML legal framework in Tanzania Mainland. While

providing for ongoing monitoring, there is no specified frequency for updating CDD. **The recommendation at paragraph 149 applies**.

### Company law requirements in Tanzania Mainland

155. At the time of the 2021 Report, the Companies Act for Tanzania Mainland included requirements on all companies to maintain information on their beneficial owners. The revised Companies Act 2023 retains these obligations and explicitly refers to the definition of beneficial owners provided under Tanzania Mainland's AML Act.

156. Section 15, which deals with registration of a **newly incorporated company**, requires the **submission of records of beneficial owners of a company** to the Registrar. The submission should include the full name of the beneficial owner, date and place of birth, telephone number, nationality and national identity number, passport number or other appropriate identification, residential, postal and email address; place of work and position held; nature of interest including the details of the legal, financial, security, debenture or informal arrangement giving rise to the beneficial ownership; and an oath or affirmation as to whether the beneficial owner is a politically exposed person.

157. All companies (including all pre-existing companies) are required to maintain a **register of members and beneficial owners** (s. 118) and include the identity details of each beneficial owner as required under section 15. The Companies Act (at the time of the 2021 Report) included a requirement of updating beneficial ownership information in the annual returns. This provision no longer exists, although section 118 requires the company to report changes in beneficial ownership to the Registrar through prescribed forms.

158. Further, section 456 of the Companies Act 2023 requires BRELA to establish and maintain a **centralised register of beneficial owners** that contains information as included in the register of beneficial owners maintained by each company. For every legal person, it must contain the identity of the directors, shareholders and beneficial owners.

159. Section 118(6) requires that where there are any changes to beneficial ownership information, companies notify the Registrar within 30 days of such change (see also paragraph 161).

160. Tanzania has supplemented these provisions in the Companies Act 2023 by introducing Companies (Beneficial Ownership) Regulations 2023. The Regulations explicitly mandate that every company incorporated or registered under the Companies Act must provide details of its beneficial owners to the Registrar in the specified Form 14b. Tanzanian authorities advised that this would include existing companies as well as foreign companies registered under section 434 of the Companies Act. Form 14(b) requires companies to declare their beneficial owners, including the nature of the beneficial ownership by indicating their shareholding or nature of control over the company.

161. The regulations further require all companies to **notify the Registrar of any changes** to the information on beneficial ownership within 30 days of the change.

162. In the previous provisions, it was not clear how the companies would become aware of a change to their beneficial ownership information. The regulations were strengthened in 2023 and now impose a duty on the beneficial owners to inform the company when they cease to be beneficial owners of the company or when there is any other change to their beneficial owner status.

163. Further, the company must also check its beneficial ownership information whenever there is a transfer or transmission of shares or an increase or reduction in its share capital or a restructuring of the company's share capital or changes in the voting rights leading to a change in beneficial owners. The company is then required to update its register of beneficial owners and also make a corresponding submission to the Registrar. These provisions anticipate a change of beneficial ownership through ownership, which is the change that the company would know about as it maintains a register of member.

The system does not incite companies to (periodically) enquire about possible changes in beneficial ownership through other means, nor does it involve persons that may be interposed between the company and its beneficial owners.

164. The legal requirements are supported by sanctions for non-compliance (see paragraph 180) for failure by the company to keep a record of beneficial owners and by beneficial owners to notify changes to their beneficial ownership status to the company (regulation 10). These sanctions apply provided that the beneficial owner is in Tanzania Mainland (for the sanction to be enforceable). No information is available on the measures taken by the authorities to require companies to inform the authorities in case a person refuses to cooperate in their attempt to determine or update their beneficial ownership.

165. The regulations further provide details on the establishment of the central beneficial ownership register by the Registrar (Part III of the Regulations – Register of Beneficial Owners). It is stipulated that if the information on beneficial ownership is not provided by a company or if the Registrar is not satisfied that the information provided is accurate and up to date, the Registrar may refuse to register any other documents filed by the company.

166. **In practice**, BRELA has implemented the centralised beneficial ownership register for Tanzania Mainland since 2022. BRELA conducted various activities (see discussion on enforcement and oversight under legal ownership at paragraphs 113 to 118) to raise awareness and increase compliance with requirements on beneficial ownership. Tanzania has submitted that through the efforts made by BRELA, the number of companies that filed their beneficial ownership information has increased from 17 931 in 2022-2023 to 28 535 in 2024-2025 (about 12% of all entities).

167. A dedicated module for beneficial ownership information has been operationalised on the ORS by way of "beneficial ownership portal". All companies are required to submit their beneficial owners on this portal (digitised Form 14b). A responsible person or a professional representing the company is required to open an account in the portal and fill in the particulars of beneficial owners indicated at paragraph 156. Forms have been prescribed for reporting changes as well as for beneficial owners to declare changes in their ownership interests.

### Company law requirements in Zanzibar

168. At the time of the 2021 Report, there were no obligations on companies to maintain beneficial ownership information and the AML framework was the only source of beneficial ownership information in Zanzibar. This situation has changed.

169. Similar to Tanzania Mainland, the Companies Act 2013 in Zanzibar was amended in 2023 to require maintenance of beneficial ownership information. In section 2 of the amended Companies Act 2013 the definition of beneficial owner refers to that under the AMLPOCA (discussed above, see paragraphs 150 to 153).

170. Further, section 14 of the Companies Act 2013, which deals with newly incorporated companies, has been amended to include similar requirements as in Tanzania Mainland. In addition, obligations to maintain a register of beneficial owners has been introduced on all companies under section 116, including requirements to notify the Registrar (BPRA) of any changes to such information. Further, a new section 116A provides for the establishment of a centralised beneficial ownership register with the BPRA (similar to the provisions in Tanzania Mainland's Companies Act).

171. Zanzibar's Companies Act made two additional provisions in 2023. First, under a new section 130A, while requiring maintenance of all information on beneficial owners as required at the time of incorporation under section 14(2)(b), there is a requirement to annually submit this information to the Registrar. This additional provision would facilitate periodic verification of beneficial ownership information. Second, all existing companies as of 1 October 2023 (date of effect of the new provisions) were granted six months to comply with the requirements of submitting beneficial ownership information (as required of

new companies) to the BPRA. This deadline has been extended as the BPRA is yet to operationalise its central beneficial ownership register and the “beneficial ownership portal” is currently being developed.

172. In preparation for operationalising its beneficial ownership register, Zanzibar introduced the Companies (Register of Beneficial Owners) Regulations 2025 in July 2025. These regulations are similar to those in Tanzania Mainland. They require submission of beneficial ownership information to the BPRA and also authorise the BPRA to strike off any company that fails to comply. There are obligations on beneficial owners to inform the company of any changes in their interests. Dedicated forms for beneficial owners to notify the company of including or removing their names from the register of beneficial owners have been included in the regulations. The information in the forms also reflects the nature of the interest of the beneficial owners in the company.

### *Beneficial ownership information – enforcement measures and oversight*

#### Oversight and enforcement in respect of the AML framework in Tanzania Mainland and Zanzibar

173. Tanzania has dedicated supervisory authorities for overseeing the implementation of the AML requirements in respect of beneficial ownership. While there are separate AML laws for Tanzania Mainland and Zanzibar, the Bank of Tanzania (BOT) is the common supervisor for all banks. The supervisory activities of the BOT are discussed under Element A.3 (paragraphs 363 et seq.). Further, there is a common Financial Intelligence Unit (FIU) for Tanzania Mainland and Zanzibar which is also granted residual supervisory authority over any AML-obliged person who does not have a designated supervisor. In practice, the FIU in Tanzania is an administrative FIU and although it is granted its own supervisory authority under the AML laws, it focuses on intelligence gathering. In addition, it works with various other supervisory authorities in respect of developing AML guidance and regulations, and staff from the FIU sometimes join supervisory activities of other authorities during inspections.

174. The FIU or the designated supervisor may impose administrative sanctions for non-compliance with preventive measures, including for failure to observe CDD requirements.[21] The available sanctions are: warning or caution not to repeat the conduct which led to non-compliance; a reprimand; directive to take remedial action or to make specific arrangement to remedy the default; restriction or suspension of certain business activities; suspending a business licence; or suspension or removal from office of any member of staff who caused or failed to comply. Where the reporting person fails to comply with the imposed sanctions, the FIU or the designated supervisor can impose a fine not exceeding TZS 5 million (EUR 1 667) and not less than TZS 1 000 000 (EUR 333) per day for which a default is committed in Tanzania Mainland and a fine of not less than TZS 5 million (EUR 1 667) per day in Zanzibar.

175. During the review period, the FIU issued a comprehensive risk-based supervision system of financial institutions and non-financial AML-obliged persons through the development of AML/CFT supervision and enforcement manuals. These manuals provided guidance to supervisory authorities, enabling them to conduct sector risk assessments and tailor their on-site inspections based on identified risks.

176. Tanzania has submitted the following details of on-site supervisory activities conducted by different authorities in respect of their supervised entities.

[21] Sections 21 of the AMLA and 14A of AMLPOCA read together with regulation 37 of the AML Regulations, 2012 and regulation 46 of AMLPOC Regulations, 2015

### On-site inspections conducted by different supervisory authorities

| Supervisory Authority | Supervised entities | 2022-2023 | 2023-2024 | 2024-2025 |
|---|---|---|---|---|
| Bank of Tanzania | Banks and credit institutions | 33 | 36 | 40 |
| Capital Markets and Securities Authority | Stock exchange and capital market intermediaries | 2 | 3 | 4 |
| Tanzania Insurance Regulatory Authority | Insurance entities | 1 | 3 | 4 |
| Tanganyika Lawyers Society | Lawyers registered in Tanzania Mainland | 0 | 0 | 4 |
| Zanzibar Lawyers Society | Lawyers registered in Zanzibar | 0 | 0 | 13 |
| National Board of Auditors and Accountants | Accountants and auditors | 55 | 55 | 58 |
| Registration, Insolvency and Trusteeship Agency | Trustees and trusts | 421 | 400 | 427 |
| Financial Intelligence Unit | Mix of reporting persons | 0 | 40 | 81 |

Source: Tanzania's consolidated submission from different authorities

177. The supervisory statistics above are consolidated and are not limited to inspections on AML aspects and checking for the availability of beneficial ownership information. In respect of banks, Tanzania has clarified that AML-specific inspections were conducted by the BOT on 15 banks in 2024-2025 and 4 banks in 2023-2024. For the other supervisory authorities, details of AML-specific examinations and the number of concerned AML-obliged persons are not available. It is not known what deficiencies were identified, what follow-up actions or enforcement measures were taken. While Tanzania indicated that compliance issues in respect of CDD were identified during inspections, and typically warning letters were issued and follow-up remedial actions were completed, sufficient details from relevant authorities are not provided.

178. During the on-site visit, interactions with the supervisory authorities suggested that they are at different levels of understanding, supervision and enforcement in respect of AML obligations. While Bank of Tanzania, the Insurance Supervisor and the Capital Markets and Securities Authorities reflected a good degree of understanding and had incorporated AML and beneficial ownership checks in their supervisory plans, other supervisors had not reached a similar position. Supervision over the AML obligations of lawyers, auditors and accountants was particularly deficient, and the supervisory authorities were still in the phase of raising awareness. The Tanganyika Law Society, the Zanzibar Law Society and the National Board of Accountants and Auditors are professional bodies with additional AML supervisory responsibilities. However, neither seemed confident about their ability to impose sanctions. They had primarily focused their attention on awareness raising. The FIU, although empowered to sanction non-compliance, had not taken steps to deal with non-compliance by lawyers, accountants and auditors.

179. Overall, the supervision and enforcement activities under the AML framework, by themselves, do not provide sufficient comfort to ensure the availability of adequate, accurate and up-to-date beneficial ownership information in line with the standard. Supervisory efforts vary across authorities, with some reflecting more maturity and experience than others. Hence, **Tanzania is recommended to effectively implement, supervise and enforce the legal and regulatory framework for the availability of adequate, accurate and up-to-date beneficial ownership information on companies in Tanzania Mainland and Zanzibar in line with the standard** (see also linked recommendation at paragraph 186).

#### Oversight and enforcement in respect of the company law requirements in Tanzania Mainland and Zanzibar

180. The company law framework provides for sanctions for non-compliance with the requirements pertaining to beneficial ownership. For Tanzania Mainland, failure by companies to maintain or update the

beneficial ownership register is sanctionable with a fine of TZS 100 000 (EUR 33) to TZS 1 million (EUR 333) (s. 118 of the Companies Act). Further, delays in filing beneficial ownership information are also sanctionable and late filing does not relieve liability of default (s. 481). In addition, the Companies Beneficial Ownership Regulations, which lay down further obligations in respect of maintaining and updating beneficial ownership information, provide for a fine, upon conviction, of TZS 5 million (EUR 1667) to TZS 10 million (EUR 3 333) (regulation 10). This fine applies to the company as well as the beneficial owners for non-compliance with the regulations. Similar sanctioning provisions are provided under the amended Companies Act 2013 in respect of Zanzibar.

181. So far, most activities were dedicated to raising awareness on the new obligations (see paragraph 166).

182. In order to trigger compliance, as of February 2024, any local company that has not submitted its beneficial ownership information will not be able to perform any transactions with BRELA until it submits its beneficial ownership information (the programme "*No BO, No Services*"). Transactions that are restricted include the submission of annual returns, changes in company particulars, and registration of charges. No statistical information was provided in this respect.

183. The Companies Act 2023 does not empower BRELA to conduct on-site inspections for examining a company's records, accounts and other relevant documents of the company. Tanzania has informed that amendments to the act are proposed to correct this issue. In any case, regardless of on-site inspections, offsite inspections to call for and check the accuracy, adequacy and up-to-date nature of beneficial ownership information have not yet been conducted.

184. In Zanzibar, the BPRA has not yet started registering beneficial ownership information on companies as it is completing development of the online beneficial ownership registration portal.

185. In **conclusion**, oversight in respect of the central beneficial ownership register in Tanzania Mainland has commenced but no enforcement has taken place at this stage. BRELA's efforts have been focused on triggering compliance by companies. The key measure so far has been denial of access to services. However, a substantial number of companies are yet to comply with the obligations as only about 12% of the companies registered with BRELA have so far filed their beneficial ownership information. This is despite the denial of services implemented by BRELA. No checks have been carried out yet on the accuracy of the submitted information. BRELA does not have the powers of on-site inspections and enforcement and certain changes in law are contemplated in this regard. In respect of Zanzibar, the BPRA is yet to operationalise the centralised beneficial ownership register for Zanzibar and so far, efforts have been directed at raising awareness and developing the online portal. No information is available on the level of compliance of companies with their obligation to maintain a register of beneficial owners.

186. **Tanzania is recommended to effectively implement, supervise and enforce the legal and regulatory framework for the availability of adequate, accurate and up-to-date beneficial ownership information on companies in Tanzania Mainland and Zanzibar in line with the standard.**

187. Further, given the existence of a significant number of non-compliant companies as well as companies that may be economically inactive but continue to maintain their legal personality, and given the existence of a significant number of companies that are not reflected in the tax database, the risks to availability of beneficial ownership information remain for such companies. Hence, **the recommendation at paragraph 133 applies in respect of beneficial ownership information as well**.

#### Availability of beneficial ownership information in EOIR practice

188. During the review period, Tanzania did not receive any request for beneficial ownership information on companies.

### A.1.2 Bearer shares

189. Under the respective company laws of Tanzania Mainland and Zanzibar, bearer share warrants could be issued by public companies. However, this situation changed in Tanzania Mainland from 2021, while it persists in Zanzibar.

190. In **Tanzania Mainland**, bearer share warrants could be issued by public companies limited by shares (i.e. to the exclusion of private companies) until 21 July 2021.[22] A public company limited by shares, if authorised by its articles, with respect to any fully paid-up shares, was permitted to issue under its common seal a warrant setting out that the bearer was entitled to shares specified therein, and could provide for payments by coupons or otherwise, for future dividends on the shares included in the warrant. The share warrant entitled the bearer thereof to the shares specified therein. The shares could be transferred by delivery of the warrant.

191. Tanzania Mainland amended its Companies Act in 2021. Under the revised law, regardless of the provisions of the memorandum and articles of association of a company, no company is permitted to issue bearer share warrants in respect of any of its shares from 21 July 2021. Further, a bearer of a share warrant must have, within 12 months of the effective date, surrendered to the company the issued share warrant for cancellation. Upon surrendering the share warrant, the company was required to cancel the share warrant and enter into its register of members and beneficial owners, the names of the persons whose share warrants have been cancelled. Further, the company is required to notify to the Registrar any changes in the register of members and beneficial owners effected pursuant to such cancellation. The amended law provides that any bearer share warrants that were not surrendered by their holders by the effective date would be deemed to have been cancelled, unless reasonable grounds for delay were explained in this regard.

192. The 2021 Report noted that since these changes to the legal framework were introduced recently, their implementation was to be examined at the time of the present 2026 review. Tanzania has taken some steps in this regard. All public companies were granted an extended timeline until end of 2022 to declare any bearer share warrants issued previously or such warrants would be cancelled. No company availed this opportunity, and no surrender of bearer shares were noted. It is unknown how many companies have or had articles authorising the issuance of bearer share warrants, but the Tanzanian authorities indicate that based on the information available with the Registrar, no bearer share warrants had been issued. If share warrants were to be issued, the Registrar would have known all the details concerning such warrants through the requirements under the pre-amendment section 85(4) of the earlier Companies Act 2002 to seek approval of the Registrar prior to issuance or transfer of any bearer share warrants. In addition, if bearer shares warrants existed, by operation of law, they are now cancelled. Furthermore, all public companies are required to have their accounts (which include balance sheet) audited. External auditors examine compliance of public companies with legal provisions. Any existence of bearer share warrants would be flagged in such audits. The Registrar would be aware of such audit findings due to requirements on companies to file their annual audited accounts with the Registrar. Finally, public companies listed on the stock exchange and regulated by the Capital Market and Securities Authority were never permitted to issue bearer share warrants.

193. The **situation is different in Zanzibar**. In Zanzibar, section 90 of the Companies Act provides for the issuance of bearer share warrants by public companies limited by shares.[23] The articles of association of a Zanzibar public company limited by shares can authorise the issuance of bearer share warrants

[22] Section 85 of the Companies Act together with section 85, Part II of the Companies Regulations 2(d) (which are part of the Companies Act 2002 and are not secondary legislation) in Tanzania Mainland.

[23] Part II of the Companies Act 2013 contains “Regulations for Management of a Private Company Limited by Shares”, which explicitly prohibit private companies from issuance of bearer share warrants.

against fully paid-up capital. It is unknown how many Zanzibar companies have issued or can issue bearer share warrants.

194. The Written laws (Miscellaneous Amendment) Act No. 6 of 2023 introduced a control mechanism under section 19 in respect of bearer share warrants whereby the issuance or transfer of share warrant requires the approval of the Registrar, and the Registrar is mandated to keep record of the issued or transferred share warrant for identification. So far, the BPRA has not received any requests for issuance or transfer of share warrants.

195. The amended provisions in Zanzibar could assist in identifying companies that may issue bearer shares in the future but are not, on their own, effective in ensuring that identity of holders of bearer share warrants is always known. While the requirement to seek approval of the BPRA when issuing and transferring bearer shares has been introduced, there is no clear mechanism for enforcing such requirements as neither the company, nor the BPRA, has oversight over who the bearer of the share warrants is and whether such person has transferred the warrants to another holder. There is no custodial arrangement in place. There is no indication that the BPRA is aware of past issuance of bearer shares or how many public companies are authorised to issue bearer shares in their articles.

196. The BPRA has prepared proposed amendments to the Companies Act 2013 to prohibit the issuance of share warrants and bearer shares. The proposals are yet to be enacted.

197. Hence, the situation in respect of bearer share warrants in Zanzibar persists. Thus, **Tanzania is recommended to ensure that the owners of bearer share warrants issued by Zanzibar public companies limited by shares are always identified in line with the standard.** Tanzanian authorities have reported that there are only ten public companies in Zanzibar. Thus, in practice, the materiality of this legal gap is likely to be low.

### *A.1.3 Partnerships*

#### *Types of partnerships*

198. In Tanzania, partnerships are legal arrangements and do not have a legal personality either in Tanzania Mainland or in Zanzibar. Partnerships are formed based on the Law of Contract Act in both Tanzania Mainland and Zanzibar. Only general partnerships can exist in Tanzania and other forms of partnerships like limited liability partnerships or limited partnerships do not exist. This means that all partners are jointly and severally liable for any debts or other liabilities of the partnership. Partnerships can be formed with or without a written contract. Partners of a partnership can be individuals or other legal entities or arrangements. A partnership set up for the purposes of business is not permitted to have more than 20 partners due to the provisions of section 473 of the Companies Act.[24]

199. Partnerships are required to register with BRELA in Tanzania Mainland under the Business Names (Registrations) Act for the purposes of obtaining a unique business name. In Zanzibar, they are similarly required to register with the BPRA under the Registration of Business Entity Act No. 12 of 2012. Tanzanian authorities have indicated that the BRELA database contains 27 816 registered partnerships for Tanzania Mainland and the BPRA database had 6 740 partnerships as of February 2026.

200. The ITA defines partnerships under section 3 as "*any association of individuals or bodies corporate carrying on business jointly, irrespective of whether the association is recorded in writing".* A partnership

[24] Section 473 of the Companies Act mandates that where a partnership seeks to have more than 20 partners, it must register as a company. The only exceptions to this rule are where a partnership is among solicitors or accountants, or for carrying on business of a recognised stock exchange. The Minister of Trade may notify other purposes as exceptions to this rule.

is an "entity"[25] under the ITA. All entities that are potentially liable to tax in Tanzania by virtue of carrying on a business or investment are required to apply for and obtain a TIN within 15 days of commencing business (s. 22 of the TAA). Hence, partnerships must register with TRA and obtain TINs. Partnerships are fiscally transparent for income tax purposes in Tanzania and partners are required to have their separate TINs as well and file income tax returns reflecting their share of profits from partnerships. For VAT purposes, partnerships are further required to register separately and obtain a separate registration number. VAT laws apply separately for Tanzania Mainland and Zanzibar and hence, the registration depends upon the place of business of the partnership. Further, partnerships have obligations to withhold tax while making certain payments, including while paying salaries to employees and hence, would need to be registered with the TRA.

201. Foreign partnerships are neither expressly permitted nor prohibited from operating in Tanzania. Where one of the partners of a partnership is resident in Tanzania, such a partnership is considered tax resident in Tanzania (see paragraph 30) and would be subjected to all the requirements under the tax laws as applicable to other general partnerships. Where all partners are non-resident and the partnership is a foreign partnership, to carry on business in Tanzania, it would ordinarily require some physical presence in Tanzania and would need to register with the tax authorities for either VAT purposes or direct tax purposes. Such partnerships would be taxed on their income sourced from Tanzania or on a withholding tax basis. Tanzania has indicated that it is difficult and rare in practice for a foreign partnership to operate in Tanzania without any physical presence. Where they carry on substantial business in Tanzania or hold investments, they would become "potentially liable to tax" and under the requirements of section 22 of the TAA, they would be required to register and obtain TIN and pay taxes on their business income in Tanzania and to comply with VAT requirements and withholding tax requirements as applicable. Generally, in respect of non-resident partnerships that have no significant physical presence in Tanzania, any income sourced from Tanzania is subject withholding tax.

### *Identity information*

202. The identity information on the partners is available in Tanzania through the requirements of the respective business registration acts of Tanzania Mainland and Zanzibar under which all partnerships carrying on business in Tanzania are required to register.

#### Tanzania Mainland

203. The availability of identity information on partners of a partnership is ensured through the Business Names (Registration) Act in Tanzania Mainland and the requirement to register with the tax authorities and obtain TIN (for tax law requirements refer below to paragraph 209). The Business Names (Registration) Act requires the registration of a business name of any firm, individual or corporation having a place of business in Tanzania and carrying on business. All partnerships (being firms under the act) are required to register with the Registrar at BRELA where such partnership "*having a place of business in Tanzania and carrying on business under a business name which does not consist of the true surnames of all partners who are individuals and the corporate names of all partners who are corporations without any addition other than the true names of individual partners or initials of such names*" (s. 4(a)). Such registration must be done within 28 days of commencing business.

204. Every partnership must submit a statement to the Registrar in the prescribed form providing among other things the business name; the general nature of the business; the principal place of the business; in respect of each partner who is an individual: the present name and surname, any former name or surname, the nationality, the nationality of origin (if different), the age, the sex, the usual residence, and the other business occupation (if any) (s. 6). Where partners are individuals, they must all sign the statement. Where

[25] "entity" is defined under section 3 of the ITA to mean a partnership, trust or corporation.

a partner is a corporation, the corporate name and registered or principal office of every corporation which is a partner must be provided and an individual who may be a director of such a corporation or the company secretary may sign the statement. Any changes to the particulars submitted at the time of initial registration must be communicated to the Registrar within 28 days of such changes (s. 11). This would include any change in the identity of partners of a partnership.

205. In practice, all registration and compliance by partnerships under the Business Names (Registrations) Act is done through the ORS (similar for companies, see paragraph 62). The identity information of all partners (name, address, contact details) and information of the persons who will operate the partnership's business bank account must be provided. The bank account must be in the name of the partnership and it must be with a Tanzanian bank. A Certificate of Registration together with an extract from Registrar are issued to a partnership once it is registered.

206. Thus, identity information on general partnerships should be available considering that a general partnership's name would contain the names of partners or where this is not the case, the partnership is required to be registered with BRELA and provide the identity details during registration. All the information submitted to BRELA while registering a partnership continues to be available even after the partnership ceases to exist. The Registrar keeps partnership information submitted to BRELA. The information submitted prior to commencement of online registration would be kept for up to 30 years, consistent with the requirements of the provisions of the Records and Archives Management Act of 2002. Tanzanian authorities have informed that information submitted after commencement of online registration would be kept in perpetuity.

#### Zanzibar

207. In Zanzibar, the registration of partnerships is made under the Registration of Business Entity Act No. 12 of 2012, the Law of Contract Act and the Business Names Registration Decree. Section 2(1)(a) of the Registration of Business Entity Act read together with section 4 of Business Names Registrations Decree provide for the formation of partnerships. Section 6 of the decree provides for the manner and particulars of registration. In Zanzibar, a written partnership deed among the partners is always required for registering the partnership.

208. Partnerships are registered online by using an ORS account with the BPRA following a similar process and submission of similar information as described for BRELA above.

#### Tax law requirements

209. For the purposes of income tax, although partnerships are fiscally transparent and the tax liability applies to each of the partners of the partnership who are required to have TINs and declare their income from the partnership in their tax returns, resident partnerships are required to register with the TRA and obtain a TIN. Partnerships are also required to register with the TRA and with the ZRA in Zanzibar for VAT, as well as in respect of withholding tax obligations. At the point of registration for obtaining a TIN, the relevant Form ITX100.01.B is required to be filed which contains the name of the partnership and identity details (name, nationality, TIN or passport number) of all the partners of the partnership. Where natural persons are partners, all such individuals are required to sign the said form. Where other legal entities or arrangements are partners, details of such legal persons are required (identification number, date of incorporation) and a designated natural person is required to sign the form on behalf of such legal person. All information submitted to the TRA for registration for TIN purposes is required to be kept up-to-date and any changes are required to be submitted to the Commissioner-General of the TRA of changes to the particulars, including changes to the details of the partners (s. 25 of the TAA).

*Beneficial ownership*

210. At the time of the 2021 Report, the AML Act applicable to Tanzania Mainland was the only source of beneficial ownership information and contained a definition of beneficial owner, but several terms like "substantial control", "substantial economic interest" and "substantial economic benefit" required clarification. Further, where a partnership had legal persons or legal arrangements as partners, there was no clarity that these should be looked through to identify only natural persons as partners. Further, the AMLPOCA (Zanzibar) did not provide for a definition of beneficial owner. Hence, a recommendation was made for Tanzania to ensure that the legal framework provides for identification of beneficial owners of partnerships in line with the standard.

211. Since then, in respect of partnerships in Tanzania Mainland, a new requirement for ensuring availability of beneficial ownership information was introduced under the Business Names Act (as revised in 2023). The definition of beneficial owner under the AML Act 2023 is improved and is the definition referred under the Business Names Act as well. For Zanzibar, the AML framework is the main source of availability of beneficial ownership information.

212. As discussed under Element A.1.1, the AML Act 2023, the AMLPOCA and the corresponding new AML Regulations for both Tanzania Mainland and Zanzibar provide for the following definition of beneficial ownership:

> *"beneficial owner" means a natural person who ultimately owns or controls the customer, the natural person on whose behalf a transaction or activity is being conducted, a person who exercises ultimate effective control over a legal person or legal arrangement*

213. The definition is further elaborated as follows:

> *(b) in the case of a customer being a trust (i) the settlor, trustee or the protector; (ii) the beneficiaries, or where the natural person benefiting from the trust has yet to be determined, the class of natural persons in whose main interest the trust is set up or operates; or (iii) any other natural person exercising ultimate control over the trust by means of direct or indirect ownership or by other means;*
>
> *(c) in the case of a customer being any other legal arrangement, the natural person holding equivalent or similar positions to those referred to in subparagraph (b)*

214. Since partnerships are legal arrangements in Tanzania, the authorities explained that point (c) in the definition would be applicable. The definition requires that only natural persons are identified as beneficial owners. In the context of partnerships, the chapeau definition provides for identification of natural persons owning or controlling the partnership. Further, point (c) requires identification of equivalent persons as those for a trust to be identified, which in the context of partnerships would be the partners (either by virtue of providing capital to the partnership or managing it or benefitting from it) and the natural persons exercising ultimate effective control over the partnership. There is no threshold based on capital contribution or rights to profits while determining the beneficial owners of partnerships, in line with the standard. However, the legal and regulatory framework does not explicitly require that where partners of a partnership are themselves legal persons or legal arrangements, they should be "looked through" to identify only natural persons as beneficial owners of the partnership. Although this can be inferred from the use of the word "ultimately", this would need to be spelled out in guidance to ensure consistent application.

215. During the on-site discussion, representatives from banks did confirm that for customers that are partnerships, they would identify as beneficial owners the natural person partners and natural persons behind any legal person or legal arrangement partners. Nevertheless, in order to ensure consistent and uniform application of the requirements by all stakeholders, this aspect should be clarified within the legal and regulatory framework. Partnerships may themselves be part of legal ownership chains for other legal persons and arrangements and ascertaining their accurate beneficial ownership would rely on doing the

same for the partnerships in the ownership chain. Hence, **Tanzania is recommended to ensure that the definition of beneficial owner as it applies to partnerships is sufficiently clear to ensure the identification of beneficial owners of partnerships in line with the standard** (see also linked recommendations at paragraph 144).

216. The Business Names (Registration) Act 2023 requires all partnerships in Tanzania Mainland to file beneficial ownership information (following the definition provided under the AML Act) with BRELA and ensure it is kept up to date. Failure to update in case of changes to this information is sanctionable with a penalty between TZS 1 million (EUR 333) to TZS 5 million (EUR 1 667). It is not sufficiently clear how beneficial ownership information will be updated if the partnership does not know about a change in beneficial owners of any of the partners that themselves are legal persons or legal arrangements. There is no requirement to periodically check for such changes. In any case, the obligations under the Business Names (Registration) Act are fairly recent and have not yet been sufficiently implemented (see paragraphs 221 to 223).

217. In Zanzibar, the Registration of Business Entities Act has not been amended to introduce beneficial ownership requirements.

218. The AML framework provides a more established source for beneficial ownership information on partnerships in Tanzania Mainland and Zanzibar. Since 2016, when registering with the TRA or ZRA for obtaining a TIN for fulfilling tax obligations, partnerships, like all applicants, have to submit details of a Tanzanian bank with which the partnership has a bank account. Furthermore, bank account details must be included in the annual tax return form for partnerships. The AML obligations require banks or other AML-obliged persons to retain beneficial ownership information for ten years after the end of a business relationship. During the on-site visit, while it could not be confirmed that this bank account is always with a Tanzanian bank (as Tanzania was not able to provide statistics on what percentage of partnerships have ongoing relationships with AML-obliged persons), it was noted that the implementation of the electronic fiscal device requirements for generation of invoices implies having a Tanzanian bank account, and submitting such information to the TRA has increased.

219. Nevertheless, under the AML legal framework, while there are obligations on AML-obliged persons to update their CDD records, including beneficial ownership information, on an ongoing basis, such updates are to be based on a risk-assessment basis and AML-obliged persons can decide on when they need to update such information. There is no specified frequency for updating CDD and beneficial ownership information. Since the AML legal framework is the key source of beneficial ownership information for partnerships, this aspect could lead to situations where up-to-date beneficial ownership information in line with the standard is not available for partnerships in Tanzania.

220. **Tanzania is recommended to ensure that up-to-date beneficial ownership information on all partnerships is available in line with the standard.**

#### *Oversight and enforcement*

221. Penal provisions exist for providing false information. If any statement required to be furnished under the Business Names (Registration) Act contains a matter which is false in any material particular to the knowledge of any person signing it, that person, upon conviction, is liable to imprisonment of a term not exceeding 12 months, or to a fine not exceeding TZS 50 000 (EUR 17), or to both. Specifically in respect of beneficial ownership information, failure to provide such information to BRELA or to update previously submitted information is sanctionable with penalties ranging between TZS 1 million (EUR 333) to TZS 5 million (EUR 1 667). Besides these, the penal provisions provided under the AML Acts apply in respect of beneficial ownership information (see paragraph 174).

222. The availability of identity and beneficial ownership information on partnerships is achieved through the oversight activities of BRELA, the BPRA, the tax authorities and the AML supervisors. The

oversight activities of BRELA and the BPRA in respect of partnerships have been focused on overseeing the implementation of the ORS and ensuring that registered entities, including partnerships, continue to ensure basic compliance with respective business registration acts for the purposes of registration and submission of identity details. For BRELA, oversight measures in respect of beneficial ownership information have been limited in respect of partnerships. Awareness raising has been the focus of the steps taken so far (see paragraphs 114 to 117 and 122). The TRA's oversight in respect of tax obligations of partners and filing of tax returns by partnerships covers identity information (see supervision by the TRA under Element A.2 at paragraphs 314 to 326).

223. In respect of beneficial ownership information, the supervision of the AML supervisors is discussed at paragraphs 173 to 179 and the conclusion is the same in respect of partnerships. There remains a degree of variation in the AML supervision across supervisors and scope for strengthening supervision. Supervision of banks is better compared to other AML-obliged persons, but it is not established that all partnerships in Tanzania Mainland and Zanzibar have bank accounts with Tanzanian banks. For Zanzibar partnerships, the AML framework is the only source of beneficial ownership information. The oversight of BRELA in respect of beneficial ownership information on partnerships under the Business Names Registration Act in Tanzania Mainland is nascent. **Tanzania is recommended to effectively implement, supervise and enforce the legal and regulatory framework for the availability of adequate, accurate and up-to-date beneficial ownership information on all partnerships is available in line with the standard**.

#### *Availability of partnership information in EOIR practice*

224. During the review period, Tanzania did not receive any request for identity or beneficial ownership information on partnerships.

### *A.1.4 Trusts*

225. Trusts are legal arrangements in Tanzania and are established based on common law principles and the governing Trustees' Incorporation Act 2023 (TIA)[26] in Tanzania Mainland. Zanzibar law does not recognise the existence of trusts but has the concept of wakf (a form of Islamic arrangement that has some similar features to trusts). Tanzanian authorities have confirmed that wakfs in Zanzibar are mostly set up for Islamic religious purposes and not for private wealth management purposes and are thus not relevant for EOIR, except for private wakfs. It is possible for a Tanzanian resident (in either Tanzania Mainland or Zanzibar) to be a trustee of a foreign trust established under the trust laws of another country.

#### *Trusts and trustees under Trustees' Incorporation Act (TIA) and the tax laws*

226. A trust is defined under section 2 of the TIA to mean "*a legal relationship created by personal acts, by an order of the court or operation of law, when specified property or interests are placed under control and management of a trustee or trustees for the benefit of another party or parties, called a beneficiary or beneficiaries, or for [public interest] purposes specified under section 3(1)*".[27] A "*trustee*" means "*a person who holds, controls and manages property or any other interests for the benefit of a beneficiary or beneficiaries, or for the [public interest] purposes specified in section 3(1)*". Thus, two types of trusts are allowed – private trusts and public interest trusts.

227. Trustees of **public interest trusts** must register with the Administrator-General of the Registration, Insolvency and Trusteeship Agency (RITA) if the trustee or trustees are not incorporated under any other

[26] This act has been in place since 1956 but its most recent edition is from 2023.

[27] Section 3(1) provides that such other purposes are any religious, educational, literary, scientific, social or charitable purpose.

law (s. 4). Once registered, the trustee or the board of trustees acquires a legal personality enabling it to own land, acquire shares, moneys, securities or any other properties, enter into contracts, sue or be sued in the name of that body corporate. Thus, while trusts are legal arrangements in Tanzania, trustees of a trust, by virtue of their registration with RITA and incorporation, acquire a separate legal personality. Most trusts in Tanzania have their trustees incorporated and registered with RITA. However, Tanzania has clarified that incorporation and acquiring a legal personality does not limit the absolute liability of the trustees to their acts of omission or commission (s. 14 of the TIA).

228. There can be **private trusts** holding trust property for any other purpose besides those mentioned at section 4 of the TIA. In such cases the trustee(s) may not necessarily incorporate under the TIA and register with RITA. However, the tax law obligations would, in practice, require trustees to be incorporated under the TIA and trusts to be registered with the RITA in most cases.

229. For public and private trusts registered with RITA, the TIA requires the **trustee to be resident in Tanzania**. For a sole trustee, such trustee must be ordinarily resident in Tanzania (Tanzania Mainland or Zanzibar). For two or more trustees, at least two trustees must be resident in Tanzania (s. 16). Tanzania has clarified that where a Zanzibar resident is trustee of a trust established in Tanzania Mainland, the same legal obligations apply to such a trustee and all identity information, as required to be maintained by a Tanzania Mainland trustee, would be required to be maintained by such Zanzibar resident trustee.

230. For **tax purposes**, “trust” is defined under the ITA as “*an arrangement under which a trustee holds assets but excludes a partnership and a corporation*”. Trustee is defined as “*an individual or body corporate holding assets in a fiduciary capacity for the benefit of identifiable persons or for some object permitted by law and whether or not the assets are held alone or jointly with other persons or the individual or body corporate is appointed or constituted trustee by personal acts, by will, by order or declaration of a court or by other operation of the law*”. The ITA assimilates to the trustee – “*(i) any executor, administrator, tutor or curator, (ii) any liquidator, receiver, trustee in bankruptcy or judicial manager, (iii) any person having the administration or control of assets subject to a usufruct, fideicommissum or other limited interest, (iv) any person who manages the assets of an incapacitated individual, and (v) any person who manages assets under a private foundation or other similar arrangements”.*

231. Under the provisions of the TAA, where a trust is potentially liable to tax by virtue of carrying on business or holding investments in Tanzania or where the trustee is resident in Tanzania, it is required to register with the tax authorities and obtain a TIN. Registration with the tax authorities requires the trustees to be incorporated and registered with RITA. After registering with RITA, trustees are required to apply for a TIN. If they already have a TIN, the same may be used. Trust income is to be declared with the tax return of the trustee and is taxed at 30% (first schedule of the ITA). Thus, although trustees of private express trusts are not always required to be incorporated and registered with RITA under the Trustees Incorporation Act, due to the registration requirements under the tax law, in practice, trustees would be incorporated and registered with RITA and would be covered by the obligations of the Trustees Incorporation Act.

232. As of February 2026, 5 230 trusts were registered with the RITA. Of these, only 150 were family trusts of which 147 are registered with the TRA. The rest of the trusts are related to societies, religious institutions, clubs and political parties.[28]

233. It is possible for a Tanzanian resident (in either Tanzania Mainland or Zanzibar) to be a **trustee of a foreign trust** established under the trust laws of another country. While the TIA is silent on such situations, the ITA treats trusts as entities for the purposes of taxation. Any trust for which at any time during a year, any trustee is a resident of Tanzania, or where any resident person of Tanzania directs or may direct its senior managerial decisions (whether the direction is or may be made alone or jointly with other persons or through one or more interposed entities) is considered **resident for tax purposes** and is

[28] Non-family trusts are also registered with the TRA but generally in the form of societies.

covered by the obligations of the tax law. In addition, the ITA provides for the concept of "controlled foreign trusts" which is defined to mean a non-resident trust in which a resident person directly or indirectly owns a membership interest or the person is associated with the trust. Such controlled foreign trusts are also taxable in Tanzania. In such situations, the trust would require a TIN and be registered with the TRA. The number of such foreign trusts registered with the TRA is not available.

### *Identity information in relation to trusts and implementation in practice*

234. Upon the trustee's incorporation, the associated trust must also be registered with the RITA. For this, the trustee must file an application in the prescribed form together with the constitution and rules (if any) of the body or association of persons that has appointed the trustee(s), the trust instrument or declaration of trust defining the trusts on which the trust property is to be held. Further, the Administrator-General may require any additional documentation or evidence that he/she may consider necessary or proper. Tanzanian authorities have informed that the trust instrument and the declaration of the trust contain details of identity of the settlor, the trustees and the beneficiaries. Otherwise, the Administrator-General may, before a trust is incorporated or at any later stage after incorporation, require disclosure of the names of settlors and beneficiaries of the trust (s. 3(5)).

235. After incorporation, the trustees must file annual returns indicating the names of the trustees and their postal addresses and must update RITA on any subsequent changes to such details (s. 18 and s. 20), and any changes to the trust deed that changes the tenure, powers or duties of the trustees or the trust itself (s. 21). Tanzanian authorities indicate that this implies any changes to beneficiaries of the trust must also be updated to RITA.

236. In practice, registration is done through an online Trust Management System, which requires submission of the trust deed, the incorporation application, photograph of each natural person trustee, and, for a corporate trustee, a letter of introduction from the district commissioner of the district in Tanzania where the headquarter of the trustee is based.

237. The Administrator-General is required to retain and hold all applications and records submitted to him/her for the purposes of incorporation of trustees. There is no specified retention period, but section 16 of the Records and Archives Management Act requires the Administrator-General, being a public authority, to retain the records for a period of up to 30 years.

### *Beneficial ownership information*

238. Beneficial ownership information on trusts is available through the requirements under the TIA, the Trustees' Incorporation (Transparency of Beneficial Ownership) Rules 2024, the AML Act, the AMLPOCA (for Zanzibar) and the AML Regulations.

239. The 2021 Report noted that the definition of beneficial owners in the TIA relied on the definition of beneficial owner as provided under the AML Act, which was not clear on how it applied to trusts. The definition did not clearly state that in the context of trusts, beneficial ownership information includes information on the identity of the settlor, trustee(s), protector (if any), all of the beneficiaries or class of beneficiaries, and any other natural person exercising ultimate effective control over the trust. The definition did not clarify the meaning of terms like "significant economic interest", or "significant control" in the context of trusts. It was also not clear whether, in case beneficiaries are not individuals, the individuals behind them should also be identified as beneficial owners. Further, there were no clear requirements about updating such information.

240. The Finance Act 2022 amended section 1A and replaced the earlier definition of beneficial owner by making a cross reference to Tanzania Mainland's AML Act. The AML Act (and AMLPOCA) defines beneficial owners in the context of trusts as follows:

> *"beneficial owner" means a natural person who ultimately owns or controls the customer, the natural person on whose behalf a transaction or activity is being conducted, a person who exercises ultimate effective control over a legal person or legal arrangement*
>
> *(b) in the case of a customer being a trust*
>
> *(i) the settlor, trustee or the protector;*
>
> *(ii) the beneficiaries, or where the natural person benefiting from the trust has yet to be determined, the class of natural persons in whose main interest the trust is set up or operates; or*
>
> *(iii) any other natural person exercising ultimate control over the trust by means of direct or indirect ownership or by other means;*

241. This definition of beneficial owner is in line with the standard. The definition, however, does not state that where any party to a trust is itself a legal person or arrangement, it should be looked through to identify the natural person(s) who is the beneficial owner, even though this is mitigated by the word "ultimately" in the chapeau definition. During the on-site discussion, representatives from three banks did confirm that they would identify the natural persons behind any party to a trust where such a party is another legal person. In addition, the prescribed Forms 1A, 1B and 1C included in the Trustees' Incorporation (Transparency of Beneficial Ownership) Rules 2024 require details for beneficial owners which suggest that beneficial owners would be natural persons (date of birth, national identification number or passport details). Nevertheless, in order to ensure consistent and uniform application of the requirements by all stakeholders, this aspect should be clarified within the legal and regulatory framework. Trusts may themselves be part of legal ownership chains for other legal persons and arrangements and ascertaining their accurate beneficial ownership would rely on doing the same for the trusts in the ownership chain. Hence, **Tanzania is recommended to ensure that the definition of beneficial owner as it applies to trusts is sufficiently clear to ensure the identification of beneficial owners in line with the standard**.

242. While revising and consolidating the TIA in 2023, the revised edition of the act carries the previous definition of beneficial owner,[29] as follows:

> *"beneficial owner" means a natural person-*
>
> *(a) who directly or indirectly ultimately owns or exercises substantial control over an entity or an arrangement;*
>
> *(b) who has a substantial economic interest in or receives substantial economic benefit from an entity or an arrangement directly or indirectly whether acting alone or together with other persons;*
>
> *(c) on whose behalf an arrangement is conducted; or*
>
> *(d) who exercises significant control or influence over a person or arrangement through a formal or informal agreement;"*

243. The Trustees' Incorporation (Transparency of Beneficial Ownership) Rules 2024 issued under the TIA, however, provide that all ordinary or professional trustees must obtain and hold *"adequate, accurate and current information on the identity of the settlor, the trustee, if any, the beneficiaries or class of beneficiaries, and any other natural person exercising ultimate effective control over the trust"* (Regulation 3(1)). This requirement provides for a definition aligned with the definition in the AML Act, except that it misses the aspect of "protector (if any)" of the trust. The Tanzanian authorities explained that

[29] Tanzanian authorities admit the administrative oversight of including the earlier definition as provided in the previous AML Act in the consolidated and revised TIA. They maintain that there is no legal gap as the definition of beneficial owners in the context of TIA is the one from the current AML Act as provided through the specific amendment of the TIA by the Finance Act 2022.

the use of the old version in the law was an oversight that will be corrected but is anyway superseded by the definition in AML law.

244. Given that stakeholders are likely to refer to the consolidated TIA for compliance obligations, Tanzania should ensure that the identification of beneficial owners of trusts is in line with the definition provided in the AML Act (see Annex 1).

245. The TIA requires all applications for registration of trusts and incorporation of trustees to include the particulars of beneficial owners of the trusts (s. 3(2)). This includes submitting the full name (any former or other name), date and place of birth, telephone number, nationality, suitable proof of identity (national identity number, passport number or any other appropriate proof of identity), residential address, email address, place of work and position held, nature of the interest including the details of the legal, financial, security, debenture or informal arrangement giving rise to the beneficial ownership, and a declaration on whether the beneficial owner is a politically exposed person. Further, a trust under the TIA must submit the details of any non-resident beneficiary of the trust and its beneficial owners, where applicable, to the Administrator-General of RITA (s. 17). The Trustees' Incorporation (Transparency of Beneficial Ownership) Rules 2024 require that all beneficial ownership information be up to date and any changes be filed with RITA. Non-compliance is sanctionable with a penalty of TZS 100 000 (EUR 33) to TZS 200 000 (EUR 66) on the trustee. However, there are no periodic checks to ascertain any changes in this regard, and the trustee might not be aware of any changes to beneficial ownership information where parties to a trust are legal persons or arrangements. The AML framework also does not provide a specified frequency for updating beneficial ownership information.

246. In practice, currently, submission of details of beneficial owners of trusts is done manually with RITA via the prescribed forms. The forms for registration of the beneficial owners' information particulars are given to new applicants for trustee incorporation at an early stage before the incorporation is completed and/or immediately after incorporation for those trustees that have been already incorporated. Tanzania is working on integrating the submission of beneficial ownership information with the online Trust Management System. The authorities have not indicated how many of the registered trusts have provided their beneficial ownership information. Hence, at this stage, the new provisions of the TIA are to be fully implemented.

247. The AML law requires the identification of beneficial owners whenever a trust engages with an AML-obliged person and is a key source of beneficial ownership information. Trustees must declare their "trustee" status to any AML-obliged person that they engage with. The definition under the AML law is generally in line with the standard except for the need for clarifying the aspect of "look through". However, there is no specified frequency for updating beneficial ownership information. **Tanzania is recommended to ensure that up-to-date beneficial ownership information on all trusts is available in line with the standard.**

#### *Requirements to maintain identity and beneficial ownership information in relation to Zanzibar wakfs*

248. Zanzibar law provides for the existence of Islamic trusts – wakfs. The concept of wakf is defined by the Wakf and Trust Commission Act 2007 to mean "*a transfer of origin of a property in order that the benefits from that property can be used for the purposes of the Islamic religion*". The original owner of property transfers the property to the wakf so that the proceeds from the property or the property itself can be devoted to Islamic religious matters such as madrassas (Islamic college), socially organised Islamic marriages, etc. Such transfers are irrevocable. Therefore, once transferred by the original owners, the properties become wakf properties which need to be used for purposes of the Islamic religion with the transferor or any other person having no claims to any part of the property. Two types of wakfs exist: those administered by a public institution and private wakfs. Of these, only private wakfs are of relevance to EOIR, but they are not very common in Zanzibar.

249. In Zanzibar, generally, all the properties under a wakf are administered, managed or controlled by a public institution – the Wakf and Trust Commission – a Zanzibar government agency. The Chairman of the Commission is appointed by the Zanzibar President from amongst persons of sound integrity and adequate Islamic religious knowledge.

250. Private wakfs are required to be registered with the Wakf Commission and are required to submit complete details of the property treated as wakf. There are 151 private wakfs registered with the Commission. Tanzanian authorities have informed that private wakfs in Zanzibar are always established by individuals and the beneficiaries of assets under private wakfs are identifiable individuals who are typically family members of the settlor of the wakf. All persons holding wakf property are required to provide their details to the Wakf Commission and the Commission has the authority to ask for any other details it may require. Any private wakf not registered with the Commission is considered invalid. A private wakf's property passes directly to the Wakf Commission for further administration where a wakf is found to be unregistered or the Commission considers that the administrator of a wakf is unfit to administer it.

251. Private wakfs holding properties typically have bank accounts and the bank should perform CDD measures and identify their beneficial owners. At the time of the 2021 Report, the AMLPOCA did not have obligations for identification of beneficial owners of trusts and a recommendation in this regard was made. The amended AML Act and AMLPOCA provide for definition of beneficial owners of trusts and also for similar legal arrangements (wakf) (see paragraph 240). Hence, where a wakf engages with an AML-obliged person (like a bank), beneficial ownership information would be available. However, there is currently no obligation in Zanzibar for a private wakf to engage with an AML-obliged person on a continuous basis. Considering that in most situations, parties to a private wakf are individuals, beneficial owners of wakfs should be identifiable. Nevertheless, considering that a small gap remains in respect of scope of coverage, Tanzania should ensure that beneficial ownership information on all private wakfs in Zanzibar is available in line with the standard (see Annex 1).

#### *Oversight and enforcement*

252. The Administrator-General of RITA supervises trustees incorporated under the TIA and can investigate any incorporated trustee on suspicion of misuse of any trust property (s. 14). The Administrator-General may suspend or remove the trustee and any person found to misuse the trust property, freeze bank accounts, stop trustee(s) from further action, or appoint a receiver or manager or public trustee to take over the operations of the trust. The Administrator-General is also authorised to revoke or suspend the incorporation of trustees for various defaults specified under sections 25 and 26.

253. The 2021 Report found the applicable fines to be low and not dissuasive enough, and a recommendation was made in this regard. The amended TIA has increased the applicable fines under section 30. For non-filing of any return or not responding to any notice from the Administrator-General, the trustee(s) are liable to a fine of TZS 200 000 (EUR 66) (increased from the earlier TZS 1 000) for every month for which the default continues. For furnishing any false information in respect of any return or response to a notice, the defaulter is liable to a fine of TZS 200 000 (EUR 66). Further, for late filing of any of the required returns in respect of changes of address of the trustee(s), change in particulars of the trustee(s), or in the name of trustee(s), a fine of TZS 100 000 (EUR 33) (increased from the earlier TZS 1 000) applies for every month of delay.

254. The penalties under TIA are complemented by the penalties for non-maintenance of beneficial ownership by AML-obliged persons under the provisions of the AML laws (see paragraph 174).

255. In terms of implementation of the TIA requirements, RITA has taken measures to compel the use of its online trust management system for the updating of all previously filed trust information. Besides raising awareness, the online system has been configured to deny services if previous information has not been updated or annual returns have not been filed. Based on these measures, over 2024-2025, 2 596 trusts updated their information with RITA.

256. In respect of beneficial ownership information, RITA has primarily taken awareness raising steps on the requirements on submission of beneficial ownership information. It has conducted seminars and trainings via conferences with boards of trustees registered with RITA on the filling of beneficial owners' information and has issued the said forms to the existing boards of trustees. However, the supervisory and enforcement actions of RITA have so far been limited to examining compliance of trustees with the objectives of the trusts and have not extended to maintenance of beneficial ownership information.

257. AML obligations is an important source of beneficial ownership information on trusts, and its supervision is discussed under Element A.1.1 at paragraphs 173 to 179. The conclusion is the same in respect of trusts as there remains a degree of variation in the AML supervision across supervisors.

258. The overall implementation, supervision and enforcement of legal requirements by RITA as well as the AML authorities in respect of availability of beneficial ownership information on trusts requires further systematic steps. Hence, **Tanzania is recommended to effectively implement, supervise and enforce the legal and regulatory framework for the availability of adequate, accurate and up-to-date beneficial ownership information on trusts in line with the standard**.

*Availability of trust information in EOIR practice*

259. Tanzania did not receive any request for identity or beneficial ownership information on trusts during the review period.

### *A.1.5 Foundations*

260. In Tanzania Mainland, foundations are non-profit organisations (the two terms are used interchangeably). They can only be engaged in activities of general public interest. They are established and governed by the provisions of the Non-Governmental Organisations (NGOs) Act (as amended 2019). The term NGO is defined under section 2 of the NGO Act as a voluntary grouping of individuals or organisations which is non-partisan, non-profit making and which is established and operates for the benefit or welfare of the community. The NGO Act provides for the appointment of a Director for Non-Governmental Organisations Coordination who is the Registrar of Non-Governmental Organisations and acts as a link between NGOs and the Government of Tanzania. Every NGO is required to register with the Registrar and is issued a certificate of registration. For this, the NGO is required to make an application in the prescribed form and provide the constitution of the NGO, minutes containing full names and signature of founding members, personal particulars of office bearers of the NGO, details of physical address of the NGO, an application fee and any other documents as may be required by the Registrar.

261. In Zanzibar, foundations/NGOs are treated and registered as societies and therefore the law governing their registration is the Societies Act No. 6 of 1995. Such societies are required to be non-profit entities set up for the purposes of public interest. Section 4(1) of the act provides that a society is deemed to be established in Zanzibar, although it may be organised and have its headquarters or chief place of business outside Zanzibar under the following circumstances: (a) if any of its officers or members resides in Zanzibar or is present therein, or (b) if any person in Zanzibar manages or assists in the management of the society or collects money or subscriptions on its behalf. A written application with the constitution of the society must be submitted to the Registrar of Societies (s. 10 and 11). The Registrar may direct other information on office bearers (National ID, ZanID or passport date of birth) to be provided. It is not known in practice, if the Registrar systematically calls for this information. Besides individuals, legal entities and arrangements can also be members of a society. Section 4(2) of the act provides that no society registered, organised or established outside Zanzibar can operate or undertake its activities in Zanzibar unless such a society obtains a certificate of operation. Further, if a society intends to undertake any temporary activities under its direct and physical supervision, a permit may be issued allowing such a society to operate in accordance with the conditions prescribed by the Registrar.

262. Considering that foundations in Tanzania are always non-profit NGOs that are set up subject to specific approval of the government on a case-by-case basis for the purposes of serving public interest, they are not relevant entities in respect of the standard. Nevertheless, the legal framework provides for the availability of identity information on the founders and office bearers of such foundations.

### *Other relevant entities and arrangements – societies*

263. Societies can be formed in Tanzania Mainland under the Societies Act (1954 as amended in 2019). A society is a non-partisan and non-political association of ten or more persons established for professional, social, cultural, religious or economic benefits or welfare of its members, formed and registered under the relevant acts. There are two types of societies – religious (non-profit sharing) and non-religious. They must be registered with the appropriate registrars (under the Ministry of Home Affairs)[30] and submit their constitution for approval. Identity details of members must be submitted during registration and include National ID, ZanID, passports for non-residents and permanent contacts, postal address, physical address, e-mails and phone number. Legal persons can be members of a society in Tanzania Mainland. Upon registration with the Ministry of Home Affairs, societies appoint their boards of trustees which must then incorporate under the TIA and register with RITA. For these boards of trustees, requirements in respect of beneficial ownership provided under the TIA and AML Act apply. Tanzania has submitted that societies in Tanzania Mainland are not for profit purposes. There were 136 societies in Tanzania as of September 2025.

264. Foreign societies intending to operate in Tanzania are also registered according to section 7(1) of the Societies Act. The same requirements for registration as for domestic societies apply.

265. Further, societies also register with the TRA and obtain TINs where they have income liable to tax. Thus, the legal framework provides for the availability of identity and beneficial ownership information on the members and office bearers of societies.

[30] There is a Registrar of Societies, a Registrar of Political Parties, and a Registrar of Sports Clubs

## A.2 Accounting records

Jurisdictions should ensure that reliable accounting records are kept for all relevant entities and arrangements.

266. The obligations to maintain accounting records by all relevant entities and arrangements are met through a combination of entity-specific governing laws and tax laws in Tanzania. The two separate company laws applicable to Tanzania Mainland and Zanzibar have specific provisions for maintaining accounting records for all types of companies. Further, Tanzania Mainland also has entity-specific accounting obligations applicable to trusts, NGOs and societies Act.

267. The obligations to maintain accounting records for Union taxes (which include direct taxes) are applicable to both Tanzania Mainland and Zanzibar and are provided for under the TAA. In addition, the ZRA administers certain Non-Union taxes, and the obligations of Zanzibar Tax Administration and Procedures Act.

268. The 2021 Report noted that despite the extensive coverage for ensuring availability of accounting records, there were concerns that when entities cease to exist, accounting records may not be available for five years in line with the standard. While Tanzania Mainland amended its Companies Act to address the issue, the issue continues in respect of Zanzibar. For Tanzania Mainland, the amended law needs to be implemented to ensure availability of accounting information on companies that cease to exist.

269. Tanzania has taken measures to have an effective oversight and enforcement programme. However, the number of companies registered with BRELA and the BPRA differ from the number of companies in the tax databases, potentially due to the manual maintenance of registers in the past, which are yet to be fully reconciled. There is need for further supervisory actions to ensure that accounting information in line with the standard is available for all companies.

270. During the review period, Tanzania did not receive any request for accounting information. The conclusions are as follows:

### Legal and regulatory framework: In place, but certain aspects of the legal implementation of the element need improvement

| Deficiencies identified/ Underlying Factor | Recommendations |
|---|---|
| Zanzibar's Companies Act does not provide any retention requirements for accounting records. While this issue is mitigated by record retention requirements under the tax law, the issue remains where companies cease to exist. In such cases, it remains unclear who will be responsible for maintaining these accounting records and whether such records will be available for at least five years after dissolution. | Tanzania is recommended to ensure that in respect of Zanzibar companies that cease to exist, all accounting records are maintained in line with the standard for a period of at least five years from the date when the company ceases to exist and the responsibility for holding such records is clearly established. |

### Practical implementation of the standard: Largely Compliant

| Deficiencies identified/ Underlying Factor | Recommendations |
|---|---|
| Since 2022, the Tanzania Mainland Companies Act requires liquidators of companies that cease to exist to maintain accounting information for a period of at least ten years. For companies that cease to exist without liquidation through Registrar initiated strike-off, accounting information previously submitted to the Business Registration and Licensing Agency is expected to remain available. However, Tanzania has not sufficiently demonstrated that the new legal provisions have been implemented fully and that accounting information on all companies in Tanzania Mainland that cease to exist | Tanzania is recommended to monitor that under the provisions of Tanzania Mainland's Companies Act; liquidators maintain all accounting records that come into their possession during winding up and after dissolution of companies in line with the standard and past submitted accounting information continues to remain available with the Registrar. |

| | |
|---|---|
| is available for at least five years in line with the standard. | |
| Tanzania has in place an organised tax administration with an active enforcement and supervisory system. However, there are more than 70 000 companies that have a legal personality but are not registered with the tax authorities. In addition, a significant number of non-compliant entities have not been filing their tax returns. Tanzania has taken some steps to widen its oversight. Nevertheless, the risks to availability of accounting information from such entities and arrangements remain, especially if they hold assets outside of Tanzania or carry on activities overseas. | Tanzania is recommended to continue its oversight and supervision in respect of availability of accounting information to ensure that such information is available for all entities and arrangements in line with the standard. |

### *A.2.1 General requirements*

271. The standard is met by a combination of company law, tax law and entity-specific law requirements. The various legal regimes and their implementation in practice are analysed below.

#### *Company Law*

##### **Tanzania Mainland**

272. The Companies Act 2023 requires companies incorporated in Tanzania Mainland to maintain accounting records. Every company must keep in English or Kiswahili proper **books of account** which are sufficient to show and explain the company's transactions. Such accounts should (a) disclose the financial position of the company with reasonable accuracy at any time; and (b) enable the directors to ensure that any balance sheet, profit and loss account and cash flow statement prepared complies with the requirements of the act (s. 154(1)).

273. The books of account must be kept at the registered office of the company or at such other **place in Tanzania** as the directors think fit. Such records should be open to inspection by the directors at all times (s. 154(3)). Further, the books of account must be maintained for a **period of six years** from the date on which they are first prepared (s. 154(4)).

274. Directors must prepare accounts for each accounting period (12 months).[31] Such financial accounts should comprise a profit and loss account (and for a not-for-profit company, an income and expenditure account), a balance sheet and a cashflow statement (s. 156). The financial statements must comply with the requirements specified in regulations prescribed by the Minister or the National Board of Accountants and Auditors, having regard in either case to **generally accepted principles of accounting**, and their regulations (s. 157). The Minister has not issued any regulations in this regard but since 2004, the National Board of Accountants and Auditors has required companies to follow the International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board. Prior to this, Tanzania Financial Accounting Standards were in place, and only a few of them, reflecting specific Tanzanian context in accounting standards, remain in force, in addition to the requirements of the IFRS.

275. Further, there is a general requirement for companies to appoint auditors annually (s. 173), and to have their **accounts audited** and have auditor's reports (s. 164). The auditors should provide their opinion on compliance of the annual accounts with the requirements in the act and their adequacy in presenting a true and fair view of the financial affairs of the company (particularly the balance sheet, the profit and loss statement and the cash flow statement). All companies should submit accounts certified by the directors (along with the auditors' certificate certifying the accuracy of the directors' report, where applicable) and

[31] Section 155 defines accounting period to mean "A company's first accounting period shall be the period of more than six months, but not more than eighteen months, beginning with the date of its incorporation, and its subsequent accounting periods shall be successive periods of twelve months beginning immediately after the end of the previous accounting period."

financial statements to the Registrar while filing their **annual returns** under sections 131 to 135 of the act. Unlimited companies and private companies having turnover and assets below certain thresholds are exempted[32] from getting their accounts audited and filing them with their annual returns with the Registrar. The thresholds for this exemption are fairly low. Moreover, Tanzania clarified that regardless of the exemption under the Companies Act, while filing their tax returns, companies must submit audited financial statements to the TRA. During the on-site visit, it was confirmed that in practice, almost all active companies appoint auditors and have their accounts audited.

276. In respect of **foreign companies** registered with the Registrar, section 442(1) requires them to prepare similar annual accounts as is required of every other company established under the act. Such accounts should be accompanied by documents, such as profit and loss statement, cash flow statement and balance sheet, and must be submitted to the Registrar within three months of being prepared. Such documents should be in English and if not, they should be translated into English.

**Zanzibar**

277. In Zanzibar, section 153(1) of the Companies Act 2013 requires that every company keep proper books of account (in English or Swahili) with respect to all sums of money received and expended by the company and the matters in respect of which the receipt and expenditure takes place; all sales and purchases of goods and services by the company and the assets and liabilities of the company. Books should give a true and fair view of the state of the company's affairs and to explain its transactions are kept (s. 153(2)).

278. Books of account must be **kept at the registered office** of the company or at such **other place** as the directors think fit and must at all times be open for inspection by the directors (s.153(3)). Books of account may be kept out of Zanzibar. However, in such cases, adequate accounting information should be **available also in Zanzibar** to be able to disclose the financial position of that business with reasonable accuracy with intervals not exceeding six months. Further, adequate accounting information should be available for preparing the company's balance sheet, its profit and loss account or income and expenditure account, and any document annexed to any of those documents giving information which is required by the act. Furthermore, in such cases, upon request, all accounting information should be accessible from a place in Zanzibar. The tax law (TAPA) obligations also require availability of accounting information of Zanzibar companies in Zanzibar (see paragraph 286).

279. Section 154(2) requires the directors of every company to prepare individual accounts in each accounting period and annually present at the shareholders general meeting a profit and loss account of the company.

280. Foreign companies are required to prepare a balance sheet and profit and loss account in every calendar year, and if the company is a holding company, group accounts are required to be prepared and laid before the company in a general meeting, and copies of those documents are required to be delivered to the Registrar (s. 242(1)). Further, certified English translations must be provided for any document that is not in English or Swahili (s. 242(2)).

281. There is no explicit requirement to retain accounting records for a specified period under the Zanzibar Companies Act 2013. In this regard, the record retention requirements under the tax laws (TAA and TAPA) would ensure record retention for at least five years (see paragraphs 283 and 286). Notwithstanding the tax law provisions, it remains that there are no record retention obligations in respect of Zanzibar companies when they cease to exist (see paragraphs 293 and 294).

[32] As per section 174 of the Companies Act 2023 exemptions from having audited accounts for a particular financial year applies to private companies with gross assets threshold of TZS 750 000 (EUR 250) and annual turnover of TZS 1.5 million (EUR 500).

### *Tax law*

282. The **TAA provides for accounting obligations** supplementing the ones in the company laws. Section 43(1) of the TAA (applicable to both Tanzania Mainland and Zanzibar in respect of direct taxes) requires every taxable or person liable to tax in Tanzania, to maintain documents in paper or electronic form which contain information to be provided or filed with the Commissioner General under any tax law; enable an accurate determination of tax payable under any tax law; as well as any document that can be prescribed by the Commissioner General or by regulations. Records and accounts must be kept in accordance with generally accepted accounting principles and the requirements of a respective tax law (s. 43(2)).

283. In addition to these legal requirements, the **TRA's tax returns** that are required to be filed by all entities include substantial details on assets, liabilities, income and expenses and are a source of accounting information.

284. The accounting records maintained under sections 43(1) and 43(2) must be kept for **a period of at least five years** from the end of the year to which the income pertains or for such further period as may be prescribed. Where the accounting records are needed for appellate processes or are a subject of investigation, such accounting records must be maintained until finality on the matter is reached. The Commissioner General can relieve a person from the obligation to maintain records or the time for which the documents are to be retained. However, Tanzanian authorities confirm that such a waiver has never been granted.

285. Only specific individual taxpayers doing business in Tanzania can opt out of the obligations of maintaining accounting records. Under the First Schedule of the ITA (paragraph 2(3)), resident individual taxpayers having business income arising exclusively from Tanzania and having an annual turnover not exceeding TZS 100 million (about EUR 33 333), can opt to not maintain accounts under section 43. Such individual taxpayers are then subjected to tax on a percentage of their turnover. Where such individuals opt to maintain accounts, they are still covered by the retention requirements. Further, individuals relying on presumptive tax without maintaining accounting records must have their turnover information available for five years. The threshold and the scope of application limited to individual entrepreneurs make this exemption not material in terms of any adverse consequences on EOIR in practice.

286. In respect of the Non-Union taxes[33] administered by the ZRA, the TAPA (as revised in 2019) requires maintaining all accounting records for **a period of seven years** or for such longer period as the Commissioner may specify. Records should be maintained at the principal place of business and **must not be moved out of Zanzibar**.

### *Companies that cease to exist and retention period*

#### Tanzania Mainland

287. In Tanzania Mainland, companies can cease to exist by being wound up, liquidated and dissolved either through a court-monitored liquidation process, through a voluntary winding up procedure or through strike-off by the Registrar (see paragraphs 87 and 88 under Element A.1). While the procedures for court-monitored liquidation and voluntary winding up involve a liquidator, for dissolution through Registrar's strike-off a liquidator is not engaged. In cases of Registrar initiated strike-off, the property of the dissolved company is *bona vacantia* and transfers to the Government (s. 405).

288. The 2021 Report noted that there was ambiguity around the person responsible for maintaining accounting information once a company ceases to exist, i.e. upon completion of winding up and dissolution

[33] The Value Added Tax Act No. 4 of 1998, the Stamp Duty Act No. 7 of 2017, the Hotel Levy Act No. 1 of 1995, the Port Service Charge Act No. 2 of 1999, the Petroleum Levy Act No. 7 of 2001 and the Excise Duty Act No. 8 of 2017.

and the retention period of such records. While the liquidator was responsible for holding the accounting records during the winding up process, its role as a custodian of records after dissolution was unclear after dissolution and a recommendation was issued on this matter.

289. Tanzania amended the Companies Act in 2022. Section 396 was expanded to include a clear responsibility on the liquidator to maintain accounting records and underlying documentation “pertaining to dissolution” of a company for a period of at least ten years from the date of dissolution. In addition, Companies (Retention and Disposal of Company Documents) Regulations 2023 similarly require that every company that ceases to exist ensure maintenance and availability of all original documents “relating to liquidation” for not less than ten years. The addition of this obligation on the liquidator clarifies that the accounting information “pertaining to dissolution” of a company will be maintained by the liquidator. Since the amended provisions are specifically in respect of accounting records that “pertain to dissolution” or are “related to liquidation”, it is unclear if accounting records “not related to dissolution of the company” but related to a prior period just before the commencement of the winding up process, would also continue to be available for a period of five years from the year to which they pertain.

290. Tanzania has explained that the legal framework makes the liquidator in charge of holding all accounting records of a company that come into its possession as well as those during the winding up process. Depending upon how long the winding up process lasts, retention of past accounting records for at least six years from the date of preparation of accounts will still apply and the liquidator will be responsible for maintaining such information. In addition, in practice, almost all companies (barring certain unlimited companies and private companies with low gross assets or low annual turnover (see paragraph 275) are required to submit their annual returns (together with audited accounts) to BRELA through the ORS (see annual return filing rates at the table below paragraph 119). Such accounting information will be maintained by BRELA perpetually even after companies cease to exist. This would ensure availability of past submitted accounting information, even for those companies that are subject to Registrar’s strike-off procedure under section 402 without the engagement of a liquidator.

291. Notwithstanding Tanzania’s explanation on availability of all accounting records with the liquidator, there remains a possibility that a more limited interpretation of the term “pertaining to dissolution” is taken. During the on-site visit, this position or interpretation could not be confirmed with representatives from the private sector considering the recency of the amendment. Hence, Tanzania should ensure that for companies in Tanzania Mainland that cease to exist, all accounting records (and not just those pertaining to liquidation) are available for at least five years in line with the standard (see Annex 1).

292. Overall, since the legal framework has been amended only in 2023, there are no implementation details available to demonstrate that liquidators are indeed maintaining accounting information in line with the standard for at least five years after a company ceases to exist and that BRELA has monitored the availability of previously submitted accounting information for companies that cease to exist. **Tanzania is recommended to monitor that under the provisions of Tanzania Mainland’s Companies Act; liquidators maintain all accounting records that come into their possession during winding up and after dissolution of companies in line with the standard and past submitted accounting information continues to remain available with the Registrar**.

#### Zanzibar

293. Similar to Tanzania Mainland, companies cease to exist through voluntary winding up and subsequent dissolution or by the Registrar’s decision to strike-off and dissolve a defunct company (see paragraph 89). The 2021 Report noted that there are no retention obligations in respect of accounting records for companies under Zanzibar’s Companies Act 2013. While this deficiency was compensated for existing companies to a significant extent due to requirements under the tax law obligations, for companies that cease to exist, the legal framework did not ensure availability of accounting records for at least five years after dissolution.

294. The situation persists in the case of Zanzibar as no legal change has yet been made in this regard in Zanzibar's Companies Act 2013. Thus, **Tanzania is recommended to ensure that in respect of Zanzibar companies that cease to exist, all accounting records are maintained in line with the standard for a period of at least five years from the date when the company ceases to exist and the responsibility for holding such records is clearly established.**

#### Re-registration of a struck-off and dissolved company

295. For companies in Tanzania Mainland and Zanzibar that are struck-off and dissolved through the Registrar's intervention, both company laws provide for the possibility of re-registration and reinstatement within a period of ten years by a court order. Section 403(6) of Tanzania Mainland's Companies Act 2023 provides that where a company or any member or creditor is aggrieved by the strike-off of a company, it can seek its re-registration. The court, while permitting the re-registration, can impose the necessary conditions (including ensuring availability of past accounting information) that such a company must fulfil before it is re-registered. Similar provisions exist under section 237 of Zanzibar's Companies Act 2013.

296. Between 2022 and 2025, BRELA struck off companies that it identified as defunct. Further, BRELA has issued Notices of Intent to identified companies to strike-off and dissolve more inactive companies (see paragraphs 130 and 330). Tanzanian authorities indicate that so far, they have not had any experience where a struck-off company has been restored by court order. The authorities are of the view that the court order would lay down conditions for restoration including correcting all past non-compliance. Furthermore, in practice, given the implementation of the ORS by both BRELA and the BPRA, every such restored company would require access to the ORS for its operational needs. Both Registrars deny access to services if there are any past pending returns or failures of compliance. Hence, such companies will not be able to re-register on the ORS unless past pending annual returns (which include submission of financial statements) have been filed.

### *Partnerships, trusts and other relevant entities*

297. In respect of **partnerships**, tax laws primarily ensure the availability of accounting records in Tanzania Mainland and Zanzibar. Partnerships are fiscally transparent entities for the purposes of the imposition of income tax. However, they are included as "entities" within the meaning of section 3 of the ITA. Accordingly, they are registered as partnerships with the TRA and are issued with TIN and have to file various tax returns including the annual return of income although the obligation to pay the tax on the income generated by the partnership remains with the partners. By virtue of being an entity, a partnership has to comply with the provisions of the TAA including compliance with the requirements to maintain records and accounts consistent with the provisions of section 43(2) of the TAA read together with section 21 of the ITA (keeping accounts according to the accounting standards). Further, the provisions of TAA in respect of income taxes apply for all partners of partnerships in Tanzania Mainland and Zanzibar. In addition, partners of partnerships in Zanzibar are also obliged to maintain accounting records as required by the TAPA of Zanzibar in respect of VAT. Thus, in practice, partners of a partnership are also required to have TINs, file tax returns and maintain the accounting records as required under the tax laws. Hence, the requirement of maintaining accounting records applies jointly on the partnership as well as its partners.

298. The record retention requirements as provided for under TAA (five years from the year to which they pertain) and TAPA (seven years from the year to which they pertain) apply on the partners in respect of the partnership's accounting records. The liability of partners of a partnership continues even if a partnership ceases to exist. Tanzanian authorities have confirmed that even though the partnership is not making profits or making losses the obligations to maintain accounting records would still be applicable to it as the obligations apply to all partnerships regardless of their commercial status.

299. In respect of **trusts**, the availability of accounting records is provided for through the provisions of the TIA as well as the tax law obligations. Section 22 of the TIA in Tanzania Mainland provides that the

Registrar-General may require any trustee(s) incorporated under the act to submit duly audited accounts. The Registrar-General is also empowered to call for the books of accounts and inspect them or get them inspected. As noted under A.1, incorporation of trustees is optional under the TIA. Only a trustee or trustees holding property in trust for any religious, educational, literary, scientific, social or charitable purposes are compulsorily required to incorporate under the TIA if not incorporated under any other law. Further, a trust that has taxable income and needs to register with the TRA, would require to register with the RITA as well.

300. In respect of trustees of private trusts engaged in the management of private property for profit purposes or otherwise, the obligations of the TIA do not apply if they have chosen not to incorporate under the act. In respect of such trustees, the availability of accounting records would only be ensured through the operation of the requirements of the tax laws. Tanzanian authorities have informed that trusts, being an entity under the ITA, are required to register with the tax authorities and comply with the requirements to maintain all accounting records under section 35 of the TAA read with section 21 of the IT Act for compliance with the tax obligations. Thus, like partnerships, the obligations of the tax law require the maintenance of accounting records for trusts for a period of five years, including after a trust ceases to exist.

301. In respect of **private wakfs** in Zanzibar, the Wakf Commission has powers to examine all documents and accounts of a private wakf under section 20 of the Wakf and Trust Commission Act 2007. Tanzanian authorities have explained that while most Wakf property in Zanzibar is under the direct control of the Wakf Commission, private wakfs that manage their own wakf property are under direct supervision of the Wakf Commission as well. Private wakfs can use wakf property to generate revenue, for instance, by sale or lease of wakf property. All contracts, agreements or arrangements pertaining to leasing wakf property for more than one year or for alienating such property must be approved by the Wakf Commission (s. 24 of the act). The Wakf Commission also regulates the restructuring of existing leases, creating new leases and ensuring market-based rents and regulating the duration of leases (s. 25 to 27 of the act). Tanzanian authorities maintain that private wakfs are always meant for the advancement of Islamic religious purposes, not for profit and are not considered relevant for tax purposes and hence, not required to be registered with the tax authorities. However, the TRA can obtain all information on a private wakf from the Wakf Commission or directly from the administrator of the private wakf in Tanzania (see paragraphs 379 to 381).

302. In respect of **societies** in Tanzania Mainland, Rule 3(1) of the Societies Rules of 2001 provides that every registered society which receives money from any source, whether by way of subscription, donation or otherwise, must keep one or more books of accounts recording details of all moneys received and payments made by the society. Under Rule 6(1)(a), the Registrar may require any registered society to produce within a time to be specified by the Registrar for his/her inspection all or any of the books of accounts of the society. Sections 21 and 22 of the Societies Act provides that the Registrar of Societies may order the registered society to submit audited accounts. Further, section 21(1)(a) and (d) of the Societies Act provides that the Registrar may at any time, by notice, order any registered society to furnish him/her in writing with such accounts, returns and other information as may be prescribed. The Registrar may also, after granting reasonable time, require the submission of audited accounts by all registered societies.

### *A.2.2 Underlying documentation*

303. All relevant legal entities and arrangements must retain underlying accounting documentation in line with the standard.

304. Although, the Companies Acts in Tanzania Mainland and Zanzibar do not mention what underlying documentation needs to be maintained (e.g. contracts and invoices), retaining these documents is essential for complying with other accounting obligations under the company legislation. Tanzanian

authorities have emphasised that in practice, the requirement to have accounts audited and maintained under the IFRS implies that all companies must maintain all underlying accounting information. It is a duty of the auditors to examine and report whether proper accounting records have been kept by the company and if they have been adequate for their audit purposes (s. 166 of the Companies Act 2023).

305. The tax law obligations explain the type of underlying documentation that must be maintained by all taxpayers. Section 44 of the TAA specifies the kind of documents that a person who supplies goods, renders services or receives payments in respect of goods supplied or services rendered must maintain, including the information that must be captured in such documents. Such a person is required to issue a fiscal receipt or fiscal invoice by using an **electronic fiscal device**. Where such receipt or invoice is issued manually, the person must record the date on which the payment was made, the full name and address of the person who sold the goods or rendered the service, full description of the goods or services sold and a statement of the quality and value of the goods or services sold, full name and address of the person to whom such goods and services were sold or rendered and TIN of the issuer of invoice or receipt. Fiscal invoices are integrated with the TRA's database and issuance of all such invoices through the electronic fiscal devices allows the TRA to have oversight over commercial transactions across the country.

306. In respect of Zanzibar, the TAPA also provides for the availability of underlying documents for the preparation of accounting records for all businesses that are operating in Zanzibar and are liable to such taxes. Every taxable person must maintain accounting records at its principal place of business in Zanzibar (s. 22). Taxpayers must maintain all original cash sale tax invoices and receipts received or certified copies thereof; all copies of tax invoices and receipts issued; all customs documentation relating to imports and exports, if any; any other records as may be prescribed in the regulation or by the Commissioner.

307. During the on-site visit, the tax auditors from the TRA and the ZRA confirmed that during tax audits and examinations they call for and examine substantial underlying accounting documentation and sanctions are imposable for non-availability or non-compliance.

## *Oversight and enforcement of requirements to maintain accounting records*

### *Available sanctions*

#### Commercial laws' provisions on sanctions

308. In Tanzania Mainland, the Companies Act 2023 under section 154(5) and section 157(4) imposes liability of a fine or imprisonment (as the court may determine) upon conviction on any person, being a director of a company, who fails to take all reasonable steps to secure compliance, in respect of any accounts laid before the company general meeting, with the provisions of the Act.

309. In Zanzibar, sections 153(4), 154(4) and 155(4) of Zanzibar's Companies Act 2013 provide for imprisonment of not exceeding six months or to a fine of a maximum of TZS 300 000 (EUR 100) on the director of a company found liable for any non-compliance with respect of the maintenance of accurate books of accounts and related provisions. Thus, directors of a company can be held liable and can be punished with imprisonment besides monetary sanctions for not maintaining the required books of accounts as required, not preparing the accounts in accordance with the law, or failing to ensure that accounts reflect all matters that they are expected to reflect. Section 246 provides that, if any foreign company fails to comply, the company, and every officer or agent of the company who knowingly and wilfully authorises or permits the default, shall be liable to a fine of TZS 15 000 (EUR 5). In the case of a continuing offence, a default fine of TZS 3 000 (EUR 1) for every month of continuing default applies.

310. For trusts, the TIA provides for sanctions for any offence (including failure to submit audited accounts to the Administrator General when asked). A fine of TZS 200 000 (EUR 66) which applies per month for continuing default is provided under section 30.

311. For societies in Tanzania Mainland, a fine of up to TZS 4 000 (EUR 1) and/or imprisonment up to six months for breach to accounting records requirements applies for every office-bearer and every person managing or assisting in the management in Tanzania of a registered society (rule 3(2) of the Societies Rules 2001). In Zanzibar, societies and their office bearers are liable to a fine of up to TZS 50 000 (EUR 17) and/or to imprisonment for a term not exceeding six months for failures regarding maintaining accounting information (s. 45).

**Tax law provisions on sanctions**

312. Section 88 of the TAA imposes a penalty on a taxpayer for failure to maintain accounting records for each month or part of the month during which the failure continues. The penalty for an individual is one currency point[34] (TZS 15 000 (EUR 5)) and for a body corporate is ten currency points (TZS 200 000 (EUR 67)). Further, under section 82(b) the fine is of not less than 10 currency points (TZS 200 000 (EUR 67)) and not more than 20 currency points (TZS 400 000 (EUR 133)). For partnership, the individual partners are liable as provided under the section to the fines applicable to the individuals.

313. In Zanzibar, for purpose of taxes administered by ZRA, section 22(8) of the TAPA recognises as offence the failure to keep proper accounting records by a taxable person, or to keep the records at the principal place of business, or to retain them for the required time. Upon conviction, such an offence is liable to a fine of not less than TZS 100 000 (EUR 33) and not more than TZS 10 million (EUR 3 333) and/or to imprisonment for a term between six months and two years.

*Supervision and enforcement in practice*

314. The oversight and supervision over requirements to maintain accounting records are performed primarily through the supervisory activities of the TRA. These activities are supplemented by the oversight over filings of annual returns by BRELA and the BPRA to some extent as described under Element A.1 (paragraphs 113 to 128).

315. The TRA is an integrated tax administrator administering all direct taxes and customs across the Union and administering indirect taxes for Tanzania Mainland. It has about 8 900 employees. Most employees are engaged in the four revenue departments for domestic revenue, large taxpayers, tax investigations, and customs and excise. The TRA's revenue departments perform key tax administration functions like taxpayers' registration, tax returns filing, monitoring and examinations, tax audits, tax investigations, technical services (dispute resolutions, refunds processing, quality assurance), and debt management and compliance.

**Taxpayer population vs total population of entities and arrangements**

316. There is a difference in the number of companies and partnerships registered with the TRA as compared with the data available from BRELA (about 230 000 companies) and the BPRA (about 21 000 companies). Cumulatively for Tanzania Mainland and Zanzibar, the TRA database has about 70 000 fewer companies than those registered with the two Registrars. Together with partnerships, the difference is about 77 000 which reflects a difference of approximately 27% between the entities registered with the Registrars and those with the TRA. Tanzania has explained that while efforts are being made to harmonise the TRA's database with those from the Registrars, the difference is partly historical. Prior to the implementation of the ORS, there was no direct integration with the TRA's database. Since 2018, all new registrations are communicated to the TRA for registration. Not all the previously manually registered companies or businesses are registered on the TRA's database. Tanzania considers that most of such

[34] A currency point is a unit translated into Tanzanian Shillings with regard to fines or penalties to be imposed against a default person who has failed to honour an obligation imposed under the TAA 2023. One currency point is equivalent to TZS 20 000 (EUR 7).

companies are economically inactive and not engaged in any commercial activity in Tanzania but have not been removed from the corporate registers.

317. Tanzania has indicated that it has taken several measures to ensure all potential taxpayers are registered. This is important for the availability of accounting information, as the TRA is the main body enforcing the related obligations.

318. The TRA organised awareness raising efforts to ensure that all businesses register with the TRA and file their tax returns. These initiatives include organising education and awareness seminars, television and radio programs, sending bulk SMSs to taxpayers reminding them of registration and tax return filing obligations, participation in various exhibitions, issuance of public notices and conducting field inspections and awareness visits to businesses. Tanzania has submitted the following details of nation-wide awareness raising efforts.

### Activities undertaken by the TRA to increase tax compliance

| Activities | 2022-2023 | 2023-2024 | 2024-2025 |
|---|---|---|---|
| Tax education seminars | 688 | 867 | 545 |
| Bulk SMSs | 1 564 323 | 1 364 323 | 6 520 932 |
| Public notices | 147 | 259 | 297 |
| Television and radio programmes | 582 | 390 | 562 |
| Exhibitions | 19 | 26 | 51 |
| Awareness raising visits to businesses | 61 378 | 67 902 | 70 189 |

Source: TRA

319. As part of these measures, taxpayers are reminded about their tax obligations, including the requirements to maintain accounting records.

320. Further, the TRA has placed particular emphasis on the use of **electronic fiscal devices** and **issuance of fiscal receipts**, which has been implemented through a range of enforcement and awareness raising measures. Taxpayers are required to have electronic fiscal devices and only some very small businesses are exempt from this requirement. During the review period, the TRA conducted on-site inspections to monitor tax compliance of businesses using block management system (a system where tax officials monitor and enforce tax compliance of businesses conducted in certain defined geographical areas). This monitoring included checking compliance with the acquisition and proper usage of electronic fiscal devices. In the period from July 2022 to June 2025, a total of 554 034 businesses (including individuals and small firms) were visited and verifications were conducted, including verifications relating to acquisition and usage of electronic fiscal devices. Penalties amounting to TZS 15.7 billion (EUR 5.23 million) for non-acquisition of electronic fiscal devices and non-issuance of fiscal receipts were imposed on 4 401 non-compliant taxpayers. As a result of these awareness-raising and enforcement efforts, 152 964 electronic fiscal devices were acquired by taxpayers during the review period. The use of electronic fiscal devices by businesses allows the TRA real-time monitoring of economic activity and transactions by all businesses. This also facilitates monitoring of any signs of commercial activity in companies identified as inactive. In addition, the TRA is currently implementing a project of integrating the TRA's tax database with a range of other public authorities (see paragraph 331).

321. Once the population of taxpayers is secured, it is important to check that they properly file their tax returns, as these contain information on the balance sheet and profit and loss accounts. For companies, these tax returns are required to be accompanied by audited financial statements.

#### Filing obligations

322. The TRA has dedicated staff to enforce filing of tax returns (in relation to income tax, VAT and excise duty) and to examine all returns filed by taxpayers. The TRA has submitted the following tax return filing rates for companies and partnerships in respect of such entities and arrangements registered in the TRA database

### Direct taxes return filing rates (companies and partnerships)

| | Companies | | | Partnerships | | |
|---|---|---|---|---|---|---|
| | Returns filed | Total in TRA database | Return filing rate | Returns filed | Total in TRA database | Return filing rate |
| 2022-2023 | 98 752 | 145 818 | 68% | 19 036 | 24 545 | 78% |
| 2023-2024 | 114 242 | 163 549 | 70% | 20 227 | 25 805 | 78% |
| 2024-2025 | 131 196 | 183 789 | 71% | 21 158 | 26 911 | 79% |

Source: TRA

323. The tax return filing rates are good in general, although there remains room for improvement, especially because these return filing rates are based on the total taxpayers in the TRA's database (noting that the number of taxpayers in TRA's database is approximately 27% lower than those registered with the BRELA and BPRA). The TRA has an active programme to identify non-filers of tax returns. This involves monitoring and analysing all taxpayers eligible to file different types of tax returns and identifying non-filers, imposition of penalties for late filing and/or issuance of jeopardy (best-judgement or *in absentia*) assessments in circumstances where there is continued non-compliance. During the review period, the TRA imposed TZS 244 billion (EUR 81.33 million) as penalties for late filing of tax returns on about 58 500 companies. Further, more than 15 000 jeopardy assessments valued at TZS 2.6 trillion (EUR 867 million) were issued to non-compliant companies during the period under review. This corresponds to taking action against about 25% of the companies that did not file their tax returns.

324. Moreover, in order to carry out any business, there is a mandatory requirement to have business licence from respective licensing authorities. As part of the whole of government approach to enforce tax compliance, there is a further requirement for businesses to produce tax clearance certificate in the process of applying for business licences issued by the relevant government authorities. These licensing authorities cannot issue business licence to any entity or individual if the entity or individual concerned has not been issued with tax clearance certificate. Before issuance of tax clearance certificate, the TRA checks the taxpayer's compliance behaviour including compliance with the obligations for filing of tax returns. This requirement is a supportive measure that drives voluntary compliance and supports the work of the TRA.

#### Tax examinations and audits

325. The TRA conducts examination of filed tax returns to determine the accuracy and compliance of the declarations made in the respective returns. Further, issue-based and comprehensive audits of taxpayers identified based on risk profile are conducted. Tax investigations involving on-site visits are also undertaken where there is suspicion of large-scale tax evasion. In all these interventions, accounting records (such as audited financial statements, trial balances, ledgers, contracts and invoices) are requested or seized. To be able to meet tax compliance requirements enforced by TRA, taxpayers are compelled to maintain accurate and adequate accounting records. The table below provides statistics on the number of audits, examinations and tax investigations conducted during the review period.

### Supervisory actions undertaken by the Tanzania Revenue Authority

| | Comprehensive tax audits | Return examinations and verifications | Tax investigations | TOTAL |
|---|---|---|---|---|
| 2022-2023 | 5 011 | 31 779 | 263 | 47 646 |
| 2023-2024 | 7 718 | 40 158 | 394 | 61 656 |
| 2024-2025 | 8 315 | 57 588 | 439 | 85 538 |

Source: TRA

326. The statistics reflect a fair level of coverage in terms of numbers and varying intensity of the examinations. While tax return examinations and verifications are not very intense supervisory activities and typically involve basic checks on filed returns, they are carried out over a larger population of entities and arrangements. The more detailed and comprehensive tax audits and investigations are carried out primarily on companies and partnerships. A coverage of 3-4% of taxpayer population under audits and investigation reflects an acceptable degree of supervisory activities.

#### Specific supervision in Zanzibar

327. In Zanzibar, measures taken by the ZRA during the peer review period include the application of sanctions together with preventive programmes, verification checks, on-site inspections, audits and the examination of taxpayers' accounting records. Tanzania has submitted the following information on the supervisory and enforcement measures taken by the ZRA:

### Supervisory measures taken by the Zanzibar Revenue Authority

| | Audits | Verifications | Investigations | TOTAL |
|---|---|---|---|---|
| 2022-2023 | 65 | 100 | 46 | 211 |
| 2023-2024 | 260 | 11 300 | 37 | 11 597 |
| 2024-2025 | 252 | 14 455 | 50 | 14 757 |

Source: ZRA

328. The ZRA's oversight and inspections are focused on Zanzibar businesses in respect of VAT. While not as extensive as reported by the TRA, it provides additional comfort that accounting records are examined across Zanzibar by the ZRA as well.

#### Inactive companies

329. At the time of the 2021 Report, one peer had noted that Tanzania was unable to provide the accounting information for a Tanzanian company, which was ultimately identified as inactive. The company had ceased commercial operations more than 20 years ago but had remained in the Registrar's database and consequently retained its legal personality. It was not reflected in the TRA's database. The accounting information for the requested period could not be provided. Tanzanian authorities explained that the company had ceased its operations and the requested information pertained to beyond the five years retention period. The 2021 Report required that the availability of accounting records in respect of inactive companies be examined during the present review.

330. Tanzania has reported having taken steps to monitor inactive companies. For Tanzania Mainland, in accordance with sections 400(1) and 441(2) of the Companies Act 2023, BRELA issued Notices of Intent to strike off 5 676 inactive companies that had not submitted annual returns. Of these, 5 284 companies are locally registered and 392 are foreign companies. The procedure for de-registration is yet to be completed (see paragraphs 129 and 130).

331. The TRA, at its end, has initiated a comprehensive project of interlinking its database with more than 30 other public authorities. This system integration project (being rolled out in phases and expected to be fully implemented by 2027) aims to enhance TRA's capabilities of identifying persons and verifying their identity through automated access and checks, monitoring taxpayers' compliance, detecting all types of activities that may give rise to tax implications and facilitate effective enforcement of tax laws, besides facilitating voluntary compliance. Among the agencies identified for system integration (some access to databases of certain authority already exists) are the National Agency for Postal Addresses, National Identification Authority, Immigrations Services Department, BRELA, BPRA, Gaming Board of Tanzania, BOT, Dar es Salaam Stock Exchange, RITA, Mining Commission, Tanzania Communication Regulatory Authority (for oversight over economic activities of digital content creators), National Board of Accountants and Auditors, Ministry of Home Affairs, and other authorities that have data on VAT and other indicators that reflect economic activities.

#### Conclusion

332. Overall, while Tanzania has an active enforcement and supervisory system that should ensure the availability of accounting records for most entities, it remains the case that there are more than 70 000 companies that have a legal personality but are not registered with the tax authorities. The TRA has taken steps to more comprehensively oversee activity of companies and other relevant entities and arrangements in Tanzania and has also taken initiatives to raise awareness with respect to tax compliance. These actions would, nevertheless, focus on domestic activity and not activities or asset holdings outside Tanzania by companies that may also be subject to EOI requests. Moreover the steps taken are fairly recent. Limited actions have been taken so far to de-register inactive companies. In addition, it is not fully ascertained that the companies are economically inactive or simply non-compliant. The difference in the number of entities between the tax database and those of the Registrars presents risks to systematic oversight over all relevant entities and arrangements by the tax authority, which is the key enforcement and supervisory authority for accounting information. **Tanzania is recommended to continue its oversight and supervision in respect of availability of accounting information to ensure that such information is available for all entities and arrangements in line with the standard.**

### *Availability of accounting information in EOIR practice*

333. During the review period, Tanzania did not receive any request for accounting information. At the time of the 2021 Report, Tanzania had received four requests for accounting information and in one case, for an entity that had been considered inactive for a long period, the requested accounting information could not be provided.

## A.3 Banking Information

Banking information and beneficial ownership information should be available for all account holders.

334. The Banking and Financial Institutions Act 2006 (BFIA) is the governing act for all banks in Tanzania Mainland as well as Zanzibar. The Bank of Tanzania (BOT) licenses and regulates all banks in Tanzania (Tanzania Mainland as well as Zanzibar). It also supervises AML-compliance by all banks and financial institutions as it is specifically defined as "regulator" for the purposes of the AML acts in Tanzania Mainland and Zanzibar. This function as AML-regulator for banks is shared with the FIU. Banking information, as required under the standard, is maintained through the provisions of the AML acts applicable separately to Tanzania Mainland and to Zanzibar.

335. The legal and regulatory framework ensures availability of banking information but there are areas of improvement. The definition of beneficial owner should be clarified to explain certain concepts. There is a gap in the availability of beneficial ownership information for low-risk customers where simplified CDD is conducted as identifying beneficial owners is not explicitly required. Further, there is no specified frequency for updating CDD and beneficial ownership information. This could lead to situations where available beneficial ownership information on accounts is out of date.

336. In practice, the BOT has a common supervisory approach in respect of AML. Tanzania's AML law and regulations are relied upon in case of any differences in the two AML regimes. Furthermore, all banks (except one) that operate in Zanzibar are branches of banks incorporated in Tanzania Mainland. The one Zanzibar incorporated bank has multiple branches in Tanzania Mainland and is in any case obliged to abide by the AML law of Tanzania Mainland.

337. BOT's overall supervision is generally satisfactory.

338. During the review period, Tanzania did not receive any request for banking information.

339. The conclusions are as follows:

### Legal and regulatory framework: In place, but certain aspects of the legal implementation of the element need improvement

| Deficiencies identified/ Underlying Factor | Recommendations |
|---|---|
| In 2022, Tanzania updated its Anti-Money Laundering (AML) laws applicable to Tanzania Mainland and Zanzibar to provide a **definition of beneficial owner** generally in line with the standard. However, for legal persons like companies, guidance is required on the concept of "control by means other than ownership". | Tanzania is recommended to ensure that the definition of beneficial owner as it applies to companies is sufficiently clear such that beneficial owners of all bank accounts are identified in line with the standard. |
| Tanzania's anti-money laundering framework permits banks to undertake **simplified customer due diligence** measures when dealing with low-risk customers. While these measures require identification of the customer, they do not explicitly require identifying the beneficial owners of the customers where such customers are legal persons or legal arrangements prior to establishing a business relationship. | Tanzania is recommended to ensure that while banks conduct simplified customer due diligence, the identity of the beneficial owners of the customer is always established. |
| There is no specified frequency for **updating beneficial ownership** information as part of customer due diligence measures. This could lead to situations where beneficial ownership information on all customers is not up to date. | Tanzania is recommended to ensure that up-to-date beneficial ownership information on all account holders is available in line with the standard. |

### Practical Implementation of the Standard: Largely Compliant

| |
|---|
| No issues have been identified in the implementation of the existing legal framework on the availability of banking information. However, once the recommendations on the legal framework are addressed, Tanzania should ensure that the amended framework is applied and enforced in practice. |

### A.3.1 Record-keeping requirements

340. Banking information, as required under the standard, is available through the provisions of the AML framework. The BOT supervises availability of banking information. Tanzania Mainland's AML Act (as amended and revised in 2023) supported by the Anti-Money Laundering Regulations 2022 (and updated in 2023) (AML Regulations) is the primary legal framework in this regard. The AMLPOCA (as amended in 2023) and supported by the AMLPOC Regulations (as updated in 2023) also provides adequate requirements for AML oversight in the context of Zanzibar.

341. There are 42 banks under the supervision of Bank of Tanzania: 35 commercial banks, 3 microfinance banks, 2 community banks and 2 development banks. All banks but one are headquartered in Tanzania Mainland.

#### *Availability of banking information*

342. Section 17 of the AML Act (and s. 11 of AMLPOCA) requires all banks (being reporting persons under the AML framework) to establish and maintain records of all domestic and international transactions, know your customer (KYC) files, customer due diligence, accounts, business correspondences, and risk assessments on customers. Banks are prohibited from opening or operating accounts under false, anonymous, disguised or fictitious names (s. 16(1)(c)).

343. In respect of banking transactions, the information required to be maintained includes:

- identity information of the person conducting the transaction (name, address and occupation or business or principal activity of the person), and where the transaction is conducted on behalf of another person, the identity of such other person, including the method used for identifying such other person
- the nature and date of transaction
- the type and amount of currency involved
- the type and identifying number of any account with the bank involved in the transaction
- if the transaction involves a negotiable instrument other than currency, the name of the drawer of the instrument, the name of the institution on which it was drawn, the name of the payee, amount and date of the instrument, the number, and details of any endorsements appearing on the instrument
- the name and address of the bank, and of the officer, employee or agent of the bank who prepared the records.

344. All records must be maintained for **a period of ten years** from the date when the activities relating to a transaction were completed, when the business relationship was formally ended; and when analysis or when money laundering risk assessment was completed (s. 17(1)(b) of the AML Act and regulation 22 of the AML Regulations and also s. 11(3) of the AMLPOCA).

#### *Beneficial ownership information on account holders*

345. The standard requires that beneficial ownership information be available in respect of all account holders.

346. **Definition of beneficial owner –** The 2021 Report identified deficiencies in the definition of beneficial ownership as provided under the AML Act applicable to Tanzania Mainland and noted the absence of a clear definition under AMLPOCA in respect of Zanzibar. In the AML Act for Tanzania Mainland, the element of control over the entity or arrangement through "other means besides ownership" was not adequately and explicitly captured by the definition. Further, the terms "substantial control", "substantial economic interest" and "substantial economic benefit" were not defined or explained

in the AML law. In addition, the guidance available for identification of beneficial owners of partnerships and trusts also had deficiencies.

347. These issues have been largely addressed. The AML Act for Tanzania Mainland is amended with a new definition. Read with the updated AML Regulations 2023, the definition is broadly in line with the standard (see discussion under Element A.1 at paragraphs 144, 215 and 241). The AMLPOCA has been amended to include a definition of beneficial ownership as provided under Tanzania Mainland's AML Act. However, as noted under the discussion on Element A.1, for legal persons like companies, guidance is required on the concept of "control by means other than ownership". **Tanzania is recommended to ensure that the definition of beneficial owner as it applies to companies is sufficiently clear such that beneficial owners of all bank accounts are identified in line with the standard.** On the aspect of "look through approach" in the context of partnerships and trusts, representatives from banks reflected an understanding that beneficial owners must always be natural persons. Where any of the parties to a partnership or a trust are other legal persons or arrangements, they noted that natural persons behind them will be identified. However, this aspect of "look through" is not documented by way of guidance. In order to ensure consistent application of this principle, Tanzania should clarify the definition of beneficial owner as it applies for partnerships and trusts and similar arrangements where any of the parties to such arrangements are themselves legal persons or arrangements (see Annex 1).

#### Customer due diligence requirements

348. In Tanzania Mainland, the CDD requirements are stipulated in the AML Act (as revised in 2023) and are detailed further in the AML Regulations 2023. The provisions in the Zanzibar's AMLPOCA and the AMLPOC Regulations are similar.

349. Customer due diligence includes establishing the identity of the customer, a beneficial owner or a person acting on behalf of the customer (s. 3). Banks must understand the nature and purpose of the business relationship, the occupation or business activities of the customer as well as its beneficial owners, understand the ownership and control structure of all legal person or legal arrangement customers, know the source of income and funds of the customer, and verify the identity of any person acting on behalf of a customer.

350. Banks are required to conduct CDD before establishing a business relationship; before carrying out an occasional transaction; where money laundering, terrorist financing or proliferation financing is suspected; where there are doubts about the veracity or adequacy of previously obtained CDD information; and on an ongoing basis, having regard to the risk of money laundering and terrorist financing (s. 16(1)).

351. Where CDD cannot be completed (identification and verification process), banks must refrain from establishing the relationship or must terminate the relationship and submit a suspicious transaction report to the FIU. Only in proven low risk situations can a bank commence a business relationship pending verification (s. 16(1)(d-f)).

352. In conducting CDD, banks must obtain and **verify information** on the ultimate beneficial owners of a legal person, entity or arrangement (s. 16(2)). Regulation 8 of the AML Regulations prescribes the documents that should be relied upon for identification and verification processes. The primary identification documentation for Tanzanian resident individuals is the national identity card. Other acceptable identification documents include passport or an equivalent travel document, driving licence, voter's registration card or employee identity document. For legal persons and entities, entity registration documents that prove the existence of the entity include a certificate of incorporation or registration, memorandum and articles of association, partnership agreement, trust deed or any other legal arrangement's founding document, or any other document that is issued by a relevant entity's licensing or registration authority.

353. The AML Regulations provide for **enhanced CDD** measures in respect of high-risk customers where banks are expected to carry out more detailed CDD and update the obtained information more frequently. Banks are expected to obtain enhanced personal information for individuals and beneficial owners (more detailed personal information like occupation and business address, nature or purpose of the business relationship, reasons for the transaction and source of funds) and enhanced entity information for legal persons and arrangements. Enhanced entity information includes more detailed entity information (entity's country of origin, board resolution to establish the business relationship, ownership structure, details of beneficial owners (full name, date of birth and gender)), a copy of a certificate from Tanzania Investment Centre, if any, and enhanced personal information on responsible natural persons managing the legal person, or on each trustee or founder or partner for legal arrangements. Entities with complex structures or customers engaging in complex transactions are always expected to be treated as high-risk and subject to enhanced CDD measures.

354. The AML Regulations also provide for **simplified CDD** which may be applied in cases where the banks are satisfied that a customer presents low risk. Simplified due diligence measures require the identification of the customer and obtaining basic customer information. Where the customer is a legal person or a legal arrangement, basic entity information is to be obtained. "Basic entity information" is defined under the regulations to include the entity's registered or licensed name, trade name, address, business, registration number, tax identification number; and personal information of natural persons in charge or overall responsible for running its affairs or authorised to conduct transaction on its behalf. There is no explicit requirement to identify the beneficial owners of the legal person or legal arrangement while conducting simplified CDD. This is not in line with the standard as for simplified customer due diligence, even if verification of identity of the customer and its beneficial owners may take place after establishing the business relationship, the identity of the beneficial owners of account holders must still be established before commencing the business relationship. **Tanzania is recommended to ensure that while banks conduct simplified customer due diligence, the identity of the beneficial owners of the customer is always established.**

355. Section 16(1)(b) of the AML Act and regulation 8(c) require banks to conduct ongoing monitoring and ensure that customer and beneficial ownership information is **kept up to date** throughout the business relationship. The frequency of updating is determined on a risk basis, with higher-risk relationships being subject to more frequent review. Banks are required to carry out a periodic review of their customers' risk assessments. However, no specified frequency of updating CDD and updating beneficial ownership information is indicated either in the AML Act or in the regulations or in binding guidance, and banks are expected to update CDD based on their own risk-assessment of a customer. This could lead to situations where available beneficial ownership information on a customer is not up to date, in the absence of a requirement to update such information at a reasonable specified interval. During the on-site visit, representatives from banks confirmed that their internal policies provide for updating of CDD on a risk-sensitive basis and for higher risk customers, this is generally done annually. Further, as per BOT's directive, they re-examine the risk-ratings of their customers at least annually. The BOT indicated that while there is not specified frequency indicated in any guidance, there is a general expectation that banks update the CDD on all their customers at least once every three years. For banks that have a longer timeframe for updating CDD, the BOT identifies them for further follow up. It was not clear what further steps are taken by the BOT in such cases and if banks must change the timeframes in their internal policies. There are no specific documented supervisory guidance or BOT's instructions to banks to update CDD on all customer accounts at a specified frequency. Hence, **Tanzania is recommended to ensure that up-to-date beneficial ownership information on all account holders is available in line with the standard.**

356. Section 16(3) of the AML Act, read together with regulation 13 of the AML Regulations, allows banks to rely on **customer due diligence conducted by third parties** under strictly defined conditions. Banks may rely on another reporting person, an authorised professional, or a group member to perform

elements of CDD, provided that CDD information is obtained immediately; certified copies of identification documents are available without delay; the third party is subject to equivalent CDD and supervision standards; and the information relied upon is up to date. Notwithstanding such reliance, the ultimate responsibility for compliance remains with the bank. Where deficiencies are identified, banks must conduct CDD directly. This is in line with the standard. During the on-site visit, representatives from banks confirmed that despite these provisions, they conduct their own CDD in almost all cases. Exceptionally, where they consider relying on a third party, they ensure a memorandum of understanding exists with such third party to ensure compliance with the AML requirements.

### *Bank ceasing to exist*

357. The AML Act provides that where a reporting person closes business, it must submit all records (banking information noted at s. 17(1)(a) of the act) to the regulator (or the FIU if there is no regulator for such AML-obliged person) (proviso to s. 17(1) of the AML Act).

358. In the context of banks, this provision would imply that banks, prior to ceasing to exist, would be required to hand over all their banking information to their regulator – the BOT. In practice, the Deposit Insurance Board serves as the liquidator for banking institutions that are determined to be insolvent by the BOT (s. 41 of the BFIA). Consequently, the Deposit Insurance Board is responsible for the retention and maintenance of all physical and electronic records as required by law. The Tanzanian authorities explained that this would include all customer records, including CDD and beneficial ownership information.

359. In situations of a bank choosing to close operations voluntarily under section 51(1)(a) of the BFIA, it must seek the approval of the BOT under section 50. In such situations, it goes through the liquidation process with the appointed liquidator in-charge of holding all information under section 396 of the Companies Act (Tanzania Mainland).

360. There are no record retention requirements under Zanzibar's Companies Act, including when a company ceases to exist and given that one bank is incorporated in Zanzibar, Tanzania should monitor that there are suitable provisions for ensuring availability of all banking information if a bank incorporated in Zanzibar voluntarily ceases its operations (see Annex 1).

361. In practice, so far, the BOT oversaw the compulsory liquidation of three banks in 2018, and all the banking records were taken over by the Deposit Insurance Board in these cases.

### *Oversight and enforcement*

362. The BFIA, the AMLA and the AMLPOCA provide for sanctions and enforcement provisions for ensuring banks' compliance with obligations to maintain banking information and beneficial ownership information on all accounts.

363. Under the provisions of the BFIA, the BOT may impose administrative sanctions, and, in cases of wilful or serious violations, initiate criminal proceedings against responsible officers. Section 66(1) of the BFIA provides that a bank and every director and officer who is in default, shall be liable, upon conviction, to a fine not exceeding TZS 5 million (EUR 1 651) for each day the default or contravention continues. Further, section 67 empowers the BOT to prescribe and impose civil monetary penalties on any bank or related party that violates provisions of the act, its regulations, or any directive or circular issued thereunder or any condition imposed in writing in connection with the grant of any licence or any other request by the bank.

364. Under the AML Act, non-compliance with the requirements to establish and maintain banking information as required under section 17 can lead to imposition of administrative sanctions by the BOT or by the FIU (s. 21 read with regulation 29 of the AML Regulations, s. 14(a) of the AMLPOCA). These administrative sanctions include warning or caution not to repeat the conduct which led to non-compliance;

a reprimand; directive to take remedial action or to make specific arrangement to remedy the default; restriction or suspension of certain business activities; suspending a business licence; or suspension or removal from office of any member of staff who caused or failed to comply. Finally, section 33 provides general sanction for non-compliance with any provision of the AML Act. Upon conviction, sanctions ranging from TZS 100 million (EUR 33 333) to TZS 500 million (EUR 166 667) for individuals and at least TZS 500 million (EUR 166 667) for body corporates is prescribed.

365. The BOT has adopted a risk-based supervisory framework. Based on the information available from banks on their customer profile and internal policies to handle and mitigate risks from an AML perspective, banks are categorised into different risk categories based on which they are subjected to risk-based supervision. As of 2024, the BOT had the following categorisation of the 42 banks under its supervision:

### AML-risk categorisation of banks

| Risk level/rating | Number of banks |
|---|---|
| Low | 11 |
| Medium | 5 |
| Medium low | 25 |
| Medium high | 1 |
| **TOTAL** | **42** |

Source: Bank of Tanzania

366. The BOT carries out offsite monitoring as well as on-site examinations. Off-site monitoring involves examining banks' performance on an ongoing basis, together with reviewing their progress on implementation of various directives and/or recommendations from on-site examination reports. Each bank is assigned a specific officer of the BOT who is responsible for handling all correspondence from the assigned bank and review the correctness of the information submitted through various regulatory returns. The BOT has about 70 supervisory officers who handle the 42 banks and remain in constant interaction with the bank under their supervision.

367. The BOT conducted 33, 36 and 40 full-scope on-site examinations of banks and other financial institutions for the financial years 2022-2023, 2023-2024 and 2024-2025 respectively. Until 2024, the BOT used to undertake comprehensive full-scope supervision of banks, which included both prudential supervision as well as AML-supervision. The full-scope examinations covered the AML supervision under the "compliance supervision" aspect of the supervisory programme. Since 2024, AML compliance has been separated into dedicated supervisory inspections.

368. A full-scope on-site AML examination is a comprehensive regulatory and supervisory review carried out at a bank to assess whether it is fully complying with AML requirements. The examination covers review of the banks' AML risk assessments, policies and procedures, KYC and CDD policies and implementation, transactions monitoring, record keeping, compliance function, independent audit of the AML compliance programme, and training and awareness. During on-site examinations, the BOT supervisors examine the requirements for maintaining updated account, beneficial ownership and transaction records and retention of records. All banks in Tanzania are subject to an 18-month supervisory cycle, shortened to less than 12 months for high-risk institutions.

369. Compliance assessments for banks result in four ratings: strong, adequate, inadequate, and weak. During the review period, most inspected banks received an overall compliance rating of "adequate". However, six banks were found with instances of non-compliance. Four banks were directed to address the deficiencies identified, one was subjected to monetary sanctions, and another received a formal

warning. Tanzania has provided the following details of imposition of monetary sanctions pertaining to non-compliance noted in respect of AML obligations by banks:

### Sanctions imposed on banks for AML violations/deficiencies

| Period | Number of banks | Amount (EUR) |
|---|---|---|
| 2025-2026 | 1 | 15 380 |
| 2024-2025 | 6 | 48 700 |

Source: Bank of Tanzania

370. The types of deficiencies noted during the on-site examinations included inadequate internal AML policies and procedures; failure of the bank to maintain updated customers' KYC documents and information; failure to perform enhanced due diligence for high-risk customers; failure to conduct on-going due diligence; inadequate staffing; inadequate audit of the banks' AML compliance programme. Errant banks were directed to rectify the identified issues and submit follow-up reports. Tanzania has indicated that the identified issues must be rectified for banks to come out of continuing follow-up.

371. During the on-site visit, the BOT informed that in 2025 it issued a specific Circular to all banks to update the KYC on all their customers in line with the updated definition of beneficial owner under the AML Act. Representatives from banks indicated that they have been working on complying with the Circular, although full compliance was not yet achieved.

372. Overall, the risk-based supervisory programme implemented by the BOT is satisfactory. With the move to a dedicated AML full-scope examination programme in 2024, the BOT has prioritised AML compliance. However, this prioritisation with a focus on AML aspects in the supervisory activities is relatively recent. For the prior periods, sufficient details reflecting focused examination of AML aspects are not available. Hence, Tanzania should continue this new focused AML supervisory programme to ensure the availability of banking information in line with the standard (see Annex 1).

#### *Availability of banking information in EOIR practice*

373. During the review period, Tanzania did not receive any request for banking information.

# B Access to information

374. Sections B.1 and B.2 evaluate whether competent authorities have the power to obtain and provide information that is the subject of a request under an EOI arrangement from any person within their territorial jurisdiction who is in possession or control of such information, and whether rights and safeguards are compatible with effective EOI.

## B.1 Competent authority's ability to obtain and provide information

Competent authorities should have the power to obtain and provide information that is the subject of a request under an exchange of information arrangement from any person within their territorial jurisdiction who is in possession or control of such information (irrespective of any legal obligation on such person to maintain the secrecy of the information).

375. The Competent Authority has broad powers to obtain and provide information that is in possession or control of any person within Tanzania. The primary source of the powers is the Tax Administration Act (as revised in 2023) which also provides for relevant enforcement powers. The access powers can be exercised without being impeded by professional secrecy.

376. In the review period from 1 April 2022 to 31 March 2025, Tanzania received two EOI requests. The Competent Authority has processed one of these requests and is working on the other. As this volume is insufficient to allow assessment of the implementation of the access powers, reference is also made to requests received before that period. During the years 2017-2020, Tanzania had received 22 requests[35] from its treaty partners. Tanzania was able to access and provide the requested information, except in one case where the requested accounting information was on an inactive company and pertained to a period beyond retention period and was no longer available. Information requested pertained to ownership (two cases), accounting (four cases), banking (three cases) and other types of information. Some of the information requested (like tax registration number and income details) were already available with the TRA, while for other documents, the TRA used its access powers to obtain information from different information holders.

377. The conclusions are as follows:

### Legal and regulatory framework: In place

No material deficiencies have been identified in the legislation of Tanzania in relation to access powers of the competent authority.

### Practical implementation of the standard: Compliant

No issues in the implementation of access powers have been identified that would affect EOIR in practice.

[35] Tanzania counts requests based on the number of persons covered by the requests.

## *B.1.1 and B.1.2 Ownership, identity, banking and accounting information*

### *Accessing information generally*

378. The Minister of Finance of Tanzania is the Competent Authority for all exchange of information matters. The Competent Authority powers have been delegated to the Commissioner General of the TRA, whether the request relates to Tanzania Mainland or Zanzibar.[36]

379. In practice, the Large Taxpayers Department of the TRA carries out the EOI functions at the operational level. The provisions of the TAA give wide-ranging access powers to the delegated Competent Authority to obtain all types of information, by calling for it from information holders or through search and seizure operations. These access powers are available to the Competent Authority even outside of audit and tax investigation procedures and can be used for EOI purposes in both Tanzania Mainland or Zanzibar. The TAA 2023 applies to both Tanzania Mainland and Zanzibar in respect of tax laws which apply to both parts of Tanzania (s. 2).

380. Section 53(1) of the TAA 2023 empowers the Commissioner General to issue a notice to any person who may or may not be liable to tax and require such person:

- to produce any information prescribed in the notice
- to attend at the time and place stated in the notice for the purposes of being examined by the Commissioner General or by an officer authorised by the Commissioner General
- to produce any document in his/her control during the examination.

381. Information or documents requested by the Commissioner General or by an authorised officer of the TRA must be submitted by the information holder within 14 days of date of service of the notice. Tanzania has confirmed that this power can be exercised in circumstances where such information is held by any person acting in an agency or fiduciary capacity, including banks, nominees and trustees.

382. The Competent Authority also has the powers to carry out search and seizure operations. Section 51(1) of the TAA 2023 empowers the Commissioner General of the TRA or authorized tax officers to, without a prior notice, access any premises, documents, goods, vessels, vehicles, aircrafts or any other assets and obtain any documents in possession of any person and make copy and seize any document.[37]

383. The Competent Authority has the powers to interrogate any person under oath under section 109 of the TAA.

384. During the review period, the Tanzanian authorities did not need to invoke their access powers as they have not received any requests for ownership, accounting or banking information. However, in the past, Tanzanian authorities have generally gathered information through issuance of a notice under section 53. For domestic tax purposes, the powers under sections 51 and 53 are routinely used by the TRA officials for obtaining all types of information, including accounting information in respect of all relevant

[36]. Although there is a separate Minister responsible for Finance in Zanzibar, the Competent Authority powers have been delegated, for both Tanzania Mainland and Zanzibar, to the Commissioner General of the TRA who can use powers conferred under sections 51 and 53 of the TAA 2023 to access any information in Zanzibar required to answer EOI requests. The Act applies to both Tanzania Mainland and Zanzibar in respect of tax laws which apply to both parts of Tanzania (s. 2 and overview above). In addition, in respect of Zanzibar, the Commissioner of ZRA also has the powers to access all information available with any person in Zanzibar as per section 28 of TAPA of 2009.

[37] The tax authorities can make an extract or copy of any document to which access is obtained; seize any document; seize an asset to which access is obtained that contains or stores the document in any form; where a document is not available or a copy is not provided on request by a person having access to the document, seize an asset to which access is obtained the tax officer reasonably suspects contains or stores the document in any form.

entities and arrangements in Tanzania, regardless of whether they are taxable and registered with the TRA.

385. Information held by any other public authorities is also obtained through issuance of a notice. In addition, and in order to improve cooperation and ensure smooth flow of relevant information for tax purposes, the TRA has signed MOUs with more than 45 government agencies in Tanzania Mainland and Zanzibar.

386. Tanzanian authorities have confirmed that the tax authorities' access powers are not affected where the statutory retention period for the information has expired. These powers may still be exercised, and where the information remains available, it can be obtained. Non-compliance to a notice seeking information can be sanctioned (see paragraphs 394 to 396). However, where the information is no longer held due to the expiry of the retention period, the information holder cannot be sanctioned for non-availability of the requested information.

### *Accessing beneficial ownership information*

387. As discussed under A.1 and A.3, beneficial ownership on companies is available through the amended provisions of the Companies Act 2023 in the case of Tanzania Mainland and the amended provisions of the Companies Act 2013 for Zanzibar, as well as through the provisions of the respective AML laws of Tanzania Mainland and Zanzibar. Tanzanian authorities have informed that if the information is available with an AML-obliged person, powers under section 53 of the TAA should suffice to access such beneficial ownership information. If needed in situations of persisting non-compliance by the information holder, the Competent Authority can obtain such information through the powers of search and seizure under section 51 of the TAA.

388. Further, in Tanzania Mainland, the Competent Authority is explicitly provided access to the central beneficial ownership register held by BRELA, under the provisions of section 457 of the Companies Act 2023. Tanzanian authorities indicate that similar access will be available to the central beneficial ownership register planned to be implemented by the BPRA for Zanzibar entities under section 116A(2) of Zanzibar's Companies Act 2013.

389. Tanzania has not received any request for beneficial ownership information during the review period.

### *Accessing banking information*

390. In both Tanzania Mainland and Zanzibar, banking information is accessed like any other type of information through the tax administration's routine administrative powers conferred under the TAA. The Competent Authority would rely on section 53 to obtain banking information by issuing a notice to a bank to submit banking information within 14 days, failing which sanctions may apply on the bank (see paragraph 395). In practice, almost all banks are assessed under the Large Taxpayers Department of the TRA. The Department houses the EOI function and hence, for answering an EOI request for banking information, the Competent Authority would directly write to the head of the identified bank to obtain the information.

391. The Tanzanian authorities have informed that in respect of EOI requests for banking information, it would be preferable if the requesting jurisdiction were to specify the name of the bank or the SWIFT code of the bank and either the name of the account holder or the relevant account number. While there is nothing under Tanzanian law that prevents the TRA from seeking information based solely on an available account number, from a practical perspective, it could require more time to correctly identify the bank. Tanzania has explained that all 35 commercial banks are assessed to tax within the Large Taxpayers Department and the EOI unit would make a request to its auditors to check with each of the banks about the specified bank account number. This process may take some time. Tanzania has not received any

request for banking information during the review period, although in the past where banking information was requested, a notice was issued to the identified bank for providing such information. In these cases, more indicia were available in the request to identify the relevant bank.

### *B.1.3 Use of information gathering measures absent domestic tax interest*

392. All access powers available to the Commissioner General of the TRA can be used for gathering information regardless of domestic tax interest. Section 3 of the TAA defines "tax laws" and includes all international agreements concluded by Tanzania under section 7 of the Act. Section 7 of the TAA defines international agreements to mean any treaty or agreement that Tanzania has signed with a foreign government for the purpose of providing reciprocal assistance for the administration or enforcement of tax laws. Section 7 also provides that such international agreements are to take precedence over the tax law in respect of any conflicting provisions. Section 5 of the act provides that all the powers of the Commissioner General as provided by the TAA can be exercised in respect of any tax laws. This means that all the access powers of the Commissioner General can be applied for implementing Tanzania's international tax agreements.

393. In practice, Tanzanian authorities have informed that for the two requests received during this review period as well as the requests answered during the previous review period, information obtained and exchanged with treaty partners was not required for domestic tax purposes.

### *B.1.4 Effective enforcement provisions to compel the production of information*

394. For compelling the production of information, the TRA has sufficient enforcement provisions. The powers include the powers to search and seize all types of information in the possession of an information holder. Where a document is not available or a copy is not provided on request by a person having access to the document, section 51(1) of the TAA allows the tax authorities to seize an asset to which access is obtained that the tax officer reasonably suspects contains or stores the document in any form (see paragraph 382).

395. Further, the TAA provides for sanctions for any person who impedes or attempts to impede the administration of a tax law in Tanzania. If a person does not cooperate with the Competent Authority by not responding to a notice calling for information or not providing the information sought under sections 53 (notice calling for information) or 51 (search and seizure), the Competent Authority may invoke sanctions provided for under section 96 of the TAA. Section 96 provides that the offence of non-compliance with the notice under section 53 is to be viewed as "offence for impeding tax administration". Such an offender may be subjected to a penalty of an amount between TZS 200 000 to TZS 4 000 000 (approximately EUR 67 to EUR 1 333) or imprisonment of two to four years or both.[38] The same penalty applies to a bank or financial institution that refuses to comply with the notice to provide information to the Competent Authority.

396. In practice, for answering EOI requests, the Competent Authority did not have to use any of these enforcement powers during the review period since the access powers were not exercised. Enforcement actions were not needed for answering EOI requests even during the previous review period because the information holders complied with the notices sent by the TRA. The TRA has indicated that there is a general culture of compliance among taxpayers in respect of responding to notices from the TRA due to the impending penalties for non-compliance. Where needed in some cases, sanctions have been applied for its domestic tax audits and investigations.

[38] 10 currency points and 200 currency points. One currency point is equivalent to TZS 20 000 as provided for under the 2nd schedule to the Tax Administration Act, 2015 (amended by Finance Act 2024).

### *B.1.5 Secrecy provisions*

*Bank secrecy*

397. Tanzania's Banking and Financial Institutions Act (BFIA) 2006 provides for bank secrecy. Section 48 of the BFIA 2006 covers "Fidelity and Secrecy". It stipulates that every bank or financial institution must observe the practices and usages customary among bankers, and in particular, cannot divulge any information relating to its customers or their affairs. However, this general bank secrecy does not impede the ability of the Competent Authority to obtain and exchange banking information. Where divulging banking information is required for the administration of other laws like the Tax Law or AML law, banks are required to share such information with the enforcement authorities (s. 48(1) of BFIA). During the on-site visit, representatives from the banking sector confirmed that they always respond to the notices calling for information from the TRA officials and would do the same for any notice from the Competent Authority officials.

*Professional secrecy*

398. Tanzania authorities have indicated that although the relevant professional codes provide for professional secrecy, there are either suitable exceptions or such codes are subordinate to the tax legislation. Regulation 30 of the Advocate (Professional Conduct and Etiquette) Regulations, 2018 provides that advocates are required to keep the clients' information with strict confidentiality. The exceptions to the rule are in two circumstances – disclosure as allowed by the law or as expressly allowed by the client. The powers conferred under sections 53 and 51 of the TAA are sufficient to override these professional secrecy requirements.

399. As to professional accountants, their obligation to maintain professional secrecy is contained in section 24 of the Accountants and Auditors (Registration) Act and reiterated in their Code of Ethics. However, the professional confidentiality code is subordinate to tax legislation such that where the requirement to provide information for tax purposes comes into play, professionals are obliged to comply and provide any information required for tax purposes regardless of any applicable professional confidentiality or secrecy code.

400. During the on-site visit, representatives of the bar association, accountants and auditors confirmed that the access powers of the Competent Authority are not impeded in accessing information held by professionals on account of secrecy and they are obliged to comply with information gathering notices from the tax authorities. In practice, they have always complied to such notices in the context of domestic tax matters. During the review period, the Competent Authority did not have to rely on professionals to obtain the requested information.

## B.2 Notification requirements, rights and safeguards

> The rights and safeguards (e.g. notification, appeal rights) that apply to persons in the requested jurisdiction should be compatible with effective exchange of information.

401. Tanzania's legal framework does not provide for notification of the taxpayer for gathering information for exchange of information purposes. There are no specific appeal rights available to a taxpayer or an information holder to challenge the decision of the Competent Authority to exchange information.

402. In practice, the Tanzanian authorities never disclose the purpose of seeking the information to the information holder while seeking and obtaining information.

403. The conclusions are as follows:

## Legal and regulatory framework: In place

The rights and safeguards that apply to persons in Tanzania are compatible with effective exchange of information.

## Practical implementation of the standard: Compliant

The application of the rights and safeguards in Tanzania is compatible with effective exchange of information.

### *B.2.1 Rights and safeguards should not unduly prevent or delay effective exchange of information*

#### *Notification*

404. Tanzanian law does not require that the person who is the subject of a request for information be notified (i.e. person concerned by the investigation or inquiry in the requesting jurisdiction), neither prior to the exchange of information (prior notification) nor after it (time-specific post-exchange notification). This applies to both Tanzania Mainland and Zanzibar.

405. For the purposes of collecting information, the Competent Authority's EOI manual provides two types of template letters. Where the information is to be gathered through the local tax officers, the letter sent to the tax office indicates the EOI purpose as well as the requesting jurisdiction's name, the relevant article and the applicable EOI agreement. However, notices that are to be sent to gather information from the taxpayer concerned or any other third-party information holder only require quoting the relevant legal provision of the TAA (i.e. s. 53 of the TAA). There is no mention of the EOI purpose of the request, nor any indication of the requesting jurisdiction.

#### *Appeal rights*

406. In both Tanzania Mainland and Zanzibar, the law does not provide rights, to either the person who is the subject of a request or the person who holds the information, to appeal against the decision of the Competent Authority to exchange information.

407. Although judicial review of any action of the tax authorities (including the issuance of notice) is available to all persons, Tanzanian authorities have informed that this has never happened in the context of exchange of information. Judicial authorities, if convinced on merits, can potentially suspend exchange of information pending a decision on the review. While a court has the power to stay the processing of an EOI request, Tanzanian authorities are of the view that the appellant would be required to satisfy the court that the TRA had exceeded the powers provided under tax law.

# C Exchange of information

408. Sections C.1 to C.5 evaluate the effectiveness of Tanzania's network of EOI mechanisms – whether these EOI mechanisms provide for exchange of the right scope of information, cover all Tanzania's relevant partners, whether there were adequate provisions to ensure the confidentiality of information received, whether Tanzania's network of EOI mechanisms respects the rights and safeguards of taxpayers and whether Tanzania can provide the information requested in an effective manner.

## C.1 Exchange of information mechanisms

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|---|
| Exchange of information mechanisms should provide for effective exchange of information. |

409. Tanzania has signed 13 DTCs with Canada, Czech Republic, Denmark, Finland, India, Italy, Norway, Oman, South Africa, Sweden, Türkiye, Zambia and the United Arab Emirates. Of these, 11 DTCs are in force. The DTCs with the Czech Republic and Türkiye were signed recently and are not yet in force.[39]

410. Most of Tanzania's treaties were negotiated in the 1970s and do not contain the latest EOI provision as stated in the 2012 OECD Model DTC. Tanzania's DTCs with Finland, Italy, Norway, Sweden and Zambia do not explicitly state that "*the exchange of information is not restricted by Article 1*". According to Tanzania's interpretation, this means that information only in respect of residents of either of the Contracting States would be exchanged. Tanzania's updated EOI manual from 2025, while noting that information should be exchanged for all persons in general, emphasises that the old DTCs have limitations and exchange of information should be consistent with the provisions of those treaties. Hence, in respect of these five DTCs, information in respect of all persons will not be exchanged.

411. In addition to the bilateral DTCs, Tanzania is a signatory to the South African Development Community Agreement on Assistance in Tax Matters[40] (SADC Agreement) (see Annex 2). The SADC Agreement is in line with the standard but it is not in force. On its part, Tanzania has not ratified the agreement.

412. Tanzania has not yet signed the Multilateral Convention on Mutual Administrative Assistance in Tax Matters. Its application has been examined and cleared by the Coordinating Body for the Multilateral Convention.

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39 In respect of the DTC with the Czech Republic, Tanzania has completed its internal procedures and has notified the Czech Republic and is awaiting similar notification from the Czech Republic to put the agreement into force.

40 The SADC Agreement covers member states including Botswana, Democratic Republic of the Congo, Eswatini, Lesotho, Malawi, Mauritius, Mozambique, Namibia, Seychelles, South Africa, Tanzania and Zambia. The agreement shall enter into force thirty calendar days after two thirds of the Member States have submitted their instrument of ratification to the Executive Secretary of SADC. Member states that have submitted their instrument of ratification are Botswana, Eswatini, Lesotho, Mauritius, Namibia, Seychelles and South Africa.

413. As partners of Tanzania with deficient DTCs are also Parties to the Multilateral Convention or to the SADC Agreement, the issues identified in respect of the existing DTCs will be rectified by the entry into force of these instruments in Tanzania.

414. The conclusions are as follows:

## Legal and regulatory framework: In place, but certain aspects of the legal implementation of the element need improvement

| Deficiencies identified/ Underlying Factor | Recommendations |
|---|---|
| Tanzania's Double Taxation Conventions (DTCs) with Sweden, Finland, Italy, Norway and Zambia restrict exchange of information to persons covered by the relevant conventions, i.e. Article 1 of all these treaties makes their provisions only applicable to the residents of the respective states.<br>Tanzania's position is that it will exchange information only on residents of either of the Contracting States in respect of these DTCs. | Tanzania is recommended to ensure that all its EOI relationships provide for exchange of information in line with the standard. |
| Tanzania has not ratified the Southern African Development Community's Agreement on Assistance in Tax Matters signed on 18 August 2012, which provides for exchange of information with 11 jurisdictions, 9 of which are not covered by other EOI instruments signed and ratified by Tanzania. | Tanzania is recommended to work towards ratifying the regional EOI agreement that has been signed but has not yet been ratified so that the associated EOI relationships can come into effect at the earliest. |

## Practical implementation of the standard: Largely Compliant

| |
|---|
| No issues have been identified on the implementation in practice of the EOIR instruments. However, once the recommendations on the legal framework are addressed, Tanzania should ensure that they are applied and enforced in practice. |

### *Other forms of exchange of information*

415. Tanzania has stated that besides EOIR, it has received information spontaneously from some of its EOI partners during the review period. Further, Tanzania has requested and received industry-wide information from one treaty partner before the review period. Tanzania has not commenced the Automatic Exchange of Financial Account Information.

### ***C.1.1 Requirement of foreseeable relevance***

416. The standard for exchange of information envisages information exchange to the widest possible extent but does not allow speculative requests for information that have no apparent nexus to an open inquiry or investigation (i.e. "fishing expeditions"). Exchange of information mechanisms should allow for exchange of information on request where it is "foreseeably relevant" to the administration and enforcement of the domestic tax laws of the requesting jurisdiction.

417. All of the bilateral agreements entered into by Tanzania permit the exchange of information not only for carrying out the provisions of the Convention but also for the administration and enforcement of the domestic tax laws of the contracting states. The DTC with Zambia is worded slightly differently but still covers both aspects. It reads "*the taxation authorities of the Contracting States shall exchange such information, being information which is available under their respective taxation laws, as is necessary for the carrying out of the provisions of the present Convention or for the prevention of fraud or the administration of statutory provisions against legal avoidance in relation to the taxes which are the subject of this Convention*". The reference to the statutory provisions in this formulation refers to the domestic

provisions.[41] The multilateral mechanisms of SADC and EAC also permit the exchange of information for the purposes of administration and enforcement of the domestic tax laws of the contracting jurisdictions.

418. Out of the 13 DTCs entered into by Tanzania, only the three recent agreements with the Czech Republic, Türkiye and the United Arab Emirates use the term “foreseeably relevant” in the EOI article. All the rest of the DTCs use the term “as is necessary”. The SADC Agreement uses the term “relevant”. Tanzanian authorities have confirmed that this wording is in practice considered to carry the same meaning as the wording “foreseeably relevant”.

### *Clarifications and foreseeable relevance in practice*

419. The EOI manual mentions that while evaluating an incoming request or sending an outgoing request, foreseeable relevance is to be examined, and the request should not be fishing for information. Tanzania requires that the requesting jurisdiction provide sufficient information to demonstrate the foreseeable relevance of the information requested.

420. The requesting jurisdiction should be specific in its requests, like stating identity information details, transaction details, period of transactions and any other relevant information that will assist in gathering information in a timely and cost-effective manner to respond.

421. For practically examining the foreseeable relevance of incoming requests, the updated 2025 EOI manual provides guidance and relies on the Commentary to Article 26 of the OECD Model Tax Convention. Further, the authorities have indicated that in practice, they would also rely on the template for their outgoing requests to examine the foreseeable relevance of incoming requests. They will examine if the incoming requests suitably identify the subjects of the request, provide background to the tax investigation, indicate the information holder to the extent known, note the tax purpose of the request, indicate that all domestic means have been exhausted and provide reasons for believing why the information would be in Tanzania. Where any information is missing in this regard, clarifications will be sought. A template form exists for seeking clarifications from the treaty partner.

422. Tanzania has never declined any incoming request on grounds of foreseeable relevance.

### *Group Requests*

423. The EOI standard includes a reference to group requests in accordance with paragraph 5.2 of the Commentary to Article 26 of the OECD Model Tax Convention. The foreseeable relevance of a group request must be sufficiently demonstrated, and the information requested should help to determine compliance with tax obligations by taxpayers in the group.

424. Tanzania’s EOI agreements and legislation do not contain language prohibiting group requests. Tanzania interprets its agreements and domestic law as allowing to provide information requested pursuant to group requests in line with Article 26 of the OECD.

425. For most of the review period, the EOI manual did not mention anything on group requests to guide the officials on how to handle group requests and how to examine their foreseeable relevance. The updated 2025 EOI manual now includes a dedicated section on analysing the foreseeable relevance of group requests. Further, the template form (annex B.1 of the EOI manual), which deals with the information to be included in a request, explains the aspects that must be covered for a group request, i.e. the request must provide a detailed description of the group and the facts and circumstances that led to the request and provide an explanation of the applicable law and why there is reason to believe that the taxpayers in the

[41] Article 1 of the DTC with Zambia covers income tax, corporation tax, undistributed income tax and personal tax. Hence, relevant direct taxes are covered by the DTC and information for enforcement of domestic laws pertaining to direct taxes are covered.

group have been non-compliant with that law supported by a clear factual basis. The group request should demonstrate that the requested information would assist in determining compliance by the taxpayers in the group.

426. Tanzania has not yet received any group request and does not have experience handling such a request yet. Tanzanian authorities have explained that if they were to receive a group request, they would follow similar procedure of examining a group request as for a single request and would examine whether they meet foreseeable relevance relying on the guidance in the updated 2025 EOI manual.

### *C.1.2 Obligation to exchange information in respect of all persons*

427. The standard requires that exchange of information apply in respect of all persons and should not be restricted by tax residence or tax type considerations. In this regard, Article 26(1) of the OECD Model Tax Convention states that "the exchange of information is not restricted by Article 1" which defines the scope of persons covered by the convention.

428. Tanzania's DTCs with Canada, Czech Republic, Denmark, India, Oman, South Africa, Türkiye and the United Arab Emirates specifically state that the exchange of information is not constrained by Article 1 (on persons covered) of the relevant DTCs. Thus, the exchange of information would be in respect of all persons whose information may be available in Tanzania and not limited to residents of either Contracting States.

429. The five DTCs with Sweden, Finland, Italy, Norway and Zambia restrict exchange of information to persons covered by the relevant conventions, i.e. absence of the clause lifting the constraint of Article 1 of these treaties makes the exchange of information limited to the residents of the respective states.

430. Tanzania's updated 2025 EOI manual notes that "*Under the existing DTAs [DTCs], the EOI provision generally apply to all taxes and to any persons whether or not they are nationals or tax residents in line with the international standard. However, some old DTAs entered by the United Republic of Tanzania may contain limitations to the scope of taxes or persons covered or do not contain the exception for use for non-tax purposes".* Tanzania has explained that its position is to exchange all foreseeably relevant information consistent with the provisions of the DTC. Where the DTC does not provide a specific exception to Article 1, information will only be exchanged in respect of residents.

431. In view of the above, for requests made under the DTCs with Sweden, Finland, Italy, Norway and Zambia, Tanzania will exchange information only on residents of either or both states. **Tanzania is recommended to ensure that all of its EOI relationships provide for exchange of information in line with the standard.**

432. In practice, Tanzania has never received a request on a person that is not resident of either contracting state.

### *C.1.3 Obligation to exchange all types of information*

433. Pursuant to the standard, bank secrecy cannot form the basis for declining a request to provide information. Similarly, a request for information cannot be declined solely because the information is held by nominees or persons acting in an agency or fiduciary capacity or because the information relates to an ownership interest. In addition, jurisdictions must use their information gathering measures even though invoked solely to obtain and provide information to the other contracting party.

434. Tanzania can exchange all types of information under its EOI mechanisms. Most of Tanzania's DTCs do not contain Article 26(5) of the OECD Model Tax Convention, except for the updated DTC with India, the more recent DTCs with the Czech Republic, Türkiye and the United Arab Emirates and the SADC Agreement (Article 4(4)). Nevertheless, the absence of this language in a DTC does not automatically create restrictions on exchange of information. The commentary to Article 26(5) indicates that while

paragraph 5, added to the OECD Model Tax Convention in 2005, represents a change in the structure of the Article, it should however not be interpreted as suggesting that the previous version of the Article did not authorise the exchange of such information. Tanzania authorities have confirmed that regardless of the absence of paragraph 5 in the EOI articles of their DTCs, they would obtain and exchange all types of information as nothing in their tax laws prevents this.

435. The exchange of bank information in the absence of language akin to the Article 26(5) of the OECD Model Tax Convention in respect of the DTCs is ordinarily subject to reciprocity and depends on the domestic limitations (if any) in the laws of the treaty partners. The legislation of all partners but Zambia has been assessed as in compliance with the standard on these aspects. Zambia is a new member of the Global Forum (since 2024) and is yet to be reviewed by the Global Forum. Tanzania has, nevertheless, confirmed that it would apply a broad interpretation and will exchange all available foreseeably relevant information regardless of reciprocity on this aspect.

436. In respect of 12 out of the 13 DTCs, the EOI article requires the exchange of "*such information as is necessary [foreseeably relevant] for carrying out the provisions of this Agreement or [to the administration or enforcement] of the domestic laws concerning taxes of every kind and description imposed on behalf of the Contracting States.*"[42] This means that Tanzania would exchange all information that is requested by the treaty partner that may be relevant for the purposes of the partner's domestic tax laws.

437. Only the DTC with Zambia has some restriction on the type of information that can be exchanged. The DTC with Zambia restricts the EOI article to read as "*the taxation authorities of the Contracting States shall exchange such information, being information which is available under their respective taxation laws*". Tanzania has confirmed that it will adopt a broad interpretation and will exchange all available foreseeably relevant information, including beneficial ownership and banking information, by using the Competent Authority's access powers to obtain it for EOI purposes.

### *C.1.4 Absence of domestic tax interest*

438. The concept of "domestic tax interest" describes a situation where a contracting party can only provide information to another contracting party if the requested jurisdiction has an interest in the requested information for its own tax purposes. A refusal to provide information based on a domestic tax interest requirement is not consistent with the standard. EOI partners must be able to use their information gathering measures even when invoked solely to obtain and provide information to the requesting jurisdiction for use solely by that jurisdiction.

439. Only the DTCs with Canada, the Czech Republic, India, Türkiye and the United Arab Emirates, and the SADC Agreement have text equivalent of Article 26(4) of the OECD Model Tax Convention, which obliges the contracting party to use its access powers to obtain and provide information to the requesting jurisdiction even in cases where it does not have a domestic tax interest in the information requested. In respect of other DTCs, Tanzanian authorities have informed that the absence of paragraph 4 does not prevent the Tanzanian Competent Authority from using the available access powers to obtain and provide the sought information.[43] Tanzania's EOI mechanisms do not require the presence of domestic tax interest. Tanzanian authorities interpret the EOI article broadly.

42 Some variation exists across the DTCs. The DTCs with the Czech Republic, Türkiye and the United Arab Emirates use the terms in square brackets.

43 The commentary in the Model convention indicates that while paragraphs 4 and 5 of Article 26, added to the Model Tax Convention in 2005, represent a change in the structure of the Article, they should not be interpreted as suggesting that the previous version of the Article did not authorise the exchange of such information.

440. The domestic law in Tanzania does not require the presence of domestic tax interest for the exercise of information gathering powers to respond to incoming requests. The updated 2025 EOI manual does not require examining domestic tax interest while handling an incoming request and confirms the position of the Tanzanian authorities that information should be gathered and exchanged regardless of any domestic tax interest.

441. The Global Forum reviews of Canada, the Czech Republic, Denmark, Finland, India, Italy, Norway, Oman, South Africa, Sweden, Türkiye and the United Arab Emirates indicate that the laws of these partners conform to the standard in this respect. Zambia is a recent member of the Global Forum. Its legislation has not yet been reviewed, and no information is available about the competent authority's powers to access information for EOIR purpose. Nevertheless, Tanzania has confirmed that it will not apply strict reciprocity and will always exchange available foreseeably relevant information regardless of domestic tax interest.

### *C.1.5 and C.1.6 Exchange of information for civil and criminal tax matters and unnecessity of dual criminality*

442. The standard requires that exchange of information mechanisms provide for exchange of information in both civil and criminal tax matters and should not apply dual criminality principles to restrict exchange of information.

443. Tanzania's DTCs with all partners (with minor variations) state that "*the Contracting States shall exchange such information as is necessary for the carrying out of this Convention and of the domestic laws of the Contracting States…*". Thus, in all cases, the exchange of information is permitted for carrying out the provisions of the convention as well as of the domestic tax provisions of the Contracting States, either for civil or criminal purposes. If information is needed in respect of enforcing domestic criminal proceedings in tax matters by the requesting jurisdiction, Tanzania would be able to provide such information.

444. None of the DTCs require dual criminality as a pre-requisite for exchanging information pertaining to criminal tax matters. Such requirement does not exist under Tanzania's domestic law either. This means that Tanzania is able to exchange information with a treaty partner in criminal tax matters regardless of whether Tanzania treats such tax violation as criminal or not, provided reciprocity is ensured, which is not established with Zambia (see C.1.4 above).

445. In practice, the two requests sent to Tanzania during the review period related to civil tax matters. Tanzania confirmed that prior to the review period, one request pertaining to criminal tax investigation was received and duly processed and answered.

### *C.1.7 Provision of information in specific form requested*

446. In some cases, a contracting party may need to receive information in a particular form to satisfy its evidentiary or other legal requirements. Such formats may include depositions of witnesses and authenticated copies of original records. Contracting parties should endeavour as far as possible to accommodate such requests. The requested party may decline to provide the information in the specific form requested if, for instance, the requested form is not known or permitted under its law or administrative practice. A refusal to provide the information in the form requested does not affect the obligation to provide the information.

447. There are no restrictions in any of the EOI instruments signed by Tanzania on the provision of information in any specific form requested. Tanzania authorities have confirmed that if information were required in any specific form, they would usually be able to provide it as requested.

### *C.1. 8 and C.1.9 Signed agreements should be in force and be given effect through domestic law*

448. Exchange of information cannot take place unless a jurisdiction has exchange of information agreements in force. The standard requires that jurisdictions take all steps necessary to bring into force signed EOI agreements expeditiously. In addition, for information exchange to be effective, the parties to an exchange of information arrangement may need to enact any legislation necessary to comply with the terms of the arrangement.

449. Tanzania's procedure for signing an agreement and giving it effect through domestic law is dependent upon the provisions of the agreement itself. The Constitution of Tanzania provides for a requirement to table concluded international agreements before the Parliament if the articles thereof demand so. Tanzania's current DTCs do not have an express requirement for them to be passed through Parliamentary procedures to bring them into force. Hence, in respect of DTCs, the procedure is simplified. The negotiated DTC is sent by the Ministry of Finance to the Attorney General for vetting and/or opinion. Thereafter, the Ministry for Finance receives the opinion and informs the Cabinet of the DTC and the received opinion. If approved by the Cabinet, the Diplomatic Note is communicated by the Ministry of Foreign Affairs to the other Contracting State of completion of the procedures to bring the agreement into force. In respect of multilateral agreements, Tanzania again follows the articles of the agreement. If there is no express requirement for parliamentary ratification, both options – ratification through Cabinet approval or Parliamentary process are available and a decision is taken on a case-by-case basis.

450. Eleven out of the 13 bilateral agreements signed by Tanzania are in force. Most of Tanzania's DTCs were signed in the 1970s. For the most recent four DTCs signed by Tanzania (Oman, the United Arab Emirates and the Czech Republic), two (with Oman and the United Arab Emirates) entered into force respectively 4 and 19 months after signature. The DTC signed with the Czech Republic, which is yet to enter into force, was signed less than a year ago. On its part, Tanzania has completed all its internal processes to bring this agreement into force and is waiting for the process to be completed by the Czech Republic. The DTC with Türkiye is very recent. Overall, the time taken to bring DTCs into force has been reasonable.

451. Tanzania has also signed the SADC Agreement on 18 August 2012 but has not deposited its instrument of ratification. Signing but not ratifying the instrument affects the establishment of EOI mechanisms. The SADC Agreement can come into effect only when two-thirds (8 out of 12) of the members have ratified and deposited their instruments of ratification to the coordinating body of the SADC. So far, seven members have already deposited their instruments of ratification. In this regard, Tanzania's ratification may lead to entry into force of the instrument. Even otherwise, it is important that Tanzania does what is required to bring the agreement into force by completing its role as a party to the agreement. **Tanzania is recommended to work towards ratifying the regional EOI agreement that has been signed but has not yet been ratified so that the associated EOI relationships can come into effect at the earliest.**

### EOI mechanisms

| Total EOI relationships, including bilateral and multilateral or regional mechanisms[44] | | 22 |
|---|---|---|
| In force | | 11 |
| | In line with the standard | 6 |
| | Not in line with the standard | 5* |
| Signed but not in force | | 11** |
| | In line with the standard | 11 |
| | Not in line with the standard | 0 |
| **Total bilateral EOI relationships not supplemented with multilateral or regional mechanisms** | | **11** |
| In force | | 9 |
| | In line with the standard | 5 |
| | Not in line with the standard | 4*** |
| Signed but not in force | | 2**** |
| | In line with the standard | 2 |
| | Not in line with the standard | 0 |

Notes: *Sweden, Finland, Italy, Norway, Zambia
** Botswana, Democratic Republic of Congo, Czech Republic, Eswatini, Lesotho, Malawi, Mauritius, Mozambique, Namibia, Seychelles, Türkiye
***Sweden, Finland, Italy, Norway
**** Czech Republic and Türkiye

## C.2 Exchange of information mechanisms with all relevant partners

> The jurisdiction's network of information exchange should cover all relevant partners, meaning those jurisdictions who are interested in entering into an information exchange arrangement.

452. Tanzania has a small treaty network comprising 13 DTCs, all of which are with Global Forum Members (Canada, Czech Republic, Denmark, Finland, India, Italy, Norway, Oman, South Africa, Sweden, Türkiye, the United Arab Emirates and Zambia). Tanzania is a signatory to the SADC Agreement on Assistance in Tax Matters signed on 18 August 2012 covers taxes administered by TRA and ZRA. However, the SADC Agreement has not yet been ratified by Tanzania and is not yet in force.

453. Tanzania is not yet a signatory of the Multilateral Convention. Its formal request to the Coordinating Body in this regard has been accepted and Tanzania has recently been invited to sign the Multilateral Convention.

454. The standard requires that jurisdictions establish an EOI relationship up to the standard with all partners who are interested in entering into such relationship. At the time of the Phase 1 review, one Global Forum member had indicated having approached Tanzania in November 2018 with a request to sign a TIEA. However, Tanzania indicated to the peer that they have never entered into a TIEA but expressed readiness to start negotiations on other mutual areas of cooperation. It is unclear what was envisaged but the peer indicated that Tanzania's response reflected unwillingness to enter into a TIEA. Tanzania

[44] In addition to these EOI mechanisms, together with Burundi, Kenya, Rwanda and Uganda, Tanzania was a signatory to the East African Community (EAC) Multilateral DTC which was signed on 30 November 2010. The agreement would enter into force once all members completed the notification procedure to give effect to the agreement. While Kenya, Rwanda and Uganda completed the procedures for their respective jurisdictions, Tanzania did not do so. The agreement has been renegotiated in 2023, and the new agreement is yet to be signed. Tanzania does not intend to ratify the earlier agreement and has indicated that it will wait for signing and ratifying the renegotiated new agreement. Hence, the earlier EAC agreement from 2010 is not counted in the EOI mechanisms of Tanzania.

informed that the request for TIEA from the peer was put on hold to avoid duplication of efforts, given that Tanzania was considering signing the Multilateral Convention, which would lead to establishing an EOI relationship with the peer. Tanzania's decision to decline entering into an EOI relationship with an interested partner on the grounds that the process for signing the Multilateral Convention was envisaged amounted to a refusal in establishing an EOI relationship with a relevant partner. Accordingly, a recommendation was issued to Tanzania to ensure that its EOI treaty network cover all relevant partners.

455. In its peer input for this report, the same peer referred to its previous request in 2018 for a TIEA and indicated that no progress had been made since then. In February 2026, Tanzania had a bilateral meeting with the peer and informed it of the progress Tanzania has made to become a party to the Multilateral Convention. The peer confirmed that it welcomed Tanzania's efforts in this regard. Both jurisdictions concluded that it would not be necessary to resume negotiations for a bilateral TIEA, given the forthcoming availability of the Multilateral Convention as a basis for future exchange of information.

456. Since the peer has agreed to not seek bilateral negotiations on a TIEA on the basis that Tanzania is likely to become a party to the Multilateral Convention soon, Tanzania should ensure that it signs and puts the Multilateral Convention into force at the earliest (see Annex 1).

457. Tanzania continues to negotiate DTCs. Four DTCs were signed recently (with Czechia, Oman, Türkiye and the United Arab Emirates) and two of them entered into force (Oman and the United Arab Emirates). Further, Tanzania was approached by a further 12 jurisdictions for negotiating DTCs. Tanzania has indicated that the negotiations are concluded for six of them and are progressing with the other six jurisdictions.

458. Since the standard requires that a jurisdiction enter into EOI agreements with all relevant partners, being those that are interested in having an EOI mechanism in place, Tanzania should continue to conclude EOI agreements with any new relevant partner who would so require (see Annex 1).

459. The conclusions are as follows:

### Legal and regulatory framework: In place

| |
|---|
| The network of information exchange mechanisms of Tanzania covers all relevant partners. |

### Practical implementation of the standard: Compliant

| |
|---|
| The network of information exchange mechanisms of Tanzania covers all relevant partners. |

## C.3 Confidentiality

> The jurisdiction's information exchange mechanisms should have adequate provisions to ensure the confidentiality of information received.

460. Tanzania's legal framework provides for confidentiality of all tax information including tax information exchanged under international agreements, which prevail over anything contrary under domestic tax law. Sanctions and penalties can be imposed on employees as well as third party contractors in case of any violation of confidentiality provisions. Physical and information technology security measures are in place and suitable information system management policies exist across the TRA for ensuring confidentiality of all exchanged information.

461. The conclusions are as follows:

### Legal and regulatory framework: In place

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|---|
| No material deficiencies have been identified in the EOI mechanisms and legislation of Tanzania concerning confidentiality. |

### Practical implementation of the standard: Compliant

| |
|---|
| No material deficiencies have been identified and the confidentiality of information exchanged is effective. |

## *C.3.1 Information received: Disclosure, use and safeguards*

#### *Confidentiality provisions in domestic legal framework and EOI instruments*

462. Tanzania's legal framework and DTCs provide for confidentiality provisions to protect all tax information, including exchanged information. Section 21 of the TAA requires that a person who is or was employed by the TRA must treat as confidential all information and documents in connection with any tax law that came into his/her possession or knowledge due to his/her employment or engagement with the TRA. This provision is wide enough to apply to all employees (existing as well as after termination of employment) and contractors. Section 3 of the TAA includes all international agreements entered into by Tanzania under the ambit of tax law. Thus, all information received or exchanged under international agreements is to be kept confidential.

463. Certain exceptions are permitted in respect of the general confidentiality of all taxpayer information under the domestic law. Section 21(2) permits disclosure of tax information to i) a person employed with the TRA in the performance of his/her employment or engagement, ii) for the purposes of tax law, iii) authorised by the Commissioner General, or iv) before a tribunal or court. Further, section 21(3) permits the disclosure of tax information tori) the Minister of Finance, ii) an employee of the revenue or statistical department of Tanzania Mainland or Zanzibar, iii) the Comptroller and Auditor General or any person authorised by the Comptroller and Auditor General for the performance of official duties, or iv) the Competent Authority of a foreign jurisdiction with which Tanzania has an international agreement to the extent permitted by such international agreement.

464. Tanzanian authorities have informed that notwithstanding the exceptions to the confidentiality provision under section 21(3) of the TAA the information obtained from foreign jurisdictions by way of EOI cannot further be disclosed to other Government Authorities without the consent of the Competent Authority of the EOI Partner. This position results from section 7 of the TAA which states that the provisions of the treaty override Tanzania's domestic law in case of any conflict.

465. There could be situations where the information needs to be gathered from Zanzibar and the relevant information is available in respect of Non-Union taxes governed by the ZRA. In respect of such situations, confidentiality is also ensured through the provisions of the TAPA. Section 30 of TAPA of 2009 (Disclosure of Information) requires confidentiality to be observed by ZRA staff and unauthorised disclosure of taxpayers' information is strictly forbidden. Further, section 13 of ZRA Act and ZRA Staff Regulations 2002 require any person employed in carrying out the provisions of the act and regulations to maintain secrecy when dealing with all documents and information and to ensure any unauthorised person does not gain access to the information. Tanzanian authorities have informed that these provisions apply even to ex-ZRA staff.

466. Each of Tanzania's DTCs specifies that the information received by the Contracting State is to be considered secret. Only the DTCs with India and Czech Republic permit the use of exchanged information for non-tax purposes, subject to prior authorisation of the state supplying the information. In the period under review, Tanzania reported that there were no requests where the requesting partner sought Tanzania's consent to utilise the information for non-tax purposes and similarly Tanzania did not request its partners to use information received for non-tax purposes.

467. While the above holds true in general, there remains a practical consideration. The TRA is an integrated revenue agency that also administers the customs law (East African Community Customs Management Act). This act is excluded from the definition of tax law for the purposes of the TAA. However, section 21(2)(i) provides an exception from confidentiality to share information with officials employed by the TRA. Considering this provision, a tax auditor might inadvertently share information received under an EOI mechanism with his/her colleagues handling customs functions for customs purposes under the impression that tax information can generally be shared with other employees of the TRA. This would constitute a non-tax use of exchanged information under the standard. While the EOI manual provides guidance to tax auditors on aspects of confidentiality in relation to the information received under Tanzania's international EOI instruments, it does not explicitly alert the auditors to ensure that any sharing of information with even TRA officials (where they are assigned to customs functions) should be strictly in accordance with the provisions of the relevant EOI instrument. While in practice, given the low volume of incoming and outgoing requests (see Element C.5) potentially due to its relatively small treaty network, there has been no instance of sharing of exchanged information with customs officials, there is a risk that with increased EOI (for instance, once Tanzania becomes a party to the Multilateral Convention), such situations could occur. Hence, Tanzania should ensure that any sharing of exchanged information with officials of the Tanzanian Revenue Authority deployed in customs functions takes place in accordance with the provisions of the relevant treaty under which such information has been received (see Annex 1).

### *Access to tax information by citizens*

468. The Access to Information Act 2016 applies to Mainland Tanzania and provides Tanzanian citizens the right to access all information held by public authorities and by private bodies that utilise public funds or are in possession of information that is of significant public interest. Nevertheless, section 6(2)(i) provides for exemption in respect of information that is likely to undermine international relations of the United Republic of Tanzania, and section 6(2)(iii) exempts provision of such information that would undermine lawful investigations being conducted by a law enforcement agency.

469. Based on these provisions, Tanzanian authorities consider that all tax information held by the tax authorities would be exempt from the provisions of the Access to Information Act. No exchanged information under Tanzania's EOI instruments, including the EOI file would be accessible to Tanzanian citizens.

470. In practice, Tanzania has not had an instance where a taxpayer or a third party sought access to a tax file or an EOI file. Even in respect of domestic cases, the TRA has never granted access to the tax file to any taxpayer or a third party. For domestic audits and investigations, only the relevant information having a direct bearing on the assessed tax is shared with the taxpayer to grant it an opportunity to respond.

### *Sanctions for confidentiality breaches*

471. TRA can impose penalties on its staff and service providers who may in any way get involved in confidentiality breaches. The TRA Staff Regulations 2016 provide for termination of employment or service contract and/or prosecutions before the court of law where upon conviction imprisonment penalty may be given to a person responsible with confidentiality breach. Tanzanian authorities have informed that the provisions of section 93 of the TAA 2023[45] would apply even to ex-TRA staff who continue to be bounded by the confidentiality provisions of section 21(1) of the TAA.

472. In Zanzibar, disciplinary measures for breach of confidentiality may be taken consistent with the first schedule of the Public Service Act No. 2 of 2011. These include warnings of different degrees of

[45] This general penalty section prescribes a fine of 10 to 20 currency points (TZS 200 000 (EUR 65) to TZS 400 000 (EUR 130)) for any offence under the TAA 2023.

severity (verbal, written, reprimand, severe reprimand), deduction of salary, suspension, demotion, termination of employment or dismissal from service.

### *C.3.2 Confidentiality of other information*

473. All the other information[46] received from a treaty partner's competent authority is considered to be sensitive and confidential and is protected from disclosure by the secrecy provisions protecting tax information. All EOI related communications between Tanzania and other jurisdictions are made adhering to the confidentiality as required by the law, regulations and international standards.

474. All communications are treated as strictly confidential and cannot be disclosed to any person except during court proceedings pertaining to tax matters where the TRA may need to rely on such information for arguing its case using the communications as evidence. This is in line with the standard.

475. While gathering information to answer incoming requests, the template notices mention minimal details. Only the information sought from the information holder and the relevant empowering sections from the TAA are quoted while seeking the information. It is not mentioned that the information is required for EOI purposes. The name of the requesting jurisdiction is also not mentioned.

### *Confidentiality in practice*

476. Tanzanian authorities have informed that in practice, measures are in place to ensure the confidentiality provisions are implemented. At the time of recruitment or engagement, all employees and contractors are subjected to thorough background investigation to obtain all essential facts concerning them and ultimately determine their suitability to provide service to the TRA and ZRA. For TRA employees, the background checks process is done in accordance with regulations 44 and 45 of the TRA Staff Regulations. For ZRA, the verifications or personal background checks are independently carried out as required under section 78(2)(d) of the Public Service Act No. 2 of 2011. Upon completion of the recruitment process all individuals recommended to be employed by the TRA are mandatorily required to take an oath of secrecy binding the recruited officials to treat as secret and confidential whatever information they would come across with in the course of discharging their duties. Therefore, all EOI staff as well as officials outside EOI who may be involved in the handling of exchanged or received information are required to take this oath and are bound to conduct themselves strictly in adherence to their oaths.

477. Tanzanian authorities have informed that all newly recruited staff and contractors are usually subjected by TRA and ZRA to mandatory induction program immediately after being employed or engaged so as to familiarise them with work ethics in general and confidentiality standards in particular. Further, existing staff are regularly reminded through official Circulars or through awareness seminars (typically conducted at least once every financial year) to continue observing their oath of secrecy and to strictly comply with confidentiality requirements while executing their daily employment responsibilities. While there is a general level of awareness on confidentiality of tax information, there remains a need to raise such awareness among tax auditors within the TRA in the specific context of treaty exchanged information and ways to ensure its confidentiality (see paragraph 508). For any external contractors, awareness on confidentiality is provided in the sessions convened as part of standard contract management activities.

478. Further, dedicated EOI staff have been adequately trained through various EOI related training workshops and seminars organized locally and internationally by organisations such as the Global Forum, African Tax Administration Forum, and the East African Community where confidentially has been one of the subjects well covered in the said trainings. Tanzanian authorities have expressed confidence that as a

[46] "other information" refers to all requests for information, background documents to such requests, and any other document reflecting such information including communications between the requesting and requested jurisdictions and communications within the tax authorities of either jurisdiction.

result of these trainings, these staff are well informed on not only the importance of confidentiality but also on how to practice it when executing daily EOI related activities.

479. Adequate physical security measures are in place. The multi-storey building in which the EOI unit is housed has a registration desk where all visitors must register. Security measures are in place to govern access to the building. CCTV cameras are in place at multiple points all over the building. The EOI unit is housed within the Large Taxpayers Department of the TRA which is at a high floor. Access to the floor is controlled by biometric access and has a registration desk where visitors must register and are issued a visitor card.

480. The EOI unit office is a segregated space on the work floor. Only the EOI unit staff has access to the workspace. The access is controlled biometrically. Clean desk policy is in place. Secure storage units are provided. Considering the low volume of requests, the staff with EOI responsibility are engaged in other functions in the international taxation department. Tanzania has explained that whenever there is any EOI matter pertaining to incoming or outgoing requests, the assigned officials are mandated to come to this dedicated workspace and carry out their functions.

481. All correspondences involving letter mails are exclusively made by the EOI office staff where copies are maintained in confidential files kept in locked filing cabinets located in the secured EOI office which strictly cannot be accessed by unauthorized persons. Further email communications are made through a secured and dedicated EOI email address which is exclusively accessed and used by EOI office staff.

482. The Information and Communications Technology Department of the TRA is overall responsible for cyber security and information systems management policies. All staff have been issued dedicated laptops. The TRA's tax network is accessible only from within the TRA premises. Officials may access the tax network through VPN on a case-by-case approval basis. External storage devices and flash drives are not permitted and disabled on all staff laptops. Access to social media is prohibited from the TRA network. However, there are no limitations on accessing personal emails and cloud storage facilities. Access by the EOI staff to such websites is not explicitly logged or tracked. While all TRA officials are covered by confidentiality obligations and staff are generally aware of this, Tanzania should mitigate the risks associated with access to public emails and cloud storage sites in respect of the staff engaged in exchange of information and put suitable controls in place (see Annex 1).

483. While an incident management framework exists to carry out examinations, investigation and internal reporting to the higher management, a dedicated breach management policy pertaining to exchange of information is not yet in place. In case of a data breach that compromises exchanged information, there is no guidance in the EOI manual or a dedicated policy document that guides the steps to be taken, including alerting any affected treaty partner and the Global Forum Secretariat. Tanzania should put in place a breach management policy to suitably handle and communicate with relevant stakeholders in cases of any data breaches (see Annex 1).

484. In respect of departure of employees, there is a provision for an exit interview as a part of which departing employees are reminded of their continued confidentiality obligations. All TRA assets must be surrendered prior to departure. Access to official emails is discontinued and all past emails are archived and stored on TRA servers. During the review period, two requests from a treaty partner sent to the email address of the previous Commissioner General after his departure were not compromised in respect of confidentiality and were securely stored on the TRA servers and are retrievable.

## C.4 Rights and safeguards of taxpayers and third parties

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|---|
| The information exchange mechanisms should respect the rights and safeguards of taxpayers and third parties. |

485. The standard allows requested parties not to supply information in response to a request in certain identified situations where an issue of trade, business or other secret may arise. Among other reasons, an information request can be declined where the requested information would disclose confidential communications protected by the attorney-client privilege. However, communications between a client and an attorney or other admitted legal representative are, generally, only privileged to the extent that, the attorney or other legal representative acts in his/her capacity as an attorney or other legal representative.

486. All of Tanzania's EOI relations allow for an exception to the obligation to provide the requested information similar to the exemption in Article 26(3) of the OECD Model Tax Convention. As discussed in section B.1.5, the scope of protection of information covered by this exception in Tanzania's domestic law is consistent with the standard.

487. Tanzania's most recent DTC with Türkiye includes an exception from sharing information that is covered by professional secrecy under the domestic laws of a Contracting State at paragraph 5 of the EOI Article. The professional secrecy provisions in Tanzania are in line with the standard. Türkiye is a member of the Global Forum and its professional secrecy provisions have been assessed to be in line with the standard. Hence, the DTC will allow exchange of all foreseeably relevant information in line with the standard.

488. The conclusions are as follows:

### Legal and regulatory framework: In place

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|---|
| No material deficiencies have been identified in the information exchange mechanisms of Tanzania in respect of the rights and safeguards of taxpayers and third parties. |

### Practical implementation of the standard: Compliant

| |
|---|
| No material deficiencies have been identified in respect of the rights and safeguards of taxpayers and third parties. |

## C.5 Requesting and providing information in an effective manner

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|---|
| The jurisdiction should request and provide information under its network of agreements in an effective manner. |

489. At the time of the 2021 Report, Tanzania had received 22 requests over the last three years. Timeliness of responses was not optimal for these requests. For requests not answered within 90 days, status updates were not provided systematically to all treaty partners. Moreover, some peers had indicated issues pertaining to communication with the Tanzanian Competent Authority. One issue that led to difficulties in communication was the lack of accurate updated contact details of the Competent Authority on the Global Forum's Competent Authorities database. Tanzania updated the contact details during the course of its Phase 1 peer review. These issues were discussed in the Phase 1 report, but recommendations were not issued as examination of effectiveness of exchange was deferred to Phase 2.

490. During the review period for this report, Tanzania received only two requests and sent four requests. The two incoming requests were identified through peer input as the issue of not having updated contact information persisted. There was a change of Commissioner General of the Tanzanian Revenue Authority in June 2024, and a treaty partner sent its two requests during 2024 and did not receive a response. Upon being alerted of this, Tanzania reached out to the treaty partner, sought resubmission of the requests and has responded to one request and is working to obtain and provide the requested information in the second case. Tanzania updated the Global Forum Competent Authority database in January 2026 by providing contact details of the current Competent Authority, provided more contact details of other officials within the EOI office and provided a generic email address for all future EOI correspondence. Given the persistent challenges faced by peers on communication aspects, Tanzania is recommended to ensure smooth communication with treaty partners and take appropriate measures to keep them updated of any changes to the contact details of the Competent Authority.

491. A comprehensive updated EOI manual is in place and the EOI function is suitably organised. While the organisation and allocation of resources to the EOI function is sufficient considering the limited volume of EOI requests so far, Tanzania should anticipate the resources needed to handle a possible increased volume of requests (if Tanzania becomes a party to the Multilateral Convention). While during the current review period Tanzania has had only two requests, prior to the review period, at the time of the Phase 1 review, Tanzania had received 22 requests. The timeliness of responding to requests was not optimal at that time. Hence, Tanzania is recommended to monitor the practical implementation of its EOI organisational processes and resources to ensure their effectiveness at all times in practice.

492. The conclusions are as follows:

## Legal and regulatory framework

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|---|
| This element involves issues of practice. Accordingly, no determination has been made. |

## Practical implementation of the standard: Largely Compliant

| Deficiencies identified/ Underlying Factor | Recommendations |
|---|---|
| It has happened several times that the EOI request of a partner does not reach the competent authority of Tanzania because the contact details available to partners were outdated.<br>The delays in ensuring contact information of the Competent Authority for EOIR purposes is up to date and treaty partners are aware of any changes to the same, impeded communication and effective exchange of information.<br>In January 2026, Tanzania included on the Global Forum's secure database for competent authorities a generic email address for sending and receiving EOI requests and related correspondence, which will remain valid independent of a change of personnel. | Tanzania is recommended to ensure that appropriate measures are timely and effectively taken for enabling smooth communication with treaty partners, including ensuring that treaty partners are always kept duly informed about any updates to the contact details of the Competent Authority. |
| Tanzania initially experienced some delays in responding to requests. Drawing from that experience, during the current review period Tanzania enhanced its organisation and resources, put in place an updated EOI Manual and organised trainings for the EOI officers. However, the experience of Tanzania during the review period has been limited and, therefore, its EOI organisation and process could not be fully tested. | Tanzania is recommended to monitor the implementation of its EOI organisational processes and resources to ensure their effectiveness at all times. |

### *C.5.1 Timeliness of responses to requests for information*

493. For the current review period, Tanzania initially reported having received no incoming EOI request from any treaty partner. However, input from one peer indicated that it sent two requests for information to Tanzania in 2024 and was awaiting responses to them. These two requests were sent to the email address

indicated on the Competent Authority database. This email address was of the former Commissioner General who was the Competent Authority for Tanzania until 2024, before the requests were sent.

494. Tanzanian Competent Authority officials were not aware of the existence of these requests. Upon being made aware, Tanzania contacted the treaty partner, seeking a resubmission of the two requests. The treaty partner resubmitted the requests in February 2026. The partner requested information on the addresses of identified Tanzanian individuals. Tanzania did not decline to provide information in any case. Tanzania did not seek clarifications in respect of these requests and proceeded to gather the requested information. This information was not found to be available with the TRA from its tax database as the identified individuals are not registered as taxpayers in Tanzania. The EOI office sought the assistance of the local tax offices of the TRA, the National Identification Authority and the Immigration authority. One request has since been answered, while Tanzania is still working on the second request.

495. As the experience during the review period is very limited, past experience was also discussed. Tanzania had received 22 requests over the years April 2017 to March 2020 and answered 21 of them, while 1 request had been withdrawn by the partner. For the 21 requests answered, there was room for improving the timeliness of responses as only 10% of the requests were answered within 90 days, 43% within 180 days and 86% within a year, and 15% were answered after more than a year. The 2021 Report noted that the timelines of responding to incoming requests was not optimal.

496. Since then, Tanzania has improved the organisation of its EOI unit with sufficient resources, considering the low volume of requests at this stage. Given Tanzania's limited experience of exchange of information during the review period, but noting that the timeliness of responding to requests in the previous review period was not optimal, **Tanzania is recommended to monitor the implementation of its EOI organisational processes and resources to ensure their effectiveness at all times** (see also linked recommendation at paragraph 505).

### *Status updates and communication with partners*

497. Tanzania's EOI manual provides that status updates must be provided in all cases where a response to the requesting jurisdiction cannot be provided within 90 days and should be repeatedly provided every 90 days until a final reply is sent.

498. Tanzanian authorities did not provide any status update during the review period because they were unaware of the existence of any request.

499. During the review period, one peer encountered problems in communication with Tanzania. This was because the email address provided in the Global Forum's Competent Authority secure database continued to be the personal email address of the former Commissioner General of the TRA. In addition, the email address of the secretary to the Commissioner General was indicated. The generic email address for EOIR to which the EOI officials have access, was not indicated on the Competent Authority database. The peer that sent two requests to Tanzania used the personal email address of the former Commissioner General for seeking information and for following up when no response was received. These emails were not forwarded to the EOI office within the TRA. Since the previous Commissioner General demitted office in July 2024, these emails remained unattended. Thus, Tanzania did not act on these requests, communicate with the treaty partner or provide status updates when responses to the requests were not provided within 90 days. Following the receipt of peer input, Tanzania contacted the treaty partner and worked on the requests.

500. Tanzania updated the contact information on the Competent Authority contact database in January 2026. A generic email address for sending EOI requests has been added, and it is now clearly indicated that EOI requests should be sent to the generic email address. Contact details of all EOI officials are now systematically included in the updated contact information.

501. During the Phase 1 review, the lack of updating of contact information on the Competent Authority database was noted as a peer faced difficulties in contacting the Tanzanian Competent Authority at the email address listed on the Competent Authority database. At that time too, the email address of the Commissioner General was provided in the database, and the Commissioner General had moved to other assignments. Tanzania updated the database in November 2021 with the contact details of the new Commissioner General and informed treaty partners. No recommendation was made at that time.

502. However, the identified issue has persisted even during the current review period and affected communication between Tanzania and at least one treaty partner. Although this time the updated contact details include a generic email address (besides the contact details of the EOI officials), which should mitigate non-receipt of communication from treaty partners going forward, **Tanzania is recommended to ensure that appropriate measures are timely and effectively taken for enabling smooth communication with treaty partners, including ensuring that treaty partners are always kept duly informed about any updates to the contact details of the Competent Authority.**

### *C.5.2 Organisational processes and resources*

#### *Organisation of the competent authority*

503. The Minister of Finance of Tanzania is the Competent Authority. The role has been delegated to the Commissioner General of the TRA. The Competent Authority is supported in its functions by the EOI office, which is a centralised office housed within the International Taxation Unit (one of the five units under the Large Taxpayers Department of the TRA). Under this set-up, the Commissioner for Large Taxpayers Department is responsible for ensuring the EOI unit has all the resources required and that its functions are carried out effectively.

504. The EOI office is headed by a manager of international taxation and staffed with six technical staff who hold post-graduate degrees in law, economics or business administration. Given the current low volume of EOI requests in Tanzania, the EOI officials perform duties pertaining to other areas of international taxation as well. For performing EOI work, they have access to designated workspace in a dedicated secure EOI room, where all EOI related documents and workstations are located (see paragraph 480).

505. However, as noted under paragraph 496, the allocated resources need to be monitored, especially considering the anticipated increase in EOIR if Tanzania becomes a party to the Multilateral Convention, and also considering the delays in providing responses noted in the past. Hence, **Tanzania is recommended to monitor the implementation of its EOI organisational processes and resources to ensure their effectiveness at all times.**

#### *Resources and training*

506. An EOI manual exists to guide and support the EOI officials in their work. The EOI manual has been updated in 2025 in anticipation of Tanzania becoming a party to the Multilateral Convention to include guidance on specific matters like foreseeable relevance, group requests and also to cover aspects like tax examinations abroad and simultaneous tax examinations. It includes template letters and notices and guidance on drafting outgoing requests.

507. The staff in the EOI office has been exposed to various local, regional, continental and international trainings organised by the TRA, the East African Community, the African Tax Administrators Forum, the OECD and the Global Forum. Staff have attended trainings on beneficial ownership, EOI practices, interpretation and application of treaties, EOI as a tool for combating tax avoidance and evasion, assessors and assessed jurisdiction training, and the Global Forum induction program. In addition, six EOI officials have participated in the Global Forum’s Train the Trainer initiative. These trained EOI officials regularly

conduct outreach and training activities for tax auditors and other colleagues within the TRA about the use of EOI and, so far, more than 139 TRA officials have been trained under this initiative.

508. While these efforts are acknowledged, it was noted that the tax auditors interviewed during the on-site visit did not have a very clear understanding about EOIR. None had made an outgoing EOI request or worked on gathering information to respond to an EOI request in response to a direction from the EOI office. There was no indication that they would prioritise gathering information requested by the EOI office. The EOI office is likely to reach out to the local tax office to obtain information that is not readily available with them. Further, while the auditors interviewed were aware that exchanged information should be considered confidential, they were not familiar with specific procedures to ensure the confidentiality of the information received in response to an EOI request. In addition, while the manual is comprehensive, it is not sufficiently tailored to the situation in Tanzania. It covers aspects that are not explicitly provided under Tanzania's DTCs and on which Tanzania has not taken a position (for instance, tax examinations abroad and simultaneous tax audits). In the absence of clarifications qualifying Tanzania's position, the manual could be misleading for the auditors referring to it. While Tanzania has indicated that it has taken initiatives to increase the awareness and understanding among TRA officials, there is need to raise awareness, especially given the updated guidance provided by the EOI manual. Tanzania should take necessary steps to ensure that officials within the TRA understand the use of EOI instruments, the limitations on the use of the information received, prioritise gathering of requested information and work closely with the EOI office in respect of incoming and outgoing requests (see Annex 1).

### *Process to handle incoming requests*

509. The EOI office maintains an electronic customised EOI register for recording incoming and outgoing requests and monitoring the status of the requested information. The information captured in the system includes the category of a person subject to request, identity and address of the person under investigation, date of receiving/sending the request, reference number assigned by the foreign competent authority and the internal number assigned by the EOI office, name of the requesting/requested treaty partner, foreign competent authority's name and related details, legal basis (i.e. EOI agreement details such as the date of entry into force), type of information requested, due date of reply and the final date of response to be sent, particulars of EOI staff assigned to manage the requests, and current status of the case.

#### **Competent authority's handling of the request**

510. The EOI manual 2025 provides the steps to be taken in respect of EOI requests. All EOI requests received by mail at TRA must be forwarded to the EOI office on the same day. Such mail must not be opened by the mail clerk and be transmitted securely and immediately to the EOI manager after stamping the date of receipt on the envelope. In practice, Tanzania has explained that the mail is presented to the office of the Commissioner General who will then securely (by hand through internal staff of the TRA) transfer it to the office of the EOI manager. For incoming requests received electronically, the emails are to be received at the generic competent authority email address to which the EOI office has access. The email is to be stored in the secured electronic EOI drive of the EOI office.

511. In practice, Tanzania is increasingly relying on electronic means of communication and prefers receiving and sending requests and information by secure encrypted emails instead of through postal mail.

512. The EOI manager verifies the name and contact details of the foreign Competent Authority making the request and assigns the request to one of the EOI officers for registration on the EOI tracking tool. The EOI officer assigns an internal reference number and records the date of reception and the requesting jurisdiction on the EOI register. The EOI officer assigned to the request works on the case and takes the necessary steps to obtain the requested information. In more complex cases, the EOI manager may work directly on the case or guide the EOI officer suitably.

513. The EOI manual stipulates that the EOI office acknowledges the receipt of the request under the signatures of the Competent Authority. Ordinarily, Tanzania expects the requests to be in English. If the request is not in English, the EOI office will request the requesting jurisdiction to provide the same in English. Each step in handling the request should be registered in the EOI register by the EOI case officer.

514. The EOI officer validates the request by checking for the correct legal basis of the request and examining its completeness (taxes and period covered, signature of the competent authority, sufficient background to the request and a statement indicating that the requesting jurisdiction has exhausted all reasonable domestic means to obtain the information). The EOI officer also takes note of whether the requesting jurisdiction has indicated any urgency in respect of the requested information or has made a request that the subject of the request to be not contacted directly.

515. Where any aspect of the request is unclear or some more information is needed, the EOI officer should seek clarifications from the treaty partner within 15 days of receiving the request. The EOI manual clarifies that no request should be declined without consulting the treaty partner unless the request has been made without a legal basis (i.e. there is no EOI mechanism in place between Tanzania and the requesting jurisdiction).

516. For gathering the requested information, the EOI officer checks if the information is available from the TRA databases or other public authority databases to which the TRA has access. Where the information is not available from the databases, the EOI officer contacts the local or regional office or specialised tax office for gathering the information. The other tax services are requested to provide the information within a suitable timeframe to allow the EOI office to respond to the treaty partner within 90 days.

517. The EOI manual provides that where partial information has been gathered, it should be shared with the requesting jurisdiction, noting clearly that it is a partial response and indicating estimated time for providing the remaining information.

518. Once all information has been gathered, the EOI officer prepares a draft final response letter attaching the requested information. The final response letter is sent to the requesting jurisdiction under the Competent Authority's signature. Where, despite best efforts, the requested information cannot be gathered in Tanzania for responding to a request, the final response letter indicates that the information cannot be provided and explains the reasons for this.

#### Verification of the information gathered

519. The EOI manual provides a detailed verification checklist that the EOI officer and EOI manager are required to consider while finalising and sending responses to incoming requests. The EOI officer must check if all the requested information, including copies of all relevant documents specifically requested, have been included. Additional documents that are not requested specifically but could be useful in the context of the request are also to be included and indicated in the final response letter. Further, if some requested information is not provided, the EOI officer should indicate so in the letter and also explain whether it will be provided later or why it cannot be provided. All responses must be signed by the Competent Authority before sending to the requesting jurisdiction.

### *Outgoing requests*

520. The EOI manual 2025 provides detailed guidance on preparing and processing outgoing requests. Tanzania has explained that although the manual was updated in 2025, the earlier EOI manual also documented internal procedures for preparing and sending out outgoing requests.

521. Requests for information are initiated by the TRA officials in the revenue departments that deal with tax audit or investigation. At the time of the 2021 review, one Global Forum member had received a

request from Tanzania even though no EOI mechanism existed between the two jurisdictions. The updated EOI manual clarifies that the tax auditor seeking to make an EOI request must first consult the list of Tanzania's EOI instruments (provided as an annex to the EOI manual) and informs the tax officials that they must make their EOI request only through the Tanzanian Competent Authority for assistance in obtaining information from the competent authority of another country. The tax auditors must exhaust all domestic means before deciding to seek information through EOIR. The EOI manual 2025 guides the tax auditors on suitably drafting the request. In practice, Tanzanian authorities indicate that the tax auditors consult the EOI office directly to seek advice before making a request.

522. The tax auditor must submit its draft EOI request to the EOI office through the auditor's manager. The EOI office reviews the request comprehensively to check for its clarity, comprehensiveness and to ensure that the procedure has been duly followed. The EOI manual 2025 provides a detailed validation checklist for the EOI office to examine all draft outgoing requests prepared by the tax auditors. The checklist requires the EOI manager or EOI officer in-charge to check for the legal basis, to examine if the request is addressed to the correct jurisdiction or should be sent to another jurisdiction, whether it deals with tax periods covered by the legal basis appropriately, whether it has been approved by the tax auditor's manager, and whether sufficient information has been included in the request to demonstrate its foreseeable relevance. Where the request is not clear, incomplete or the procedure has not been adhered to, the EOI office seeks clarifications from the auditor, who must provide the requested details within 15 days.

523. Once the EOI office is satisfied with the completeness of the request, the request is entered into the EOI tracking system and assigned a unique reference number. Further, the finalised request is submitted to the Commissioner General for his signature as the Competent Authority. In the past, Tanzania would send requests through postal mail. However, now the signed requests together with all attachments are scanned and sent by way of an encrypted email from the generic EOIR email address of the Competent Authority.

524. During the review period, Tanzania made four requests to one treaty partner in 2024. Prior to formally making the requests, Tanzania held consultations with the treaty partner and explained the background for the requests and made its formal requests, with the clarifications requested by the partner. The peer indicated satisfaction with the quality of the requests and noted that they were foreseeably relevant, complete, supported by appropriate elements to ensure an effective response and effectively communicated by Tanzania.

### *C.5.3 Absence of unreasonable, disproportionate or unduly restrictive conditions for EOI*

525. No unreasonable, disproportionate or unduly restrictive conditions in respect of EOI were noted.

# Annex 1. List of in-text recommendations

The Global Forum may identify issues that have not had and are unlikely in the current circumstances to have more than a negligible impact on EOIR in practice. Nevertheless, the circumstances may change, and the relevance of the issue may increase. In these cases, a recommendation may be made; however, it should not be placed in the same box as more substantive recommendations. Rather, these recommendations can be stated in the text of the report. A list of such recommendations is reproduced below for convenience.

- **Element A.1:**
    - Considering the low quantum of sanctions under Zanzibar's Companies Act 2013 in respect of non-maintenance of adequate, accurate and up-to-date legal ownership information, Tanzania should monitor that the low quantum of applicable sanctions does not affect the availability of legal ownership information on companies in Zanzibar (paragraph 111).
    - Given that stakeholders are likely to refer to the consolidated Trustees Incorporation Act for compliance obligations, Tanzania should ensure that the identification of beneficial owners of trusts is in line with the definition provided in its Anti-Money laundering Act (paragraph 244).
    - Tanzania should ensure that beneficial ownership information on all private wakfs in Zanzibar is available in line with the standard (paragraph 251).
- **Element A.2:**
    - Tanzania should ensure that for companies in Tanzania Mainland that cease to exist, all accounting records (and not just those pertaining to liquidation) are available for at least five years in line with the standard (paragraph 291).
- **Element A.3:**
    - Tanzania should clarify the definition of beneficial owner as it applies for partnerships and trusts and similar arrangements where any of the parties to such arrangements are themselves legal persons or arrangements (paragraph 347).
    - There are no record retention requirements under Zanzibar's Companies Act, including when a company ceases to exist and given that one bank is incorporated in Zanzibar, Tanzania should monitor that there are suitable provisions for ensuring availability of all banking information if a bank incorporated in Zanzibar voluntarily ceases its operations (paragraph 360).
    - Tanzania should continue this new focused AML supervisory programme to ensure the availability of banking information in line with the standard (paragraph 372).
- **Element C.2:**
    - Tanzania should ensure that it signs and puts the Multilateral Convention into force at the earliest (paragraph 456).
    - Tanzania should continue to conclude EOI agreements with any new relevant partner who would so require (paragraph 458).
- **Element C.3:**
    - Tanzania should ensure that any sharing of exchanged information with officials of the Tanzanian Revenue Authority deployed in customs functions takes place in accordance with

  the provisions of the relevant treaty under which such information has been received (paragraph 467).
  - Tanzania should mitigate the risks associated with access to public emails and cloud storage sites in respect of the staff engaged in exchange of information and put suitable controls in place (paragraph 482).
  - Tanzania should put in place a breach management policy to suitably handle and communicate with relevant stakeholders in cases of any data breaches (paragraph 483).
- **Element C.5:**
  - Tanzania should take necessary steps to ensure that officials within the TRA understand the use of EOI instruments, the limitations on the use of the information received, prioritise gathering of requested information and work closely with the EOI office in respect of incoming and outgoing requests (paragraph 508).

# Annex 2. List of Tanzania's EOI mechanisms

## Bilateral international agreements for the exchange of information

| | EOI PARTNER | Type of agreement | Signature | Entry into force |
|---|---|---|---|---|
| 1. | Canada | DTC | 15 December 1995 | 29 August 1997 |
| 2. | Czechia | DTC | 15 May 2025 | Not in force<br>Domestic processes completed by Tanzania on 28 July 2025 |
| 3. | Denmark | DTC | 6 May 1976 | 31 December 1976 |
| 4. | Finland | DTC | 12 May 1976 | 1 January 1979 |
| 5. | India | DTC | 27 May 2011 | 1 January 2012 |
| 6. | Italy | DTC | 7 March 1973<br>Amended 31 January 1979 | 6 May 1983 |
| 7. | Norway | DTC | 28 April 1976 | 1 January 1978 |
| 8. | Oman | DTC | 15 December 2024 | 2 May 2025 |
| 9. | South Africa | DTC | 22 September 2005 | 1 August 2007 |
| 10. | Sweden | DTC | 2 May 1976 | 1 January 1977 |
| 11. | Türkiye | DTC | 4 May 2026 | Not in force |
| 12. | United Arab Emirates | DTC | 26 September 2022 | 9 May 2024 |
| 13. | Zambia | DTC | 2 March 1976 | In force (date unknown) |

## Southern African Development Community's Agreement on Assistance in Tax Matters (SADAC)

The Southern African Development Community's Agreement on Assistance in Tax Matters was signed on 18 August 2012 by Botswana, Democratic Republic of Congo, Eswatini, Lesotho, Malawi, Mauritius, Mozambique, Namibia, Seychelles, South Africa, Tanzania and Zambia. It provides for a framework exchange of information automatically, spontaneously or upon request between the relevant competent authorities. This agreement is not in force yet.

# Annex 3. Methodology for the review

The reviews are based on the 2016 Terms of Reference and conducted in accordance with the 2016 Methodology for peer reviews and non-member reviews, as approved by the Global Forum in October 2015 and amended in 2020 and 2021, and the Schedule of Reviews.

The evaluation is based on information available to the assessment team including the exchange of information arrangements signed, laws and regulations in force or effective as at 13 May 2026, Tanzania's EOIR practice in respect of EOI requests made and received during the three year period from 1 April 2022 to 31 March 2025, Tanzania's responses to the EOIR questionnaire, inputs from partner jurisdictions, as well as information provided by Tanzania's authorities during the on-site visit that took place between 19 January 2026 to 23 January 2026 in Dar es Salaam, Tanzania.

## List of laws, regulations and other materials received

- Constitution
- Law of Contract Act Cap. 345 R.E. 2002
- Banking and Financial Institutions Act 2006

### *Tanzania Mainland*

- Companies Act, 2023 (consolidated and revised)
- Companies (Beneficial Ownership) Regulations, 2023
- Companies (Retention and Disposal of Company Documents) Regulations, 2023
- Companies (Fees Payable to Registrar) Regulations, 2014
- Business Names (Registration) Act, Cap. 213
- Trustees' Incorporation Act, 2023
- Trustees' Incorporation (Transparency of Beneficial Ownership) Rules, 2024
- Tax Administration Act, 2015 (as revised and consolidated in 2023) (R.E. 2023)
- Tax Administration (General) Regulations, 2016
- Income Tax Act, Cap. 332 (as amended, including amendments up to 2019 and subsequent Finance Acts)
- Anti-Money Laundering Act, 2006, as amended, revised and consolidated in 2023
- Anti-Money Laundering Regulations, 2022, as amended in 2023
- Non-Governmental Organisations Act, as amended in 2019
- Societies Act, Cap. 337 of 1954, as amended by the Written Laws (Amendment) Act, 2019
- Accountants and Auditors (Registration) Act, Cap. 286

### *Zanzibar*

- Companies Act No. 15 of 2013, as amended (including amendments up to 2023)

- Companies (Register of Beneficial Owners) Regulations, 2025
- Companies Regulations, 2017
- Law of Contract Act, Cap. 149
- Registration of Business Entity Act No. 12 of 2012 and Business Names Registration Decree Cap. 168
- Wakf and Trust Commission Act No. 2 of 2007
- Tax Administration and Procedures Act, 2009, as revised in 2019
- Anti-Money Laundering and Proceeds of Crime Act, 2009, as amended in 2022
- Anti-Money Laundering and Proceeds of Crime Regulations, as amended and in force
- Societies Act No. 6 of 1995

## Authorities interviewed during on-site visit

- Tanzania Revenue Authority (TRA)
- Zanzibar Revenue Authority (ZRA)
- Ministry of Finance – Tanzania Mainland
- Ministry of Foreign Affairs
- Business Registrations and Licensing Agency (BRELA) – Tanzania Mainland
- Business and Property Registration Agency (BPRA) – Zanzibar
- Registration, Insolvency and Trusteeship Agency (RITA)
- Waqf and Trust Commission (Waqfs)
- Financial Intelligence Unit (FIU)
- Bank of Tanzania (BOT)
- Capital Markets and Securities Authority
- National Board of Accountants and Auditors
- Tanganyika Law Society
- Representatives from banking sector (Compliance officials)
- Representatives of accountants and auditors
- Representatives of lawyers

## Current and previous reviews

As Tanzania joined the Global Forum in 2015, it was not assessed in the first round of reviews. Tanzania directly entered the second round of reviews conducted by the Global Forum and was scheduled to undergo its review in 2020.

Due to the COVID-19 pandemic, the on-site visit could not take place. Consequently, the review of the Tanzania has been conducted in two phases, with a desk-based Phase 1 review leading to the adoption in November 2021 of the report assessing the legal and regulatory framework of the Tanzania against the 2016 Terms of Reference (Phase 1 report). The subsequent scheduling of the Phase 2 review with an on-site visit then took account of the limited experience of Tanzania in exchange of information (based on the new section V of the Methodology (as amended in 2021)).

The present review complements the first report with an assessment of the practical implementation of the standard, including in respect of exchange of information requests received and sent during the review period from 1 April 2022 to 31 March 2025. Changes made to the legal framework since the Phase 1 review as at 13 May 2022 have also been assessed.

The evaluation is based on information available to the assessment team, Tanzania's responses to the EOIR questionnaire, inputs from partner jurisdictions, as well as information provided by the Tanzanian authorities during the on-site visit that took place from 19 to 23 January 2026 in Dar es Salaam, Tanzania.

Information on Tanzania's reviews is listed in the table below.

## Summary of reviews

| Review | Assessment team | Period under Review | Legal Framework as on | Date of adoption by Global Forum |
|---|---|---|---|---|
| Round 2 Phase 1 | Mr Arief Syahriza (Indonesia), Mr Marcus Elizabeth (Seychelles) and Mr Puneet Gulati (Global Forum Secretariat) | Not applicable | 1 September 2021 | 18 November 2021 |
| Round 2 Phase 2 | Ms Jolanda Roeloffs (the Netherlands), Mr Marcus Elizabeth (Seychelles) and Mr Puneet Gulati (Global Forum Secretariat) | 1 April 2022 to 31 March 2025 | 13 May 2026 | 23 July 2026 |

# Annex 4. Tanzania's response to the review report[47]

This is the first Exchange of Information on Request (EOIR) peer review for Tanzania ever since joining the Global Forum in 2015 for which a compliance rating has been assigned. The current review is a follow up to the previous Phase 1 review completed in 2021 that was dedicated on assessing only the relevant EOIR legal framework. In this respect, Tanzania confirms that in the current review adequate consultations were made with the assessment team throughout the review process and therefore agrees that the report reflects the status of the EOIR legal framework and its implementation in practice. Accordingly, Tanzania genuinely appreciates the assessment team for their hard work and dedication, the Global Forum Secretariat for incredible technical support prior to the review and the PRMG for valuable comments and guidance.

Further, although the current review report identifies some gaps in the EOIR legal framework and practice, it however clearly demonstrates substantial progress made since completion of the Phase 1 review in 2021. In diverse fronts the report vividly demonstrates Tanzania's unwavering commitment to implement the international tax transparency and EOIR standard. Accordingly, in the same spirit, Tanzania would like to re-affirm its continued commitment to implement all the recommendations of the report to ensure full compliance with the standard. More specifically, Tanzania is committed to take the necessary steps to sign and ratify the Multilateral Convention on Mutual Administrative Assistance in Tax Matters to deliberately expand exchange of information relationship with all members of the Global Forum that are part to the convention.

[47] This Annex presents the Jurisdiction's response to the review report and shall not be deemed to represent the Global Forum's views.

GLOBAL FORUM ON TRANSPARENCY AND EXCHANGE OF INFORMATION FOR TAX PURPOSES

# Peer Review on Transparency and Exchange of Information on Request TANZANIA 2026 (Second Round)

The Global Forum on Transparency and Exchange of Information for Tax Purposes is a multilateral framework within which over 170 jurisdictions participate on an equal footing.

The Global Forum monitors and peer reviews the implementation of the international standards on transparency and exchange of information on request (EOIR) and on automatic exchange of information. The EOIR provides for international exchange on request of information foreseeably relevant to the administration or enforcement of the tax laws of a requesting party. All Global Forum members have agreed to have their implementation of the EOIR standard assessed by peer review. In addition, non-members that are relevant to the Global Forum's work are also subject to review. The legal and regulatory framework of each jurisdiction is assessed, as is the implementation of that framework in practice. The final result is an overall rating of the compliance of the jurisdiction with the standard.

The first round of reviews was conducted from 2010 to 2016. A second round of reviews started in 2016. Peer reviews are generally conducted in one go, but they can be conducted in two separate reviews, with a Phase 1 reviewing the legal framework, followed by a Phase 2 focussing on practice. Reviews are phased when jurisdictions have limited EOIR experience or in exceptional circumstances, such as the COVID-19 pandemic. The review reports are published and assessed jurisdictions are expected to follow up on any recommendations made. The ultimate goal is to help jurisdictions to effectively implement the standard of transparency and exchange of information on request for tax purposes.

This peer review report analyses the practical implementation of the standard on transparency and exchange of information on request (EOIR) for Tanzania, as part of the second round of reviews conducted by the Global Forum since 2016.